

ANVIL MINING LIMITED

DIKULUSHI COPPER-SILVER MINE

KATANGA REGION DEMOCRATIC REPUBLIC OF CONGO TECHNICAL REPORT

Prepared by

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TABLE OF CONTENTS

ITEM 1.	TITLE PAGE	1
ITEM 2.	TABLE OF CONTENTS.....	2
ITEM 3.	SUMMARY.....	13
ITEM 4.	INTRODUCTION	15
ITEM 5.	RELIANCE ON OTHER EXPERTS	17
ITEM 6.	PROPERTY DESCRIPTION AND LOCATION.....	17
ITEM 7.	ACCESSIBILITY, CLIMATE, LOCAL RESOURCES, INFRASTRUCTURE AND PHYSIOGRAPHY.....	20
ITEM 8.	HISTORY	20
ITEM 9.	GEOLOGICAL SETTING	21
9.1	Regional Geology	21
9.2	Local Geology.....	23
ITEM 10.	DEPOSIT TYPES	24
ITEM 11.	MINERALIZATION	25
ITEM 12.	EXPLORATION.....	25
ITEM 13.	DRILLING.....	25
13.1	Anvil Programme 1997.....	26
13.2	Anvil Programmes 2002 & 2003	26
13.3	Anvil Programme 2004.....	27
13.4	Anvil Programme 2005/6.....	27
ITEM 14.	SAMPLING METHOD & APPROACH.....	27
14.1	Survey Control.....	28
14.1.1	Collar pickups	28
14.1.2	Topography and pit surveys.....	28
14.1.3	Downhole surveys.....	28
14.2	Density determinations	28
14.3	Oxidation.....	29
14.4	Diamond Core Sampling and Handling Procedures	29
14.4.1	Recovery of Drill Core.....	29
14.4.2	Logging of Drill Core	29
14.4.3	Sampling of Drill Core.....	29
14.4.4	Dispatch of Samples to the Laboratory.....	30
14.5	RC Sample Handling Procedure	30
ITEM 15.	SAMPLE PREPARATION, ANALYSIS & SECURITY	30
15.1	1997 Campaign	30
15.2	2002 & 2003 Campaigns	31

15.3	2004 Campaign	31
15.4	2005/6 Campaign	31
ITEM 16.	DATA VERIFICATION	31
16.1	Twin Drilling	31
16.2	Twin Anvil and BRGM Diamond Drill Holes Comparison	32
16.3	Twin Anvil RC and BRGM Diamond Drill Holes Comparison.....	32
16.4	Twin Anvil RC and Anvil Diamond Drill Holes Comparison	33
16.5	Global Comparisons of Anvil versus BRGM Assay Results.....	33
16.6	Discussion of Anvil and BRGM Drill Hole Assay Comparisons....	33
16.7	Data Preparation.....	34
16.8	Drilling Processes and Assessment of 1997 Drilling.....	35
16.8.1	Diamond Drilling Program	35
16.8.2	RC Drilling Program.....	36
ITEM 17.	ADJACENT PROPERTIES	37
ITEM 18.	MINERAL PROCESSING & METALLURGICAL TESTING	37
ITEM 19.	MINERAL RESOURCE & MINERAL RESERVE ESTIMATES	38
19.1	Geological Interpretations.....	38
19.2	Surface and Solid Modelling	38
19.2.1	Topography	38
19.2.2	Mineralisation	39
19.2.3	Total Volume Model.....	40
19.3	Sample Flagging	41
19.4	Statistics and Sample Compositing.....	41
19.4.1	Univariate Statistics	42
19.4.2	Copper Distributions.....	42
19.4.3	Silver Distributions	44
19.4.4	High Grade Cut Analysis.....	46
19.5	Variography	47
19.6	Grade Interpolation	56
19.6.1	Search Specifications	56
19.6.2	Grade Estimation	57
19.6.3	Density Assignment.....	58
19.7	Estimation Validation	58
19.7.1	Statistical and Visual Validation.....	58
19.7.2	Validation by Scenarios and Sensitivity Assessment	60
19.8	Resource Classification and Reporting.....	61
19.8.2	Resource Reporting.....	62
19.8.3	Grade Tonnage Curves	62
19.8.4	Mineral Reserve Estimates	67
19.9	Open Pit Ore Reserves	67
ITEM 20.	OTHER RELEVANT DATA & INFORMATION.....	68
ITEM 21.	INTERPRETATION & CONCLUSIONS	68
ITEM 22.	RECOMMENDATIONS.....	68

ITEM 23.	REFERENCES	68
ITEM 24.	CONSENT FORMS AND CERTIFICATES	70
ITEM 25.	ADDITIONAL REQUIREMENTS, PRODUCTION PROPERTY.	76
ITEM 25. (A).1	Mining Method	76
ITEM 25. (A).2	Geotechnical Parameters.....	79
ITEM 25. (A).3	Mineral Processing.....	80
ITEM 25. (A).4	Tailings Storage Facilities (TSF).....	83
ITEM 25. (A).5	Pit Optimization and Mine Design	83
ITEM 25. (B)	Recoverability	89
ITEM 25. (C)	Markets	89
ITEM 25. (D)	Contracts	90
ITEM 25. (E).1	Environmental Status	90
ITEM 25. (E).2	Waste Landform.....	90
ITEM 25. (F)	Taxes	91
ITEM 25. (G)	Capital Cost and Operating Cost Estimates.....	91
ITEM 25. (H)	Economic Analysis	92
ITEM 25. (I)	Payback.....	93
ITEM 25. (J)	Mine Life	93
ITEM 26.	ILLUSTRATIONS	94

GLOSSARY OF TERMS

/	Per.
\$	Dollars.
%	Percentage.
.csv	Comma separated text commonly used to transfer large arrays of data.
2-D	Two dimensional, usually in reference to a cross section, plan or long section view of geological or mining data.
3-D	Three dimensional, usually in reference to a cross section view of geological or mining data.
Ag	The chemical symbol for the metallic element for silver.
AI	Abrasion Index, a measure used in determining the maintenance due to wear from processing ore in a plant.
ALS	The acronym for Analytical Laboratory Services Pty Ltd an Australian based analytical laboratory specializing in resource project assaying.
AMC	The acronym for Australian Mining Consultants Pty Ltd, an Australian based geological and engineering consulting company.
Anisotropy	Condition of having different properties in different directions used mainly in reference to different mathematical formula applied to the three directions at right angle to one another when estimating grades.
Anticline	A fold, generally convex upward, the core of which contains the stratigraphy of older rock-s.
ANVIL	Anvil Mining NL, an Australian registered and stock exchange listed mining company.
As	The chemical symbol for the element Ardenic.
Argillite	A description of a rock that is made up mainly of silt to fine sand size particles that has been moderately altered by metamorphism.
Arkose	A rock made up sand to coarse sand particles that are at least 25% feldspar.
Arsenopyrite	A mineral that is made up of arsenic, iron and sulfur.
Azurite	A deep blue mineral that is made up of copper with carbonate and water and found mainly in the weathered parts of copper ore bodies. Can contain up to 55% Cu.

BCM	The abbreviation for Bank Cubic Metres a measure of volume applied to unbroken rock.
BMWI	Ball Mill Work Index, a measure used in determining the amount of energy required to grind rock to a particular size.
Bimodal	Statistical term for two peaks in a graph of values.
Bornite	A reddish brown to iridescent purple mineral made up of copper (up to 63%) iron and sulphur.
BQ	The size of a diamond drill hole that produces a cylinder of rock of approximately 36.4mm in diameter.
Brecciated	Describes rock made up of angularly broken or fractured rock generally indicating a fault plane.
BRGM	An acronym for Bureau de Recherches Géologiques et Minières, a French mineral exploration company.
Brine	Water with a strong concentration of salt.
C	The abbreviation of the temperature measurement degree Celsius (also called Centigrade).
Co	The chemical symbol for the metallic element Cobalt.
cm	An abbreviation for centimetre.
Cu	The chemical symbol for the metallic element copper.
CuOx	Copper in the oxide form, generally soluble in dilute sulfuric acid.
Carbonates	A rock made up mainly of calcium (rarely magnesium) and carbon dioxide
Carrollite	A rare mineral that is made up of cobalt, copper and sulfur.
Cell	A term applied to the three dimensional volume used in the mathematical modelling of ore bodies by computer techniques.
Chalcocite	A mineral that is made up of copper (up to 80%), and sulfur.
Chalcopyrite	A mineral that is made up of copper (up to 35%), iron and sulfur.
Chrysocolla	A mineral that is made up of copper (up to 36%), silica and water, generally formed in the weathered part of a copper ore body.
Clastic	A rock made up of other rock fragments from distant locations.
Conglomerate	A rock made up of various size particles from small pebbles to large boulders and other rock fragments, cemented together.

Cuprous	Copper in ionic state of one missing electron.
Cut-off	The minimum concentration (grade) of the valuable component in a mass of rock that will produce sufficient revenue to pay for the cost of mining, processing and marketing.
DDH	Diamond drill hole.
Datamine	A proprietary computer program developed to model, view, analyse and report on geological and mining data.
DevMin	DevMin Pty Limited, a geological and mining consulting company based in Perth, Western Australia.
Diamond drill hole	A hole drilled in the ground using a method where a diamond tipped tube is used to recover a cylinder of rock for geological examination and analysis.
Dilution	A term used to describe the waste or non-economic materials included when mining ore.
Dip	The angle that a structural surface makes with the horizontal.
Disconformities	An unconformity between two parallel strata.
Disseminated	Ore carrying fine particles, usually sulfides scattered throughout the rock.
Dol-arenites	Dolomite rock consisting of sand size grains.
Dolomite	A mineral containing calcium, magnesium and carbonate.
Domain	A term used mainly in ore resource estimation or geotechnical calculations to describe a region of a geological model with similar physical or chemical characteristics.
DRC	An abbreviation for Democratic Republic of Congo.
DTM	Digital terrain model, a mathematical way of representing a surface.
E	Easting coordinate.
Epigenetic	A geological process relating to a mineral deposit of origin later than that of the enclosing rocks.
Excavator	A large machine used in the digging and loading of rock into trucks in an open pit mine.
Ferrie	Iron in an ionic state of three missing electrons.
Flotation	A widely used industrial process used to concentrate valuable minerals after mining that treats finely ground rock in a water based pulp with chemicals that allow them to float to the surface where they are recovered in preference to waste or gangue minerals which sink.

Fluvio	A description applied to the moving of material by streams of water.
Footwall	A generic term used to describe the rock mass below a dipping ore body.
Ga	Billion years.
Gangue	The valueless rock or mineral aggregates in an ore.
Geostatistics	A mathematical method based on geological spatial knowledge of grade distributions used to estimate grades in a systematic way.
g/t	An abbreviation for grams per tonne.
Glacial	Pertaining to or produced from the action of a glacier.
HCl	Chemical formula for Hydrochloric Acid.
HClO₄	Chemical formula for Perchloric Acid.
HF	Chemical formula for Hydrofluoric Acid.
HMS	Abbreviation for heavy media separation, a mineral processing method that uses high density fluids or suspensions to separate valuable minerals from waste or gangue by exploiting differences in the specific gravity of minerals.
HNO₃	Chemical formula for Nitric Acid.
H₂SO₄	Chemical formula for Sulfuric Acid.
HQ	The size of a diamond drill hole that produces a cylinder of rock of approximately 63.5 mm in diameter.
Hanging wall	A generic term used to describe the rock mass above a dipping ore body.
Hydrothermal	A geological process that occurs as a result of high temperature water from mainly volcanic activity that alters the minerals in rocks and can lead to concentrations of valuable minerals.
Hypogene	A geological process that occurs well below the surface that can result in increased concentrations of valuable minerals.
ICP	Inductively Coupled Plasma, an analytical technique for determining metal content.
ID²	Inverse Squared Distance (method of estimating grades by mathematically weighting samples based on their distance away from the estimation point).
IML	An abbreviation for Independent Metallurgical Laboratories Pty Ltd, a Perth based metallurgical laboratory.

IRR	An abbreviation of the financial measure, Internal Rate of Return.
JORC	An acronym for Joint Ore Reserve Committee, the Australian committee formed by the Australian Stock Exchange and Australasian Institute of Mining and Metallurgy responsible for the regulatory enforceable standards for the Code of Practice for the reporting of mineral resources and reserves.
kg	Kilogram.
Kriging	A term applied to the process of estimating grades in a systematic way within a geometric model of a mineralized zone, by a means of interpolation that minimizes the estimation error.
Kt	An abbreviation for Thousand of tonnes.
Kurtosis	Measure of peakedness or flatness of the graphical representation of a statistical distribution.
Lattice	The arrangement of atoms in a systematic way within a mineral.
lb	An abbreviation for the weight measure pound.
Log	An abbreviation for natural logarithm to the base 10.
m	An abbreviation for metre.
m%	An abbreviation for metre percentage (obtained by multiplying metres by % of assay value).
m³	Cubic metre.
MDM	The acronym for Metallurgical Design and Management (Pty) Ltd. A metallurgical consulting company based in South Africa with a branch in Perth, Western Australia.
Mm	The measurement millimetre.
MN	Magnetic North.
MS	The acronym for Microsoft.
Mt	Million tonnes.
Mtpa	Million tonnes per annum.
Malachite	A mineral containing copper (up to 57%), carbonate and water found mainly in the weathered zone of a copper ore body.
Massive	A term used to describe a large occurrence of a pure mineral species, often with no structure.
Metamorphism	The geological process of altering the physical and chemical properties of rock mineral by the combined effects of heat and pressure.

Milawa™	A registered computer algorithm which is part of Whittle Four-X that assists in the planning of the sequence of extraction of an open pit mine.
Mineralization	Minerals of possible economic value or the description of the process by which the concentration of valuable minerals occurs.
N	Northing Coordinate.
Na₂S	Chemical formula for Sodium Sulfide.
NI-43-101	National Instrument 43-101 Standards of Disclosure for Mineral Projects. February, 2001.
NPV	The economic measure Net Present Value.
NQ	The size of a diamond drill hole that produces a cylinder of rock of approximately 47.6 mm in diameter.
Nugget	The term applied to a high concentration of a particular element, usually gold.
Oolitic	A geological term describing a rock generally made up by carbonate minerals in the form of sand to small pebble sizes spheres.
Ordinary Kriging	The kriging process applied without the application of additional mathematical processes that apply conditions or simulations.
Ore	A natural aggregate of one or more minerals which, at a particular time and place, may be mined and sold at a profit or from which some part may be profitably separated.
Pb	The chemical symbol for the metallic element lead.
Perimeter blasting	A blasting method used in mining, where the perimeter (usually an open pit boundary but some times around ore zones) is more intensively drilled and where lower quantities of explosives are used in order to minimize damage or dilution to the remaining walls.
pH	The scientific shorthand for Hydrogen ion potential, generally a measure of the acidity or alkalinity.
Plunge	The term describing the angle to the horizontal by which a geological feature, such as a fold axis or ore body is measured.
ppm	Parts per million (same as grams per tonne).
PQ	The size of a diamond drill hole that produces a cylinder of rock of approximately 85 mm in diameter.
Pyrite	A mineral consisting of iron and sulfur.
Pyroclastics	A rock made up from material ejected from a volcano.

Q	Quarter (usually with suffix like 1, 2 etc denoting Quarter 1, Quarter 2 etc)
RC	The abbreviation for the widely used drilling technique called Reverse Circulation by which high pressure compressed air is used to recover drill sample via the inside of the drill rods, thereby avoiding contamination and maximizing recovery of the rock sample.
Recovery	A measure in percentage terms of the efficiency of a process, usually metallurgical, in gathering the valuable minerals from an ore. The measure is made against the total amount of valuable mineral present in the ore.
Reserve	The term for the economic quantities and grade of valuable materials as strictly applied in compliance with the definition in the National Instrument 43-101.
Resource	The term for the estimate of the quantities and grade of valuable materials but with no economic considerations as strictly applied in compliance with the definition in the National Instrument 43-101.
RL	Reduced Level (same as elevation).
RMWI	Rod Mill Work Index, a measure used in determining the amount of energy required to grind rock to a particular size.
ROM	Run of Mine, a description applied to the physical characteristics of ore (including dilution) as presented to the processing plant.
S	Southing Coordinate.
SO₂	Chemical formula for Sulfur Dioxide.
Sandstone	A rock consisting of sand size grains, generally of the mineral quartz.
Selenide	A general name for minerals or chemical compounds containing the element selenium.
Silica	The term applied to the compound of silicon and oxygen, generally occurring in the form of mineral called quartz.
Silicification	The process of pervasively altering a rock by the introduction of silica mainly during hydrothermal processes.
Sill	A horizontal or very flat lying intrusive igneous rock. Also, a term used in describing parts of a semivariogram.
Snowden	Snowden Mining Industry Consultants Pty Ltd, and Australian geological and mining consultancy.
Sphalerite	A mineral consisting of zinc (up to 56%), sulphur and usually some iron.
Stockpile	A mound or pile of material.

Strings	A term used by SURPAC, applied to a line drawn within the program that outlines or describes a shape of an object or interpretation.
Stratigraphy	The science of rock strata.
SURPAC	A proprietary computer program developed to model, view, analyse and report on geological and mining data.
Tennantite	A complex mineral of copper (up to 30% to 53%), arsenic, iron and sulfur. May contain significant amounts of silver, antimony and bismuth.
TN	True North.
UCS	Unconfined Compressive Strength, a rock mechanics term.
US	United States (of America).
Variograms	A graphical representation of the estimation error with respect to distance from an estimation point.
Variography	The process of determining variograms.
Vein	A single continuous planar occurrence of a suite of minerals, generally valuable, introduced into pre-existing rock mass.
W	Westing Coordinate.
Whittle Four -X	A proprietary computer program developed on the basis of the Lersch Grossman theory, used to determine the optimal economic outcome for a mining operation (generally open pit) by considering revenue from ore mined versus costs, in three dimensional space and time.
X	Multiplication symbol.
Zn	The chemical symbol for the metallic element zinc.

Item 3. SUMMARY

The Dikulushi copper silver-mine is located in the Katanga Province of the Democratic Republic of Congo (DRC). The project is 90% owned and operated by Anvil Mining Limited (Anvil). Dikulushi was commissioned as an open pit mine in October 2002 with run-of-mine ore delivered to an on-site Heavy Media Separation (HMS) concentrator at the rate of 250,000 tonnes of ore per year. Upgrade of the plant in 2004, with the inclusion of a flotation circuit and ball mill increased the throughput to 350,000 tonnes per year. The addition of a second ball mill in 2005 increased the capacity of the plant to its current level of 520,000 tonnes of ore per year. The copper-silver concentrate is subsequently transported by barge across nearby Lake Moero into Zambia and then by road to smelters in South Africa and Namibia and by sea to smelters of offshore Africa.

Dikulushi is a hydrothermal vein deposit of copper and silver hosted in Proterozoic sediments of the Upper Kundelungu. Two ore bodies are mined in the Dikulushi open pit. The main "Footwall" zone is a 240m long, 2-25m thick vein of semi-massive chalcocite (and/or bornite), which strikes east-northeast and dips to the southeast at about 65°. The second mineralized zone (the "Hanging Wall" zone) is a broad zone (up to 50m wide) of discontinuous, steeply dipping, veins/veinlets/disseminations of chalcocite. This strikes at an angle of 20° to the Footwall zone, which it intersects in the eastern part of the pit.

During 2005 the Dikulushi mine mined 382,344 tonnes at a grade of 5.34% copper and 158 s/t silver. The treatment plant treated 410,374 tonnes of ore at a grade of 5.1% copper and 149 s/t silver and produced 17,816 tonnes of copper and 1,700,000 ounces of silver at a cash cost of \$0.88/lb of copper after silver credits.

The Open Pit Mine Plan in this report has adopted wall angles for pit optimisation and mine design recommended by Anvil's geotechnical consultant, Australian Mining Consultants (AMC). The final pit designs have been reviewed and deemed acceptable by AMC.

Given the extremely high grade of the Dikulushi deposit, mining is selective using small scale mining equipment which aims to minimize mining losses. Ore loading is carried out only during daylight under constant supervision of ore spotters. With the sub-vertical geometry, width, continuity and ability to visually differentiate ore zones, minimal dilution is experienced. The reserve estimate has adopted a conservative dilution factor of 15% for both copper and silver grades and 100% recovery of tonnes. At the present throughput rate of 520,000 tonnes per year, Dikulushi is expected to support an open pit operation for the next 2 years and extend the pit to a depth of 150m below surface.

This report has adopted constant metal prices of \$3,142/tonne for copper and \$5.50/oz for silver. Drill and blast and earthmoving rates are based on the current mining and drilling contracts with MCK and historical figures. Processing costs are based on the current mine forecast budget which in turn is based on actual operating experience to date. Fixed costs are concurrent with actual operating experience and assume that treatment plant throughput will be maintained at 520,000 tonnes per year. Concentrate transport and smelting costs are based on charges and contracts presently in place to transport concentrate to smelters at Tsumeb in Namibia and offshore of Africa via Durban.

The resource model was prepared in February 2006 by FinOre Mining Consultants (FinOre) using Datamine software and the results of 153 diamond and RC drill holes carried out over four phases of drilling, as summarised in the following table:

Company	Period	Type	No. Holes	Metres	Sequence
BRGM	1974-1981	DDH	48	5,226	DIK1-47
Anvil	1997	DDH	18	2,115	DDH1-14, DR15, 19, 20, 38
		RC	26	2,305	DRC15-40
	2000	RC	22	786	DRC043-064
	2003	DDH	4	885	DDH16-19
		RC	21	1,768	DRC065-085
	2004	RC/DDH	14	414/3,811	DDH020-035 (no 032)
	2005-2006	DDH	14*	5,000*	DDD38-46 (to date)

(* planned)

Table 1: Drilling Campaigns

Geological domains and ore envelopes were interpreted by Anvil geologists based at the Dikulushi mine site. The Mineral Resource estimate is based on geologically controlled interpretations of copper mineralisation zones, defined by drill intersections, and augmented by information from open pit mining. Grade values have been interpolated, using Ordinary Kriging, into a 3D cell model, constrained by wireframes of the interpretation; a check inverse distance square (IDS) model was also generated. High grade cuts of between 30% and 45% Cu and 800 and 1,600 g/t Ag have been differentially applied to the mineralised domains. Resource tonnages and grades have been reported using a 1.5% Cu cut-off and to a depth of 200 metres below surface.

The remaining Dikulushi copper and silver resource, as at December 31, 2005 summarised as follows:

Resource Category	Tonnes	Cu (%)	Ag (g/t)	Cu metal (tonnes)	Ag metal (Moz)
Measured	60,000	7.03	198	4,400	0.39
Indicated	751,000	8.37	245	62,900	5.91
Meas. + Ind.	811,000	8.27	241	67,300	6.30
Inferred	516,000	7.31	155	37,700	2.57

**Table 2: Remaining Resource Estimates December 2005
(1.5%Cu cut-off: Classification Categories)**

The open pit Mineral Reserve is published in Table 3 below and is based on the FinOre block model reported as at 31st December 2005. The current open pit design is that used in the NI43-101 Technical Report pit 2004 having a total depth of 150 metres below surface (850mRL).

Mineral Reserve Category	Tonnes	Cu (%)	Ag (g/t)	Cu metal (tonnes)	Ag metal (Moz)
Proved	60,000	6.12	169	3,700	0.33
Probable	453,000	7.98	252	36,200	3.67
Total	513,000	7.76	243	39,900	4.00

Table 3: Dikulushi Open Pit Reserves at December 31, 2005

The cash flow analysis developed by the life-of-mine simulation sustaining capital estimates provided by Anvil. Additional capital has been added to upgrade the port facilities on Lake Moero and improve infrastructure on the mine site. However, the cash flow analysis is a simplistic model developed for mine planning purposes and excludes depreciation, finance charges and taxation.

The life-of-mine simulation was carried out to prepare the mine schedule in quarterly time increments. The objectives of the mine schedule were to:

- ❑ Supply run-of-mine ore at a constant rate to allow a blend with the stockpiles producing a constant grade.
- ❑ Provide a balanced mining schedule.
- ❑ Ensure mining capacity (total rock movement) did not exceed 250,000 BCM per month.

The Dikulushi open pit operation is expected to achieve a positive net cash flow of around US\$57 million (see Table 27). Life-of-mine capital costs are estimated to be US\$3.2 million. This includes provision for infrastructure upgrades and sustaining capital. With an annual discount rate of 10%, the project has an NPV of US\$49.1 million.

Average cash costs, excluding capital, are expected to be US\$0.97/lb of copper produced. With silver credits, cash costs will fall to US\$0.75/lb keeping the mine in the lower quartile of producers. This clearly illustrates the important contribution of silver in the shipped concentrate. Over the life of the project, at US\$5.50/oz, silver revenues are expected to exceed US\$22.3 million from silver output of nearly 4.5 million ounces. Indeed silver revenue should more than pay for the mining cost. Capital and sustaining capital account for around US\$0.03/lb.

The current mine life of the 150 metre deep open cut and remaining stockpiles is to the end of 2007. The ore body is open ended below the pit with drill holes showing the ore body extends to at least a depth of 300 metres. The current drilling programme is designed to infill areas down to 300 metres and test the orebody to a depth of 400 metres. The drilling programme and the Stage III underground mine design will be completed during the first half of 2006.

Item 4. INTRODUCTION

This report presents the latest available technical information on the Dikulushi Mine, located in the Democratic Republic of Congo. It has been prepared in accordance with the requirements of National Instrument 43-101 ("Standards of Disclosure for Mineral Projects).

Data and information on the Dikulushi deposit and mining operation that have not changed and were previously reported in Arnold and Journet (2004a) are not repeated, in accordance with instructions issued under Form 43-101F1, which relate to the required contents of a technical report.

This report has been prepared by a team of people with the following responsibilities:-

Nick Franey, VP Exploration, Anvil Mining	Geology, drilling & sampling
Malcolm Hillbeck, VP Operations, Anvil Mining	Mining, production, ore processing and reserves
Gerry Fahey, Director, FinOre Mining Consultants (A Division of CSA Australia Pty Ltd)	Resource model & statement

All of the above authors are qualified persons, in terms of the requirements of NI 43-101, and have relevant experience of the mineral deposit and mining operation described in this report. Nick Franey has a BSc (Hons) in Mining Geology from Leicester University, UK (1980) and an MSc in Mineral Exploration from Rhodes University, South Africa (1986), and is a full member of the Australian Institute of Geoscientists. Malcolm Hillbeck has BSc (Hons) in Mining from Birmingham University and is a member of the Australian Institute of Mining and Metallurgy, and Gerry Fahey has a BSc (Hons) in Geology from the

National University of Ireland (1975) and is a full member of the Australasian Institute of Mining and Metallurgy and the Australian Institute of Geoscientists.

Item 5. RELIANCE ON OTHER EXPERTS

There are no disclaimers in relation to the preparation of this report.

Item 6. PROPERTY DESCRIPTION AND LOCATION

The Dikulushi Mine is located in the Province of Katanga in the southeast part of the Democratic Republic of Congo (DRC), 400km north of the provincial capital Lubumbashi, at latitude 08°53'S and longitude 28°16'E (Fig. 1).

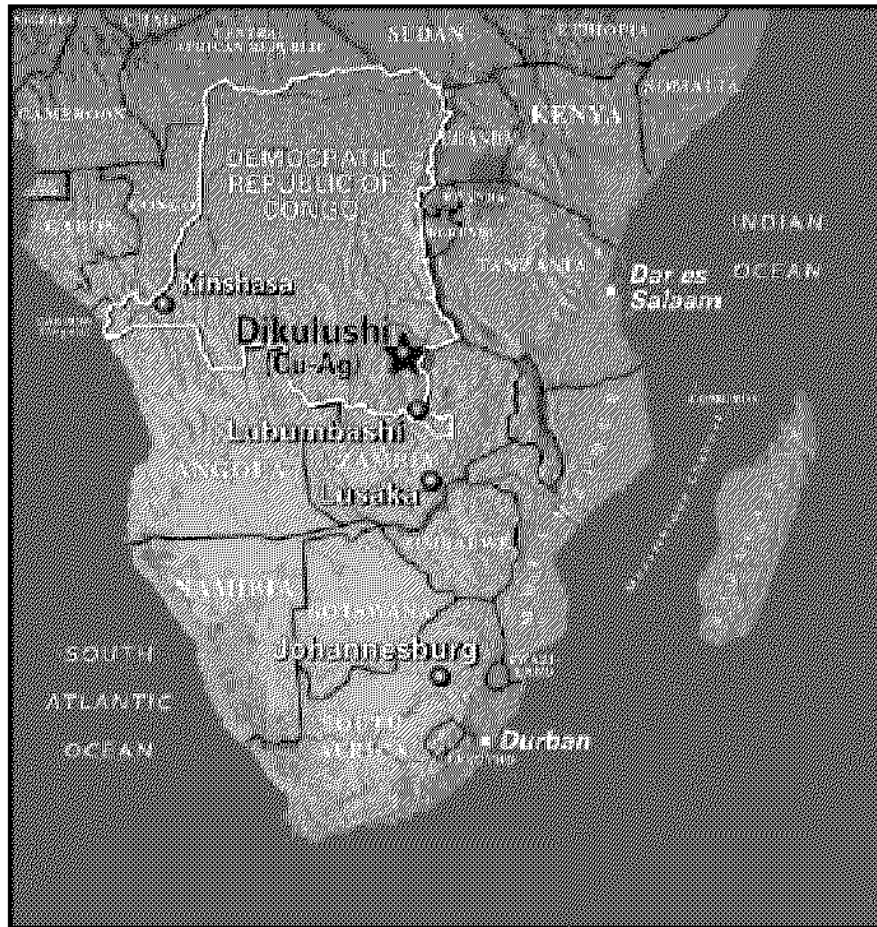


Fig 1: Location of Dikulushi Mine

The mineral rights of the Dikulushi project originally comprised four Zones d'Exclusive Recherches (ZER), covering a total area of approximately 14,865 km², all of which were held under the Dikulushi Mining Convention, signed with the Government of the Democratic Republic of Congo on January 31, 1998 and ratified by Presidential Decree on February 27, 1998. There were and continue to be no historical environmental liabilities associated with the project because it is a greenfields site, and, under the terms of the Mining Convention, the company is exempt from annual land rent fees.

After promulgation of the new Mining Code on the 11th July 2002, Anvil Mining converted the original four ZERs to a single Exploitation Permit (PE) of 40.77 km², over the Dikulushi Mine itself, and 38 Exploration Permits (Permis de Recherches, PR) of 14,824Km² over the surrounding area, but the project

continues to enjoy the terms of the original Mining Convention. However, in order to conform to the new Mining Code as far as possible, which obliges permit holders to drop ground on a regular schedule, Anvil Mining relinquished one whole PR and various parts of six others on the 2nd November 2004. At present, 22 of the remaining 37 PRs are inaccessible for security reasons and “force majeure” was declared and acknowledged by the government in May, 2005 (Fig. 2).

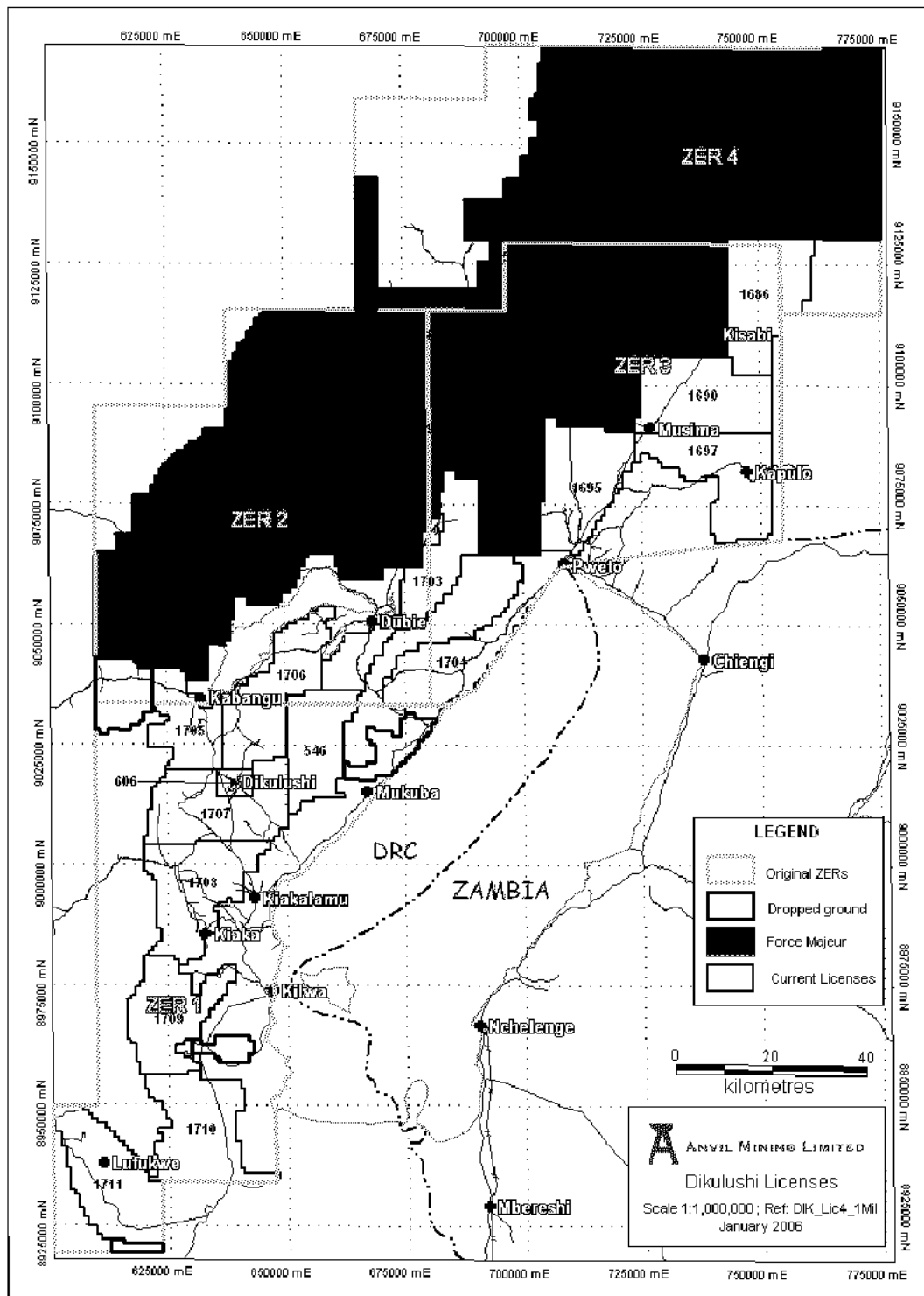


Fig 2: Mineral licenses of the Dikulushi Project. Note PE606, which covers the mine, and the location of the original ZERs.

Mining operations at Dikulushi are currently conducted under the PE issued by Ministerial Decree. This guarantees the sole and exclusive rights to the benefit of the holding company for 20 years. The holding company is Anvil Mining Congo SARL, which is 90% owned by Anvil Mining NL. The remaining 10% equity is held in trust by Anvil for the economic, social and infrastructure development in the region of Dikulushi. Anvil Mining NL has assumed a responsibility to assist in ensuring that the local community shares appropriately in the benefits emanating from the Dikulushi Mining Convention.

This report presents technical information on the Dikulushi Mine PE alone.

Item 7. ACCESSIBILITY, CLIMATE, LOCAL RESOURCES, INFRASTRUCTURE AND PHYSIOGRAPHY

The accessibility, climate, local resources, infrastructure and physiography are all described in Arnold and Journet (2004a).

Since then, a 1,200m long dirt airstrip has been constructed at Dikulushi Mine (completed in October, 2005) and personnel can now be flown directly to the mine site by charter flights from Lubumbashi (flight time approximately 1 hour).

The Dikulushi concentrates are still exported from the DRC via a barge across Lake Moero to Zambia, for onward trucking to Namibia and South Africa.

Item 8. HISTORY

The history of the Dikulushi Mine up to the end of 2003 is described in Arnold and Journet (2004a).

An open pit mine was commissioned at Dikulushi in October 2002 with run-of-mine ore delivered to an on-site HMS concentrator at the rate of 250,000 tonnes per year. The copper-silver concentrate is subsequently transported by barge across nearby Lake Moero into Zambia and then by road to smelters in South Africa and Namibia.

DevMin completed an open pit study in October 2002 which used a resource model prepared for the Signet Engineering prefeasibility study, Munro (1998). Since then, Anvil has completed a further 47 drill holes comprising 43 RC holes and 4 DDH holes. The most recent drilling, conducted since the mine was commissioned, is made up of 21 RC holes and 4 DDH holes. The DDH were drilled to confirm deeper high grade mineralisation and to provide geotechnical information. During the first 15 months of operation, the geology within the current open pit has been extensively mapped and, with results of the recent drilling, has resulted in a re-interpretation of the mineralised envelope at Dikulushi.

DevMin were approached by Anvil to undertake the Open Pit Mine Plan study to estimate the remaining open pit reserves and prepare an open pit life-of-mine schedule for the Dikulushi Mine. The study was initiated in August 2003 when a preliminary pit optimisation program was undertaken using Anvil's recent in-house resource model. The initial program was largely an update of previous work carried out by DevMin and showed that with current economic parameters, the feasible depth for open pit mining at Dikulushi could potentially extend to 150m below surface. The earlier work, carried out in 2002 prior to the mine being commissioned, had stopped the pit at 130m depth with remaining mineralisation proposed to be exploited by an underground mine. Taking cognisance of capital investment to develop the underground mine and its remote location, Anvil has subsequently decided to push the open pit to its maximum economic depth.

The mining study was put on hold while DevMin carried out a technical audit of the in-house resource model. As a result of early findings, Anvil subsequently requested DevMin construct an alternative model.

The Open Pit Mine Plan described in this report has adopted the new DevMin resource model which was completed in early September 2003. This produced a pit to a depth of 150 metres.

Further metallurgical work was carried out in 2003 resulting in the installation of a ball mill and flotation plant in mid 2004 increasing the throughput to 350,000 tonnes per year. A second ball mill was installed in June 2005 with a further increase in throughput to 520,000 tonnes. This is the current capacity of the treatment plant and the mining fleet has been increased to provide the appropriate feed for the treatment plant.

Costs and revenues throughout this study are in US dollars and metal prices are assumed to be constant over the remaining life of the project to the end of 2007:

- Copper: \$3,142/tonne (or \$1.43/lb)
- Silver: \$5.50/oz

Item 9. GEOLOGICAL SETTING

9.1 Regional Geology

The Lufilian (or Kundelungu) Foreland (Fig. 3) in the southwest of the Democratic Republic of Congo (DRC) represents a triangular-shaped area to the north of the Lufilian arc. It is bounded to the west by the Mesoproterozoic (1.6-1.0 Ga) Kibaran Mobile Belt and to the east by the Palaeoproterozoic (2.5-1.6 Ga) Bengweulan Massif. The foreland extends up to Lake Tanganyika, where the Katangan rocks lay discordantly on Palaeoproterozoic magmatic rocks. Recent work on the Zambian part of the western arm of the Lufilian Arc identified the arcuate 'Western Foreland Thrust' as the outermost thrust of the foreland fold-and-thrust belt (Key et al., 2001). Therefore, the mildly deformed Katangan sediments north of this thrust can be regarded as a true foreland.

The Katangan Supergroup stratigraphy is presented in Table 4. The Dikulushi deposit is located within the Kalule Group of the Upper Kundelungu, at the contact between the Kiaka Carbonates and the overlying Mongwe Schists. In terms of regional structure, the deposit is located within the northeast-trending Lumekete Fault Zone, where this intersects the northern margin of the Dikulushi Anticline (which, in turn, is interpreted as a northern continuation of the major Kipako Anticline).

A number of sediment-hosted, stratiform, disseminated, and vein-style base metal deposits occur in the foreland.

Super Group	Group	Formation	Unit	Lithology	m-Approx thickness	Mineralization
Upper Kundelungu - Ks	Plateaux Ks-3		Kitunga Lupili Arkose	Pink Arkose	<200	
	Kiubo Ks - 2	Ks - 2.2	Kapenga Schists	Interbedded red argillaceous sandstone and red argillates	350	
			Sonta Sandstone	Red sandstone and quartzite	100	Disseminated chalcocite and malachite at base of Sonta Sandstone
			Sampwe schists	Interbedded red argillaceous sandstone and red argillates	300	
			Kyafwama - Kombo Sandstone	Red sandstone	50	
			Lufila schists	Interbedded red argillaceous sandstone and red argillates	150	
			Kiubo Sandstone	Red sandstone	50	
	Kalule Ks - 1	Ks - 1.3	Mongwa Schists	Argillaceous red sandstones interbedded with argillates. Minor Sandstone	<100	Fault controlled Cu-Ag mineralisation at the dolomite/ sandstone contact
		Kiaka Carbonates Ks 1.2	Lubudi Dolomites	Interbedded pink, cross bedded dol-arenites, with oolitic caps	<50	Dikulushi
			Kanianga Sandstone	Sandstone - argillaceous and weakly calcareous	<50	
			Lusele Pink Dolomites	Pink intramicrite flakestones	<50	
				Interbedded white/pink carbonate muds and arenites	<50	
				Basal dolomite (BD)	4	Zn-Pb mineralization at contact with diamictite
		Ks - 1.1	Le Petit Conglomerate	Diamictite	<100	
Lower Kundelungu Ki	Monwesi		Monwesi	Fluvio glacial sandstones	<50m	Stratiform copper Kinkumbi, Lufukwe anticline
	Likasi Ki-1	Ki -0 1.1	Le Grand Conglomerate	Diamictite	500	
Roan R	Mwashya R-4	R - 4.2		Dolomitic shales and sandstones	?	

Table 4: Stratigraphy of the Dikulushi Region, showing location of known mineralisation.

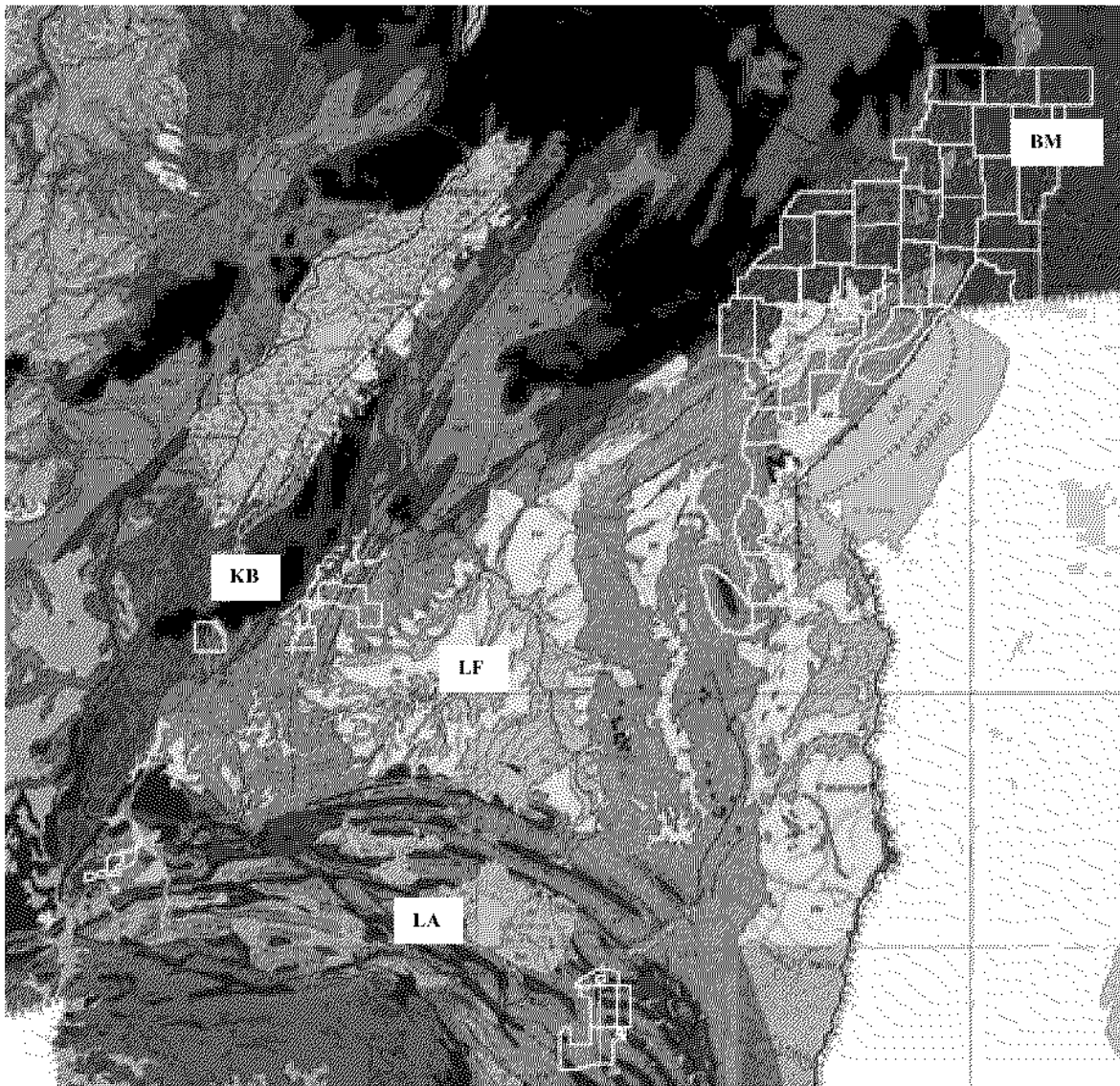


Fig. 3: Regional Geology of SE Katanga Province.

LA = Lufilian Arc; LF = Lufilian (Kundelungu) Foreland; KB = Kibaran Mobile Belt; BM = Benguelan Massif.

9.2 Local Geology

Two main lithostructural domains can be distinguished: (1) the regular *sedimentary series*, consisting of red sandstones, siltstones and shales of the Mongwe Schist Unit (brown on Fig. 4), and (2) the *mélange*, a chaotic formation that consists primarily of Kiaka Carbonate, with 'exotic' blocks which are interpreted to be from lower stratigraphical levels (pink on Fig. 4). Bedding within the Mongwe Schist Unit strikes N-S and dips to the east at moderately to steeply angles (average 45°), although it is locally folded, especially close to the melange contact.

Two ore bodies are mined in the Dikulushi open pit (blue on Fig. 4). The main "Footwall" zone is a 240m long, 2-25m thick vein of semi-massive chalcocite (and/or bornite), which strikes east-northeast and dips to the southeast at about 65°. The second mineralized zone (the "Hanging Wall" zone) is not so well defined. It is a broad zone (up to 50m wide) of discontinuous, steeply dipping, veins/veinlets/disseminations of

chalcocite, which strikes at an angle of 20° to the Footwall zone, which it intersects in the eastern part of the pit.

Multiple fracture sets that post-date folding are present in the more competent lithologies: EW-trending – subvertical; ENE-trending – moderately N-dipping; NW-trending – moderately S-dipping; NE-trending – subvertical.

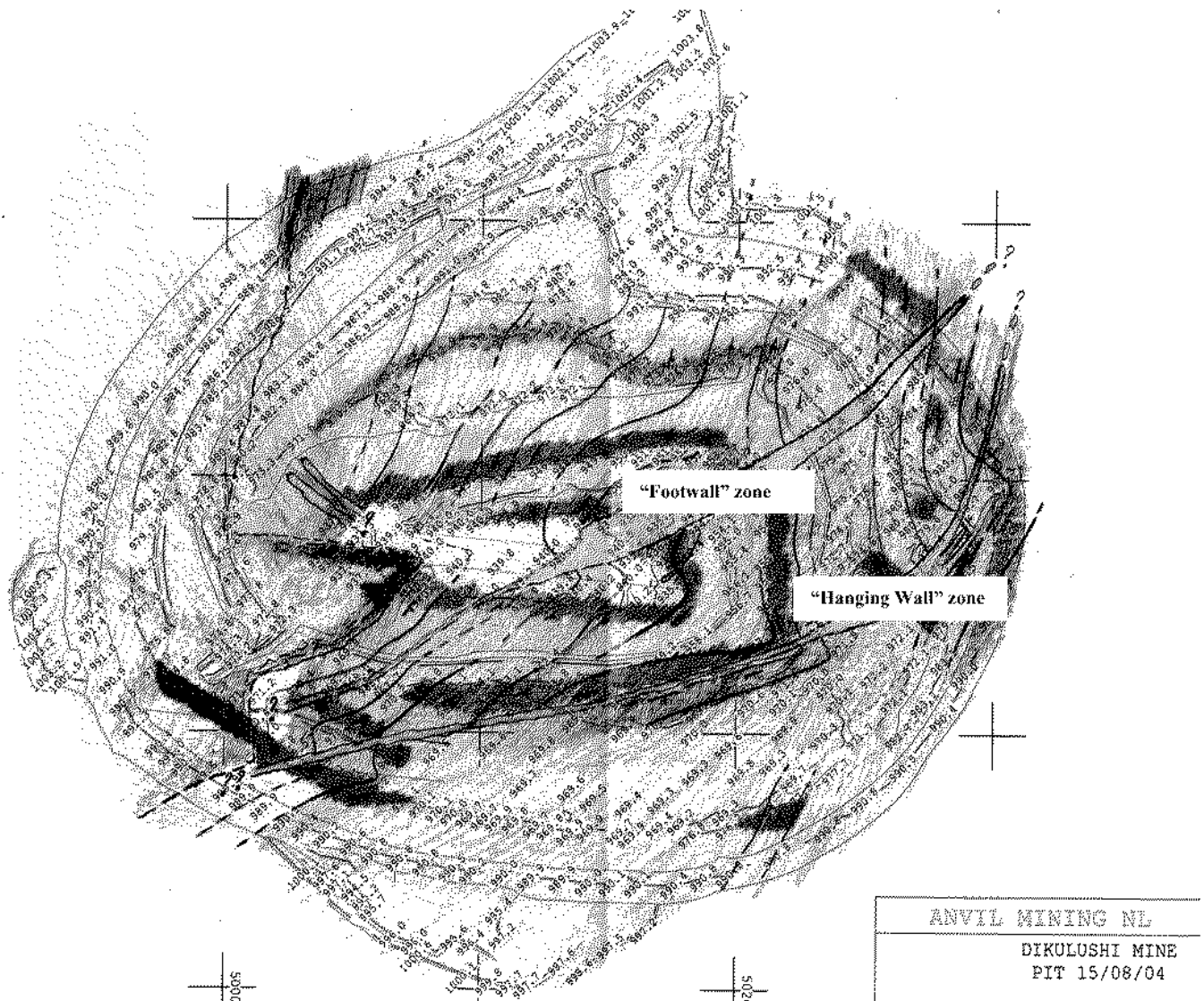


Fig. 4: Geology of Dikulushi Open Pit (see text for explanation)

Item 10. DEPOSIT TYPES

The Dikulushi copper-silver deposit is a low temperature, hypogene vein of massive to semi-massive sulphide, which is thought to have formed during or after deformation of the Lufilian Orogeny. It is not typical of Central African Copperbelt deposits, which are generally stratiform, disseminated in nature, and thought to have formed during late-diagenesis of their host sediments.

The controls on mineralization are not fully understood as yet, although it is clear that regional and local structures have played an important role, (a) to allow the ingress of mineralising fluids into the stratigraphic sequence and (b) to provide the trap sites for precipitation of sulphides (GF Consult, 2003; Sintubin et al, 2004). It is speculated, though not yet proven, that the carbonate may also have played a role in providing a chemical control on ore deposition.

The exact age of mineralisation is not known.

Item 11. MINERALIZATION

The mineralization at Dikulushi can be broken into three distinct types:-

- **Massive chalcocite** is the most common mineralisation, occurring along 75% of the strike length of the footwall orebody from east to west. Grades of over 20% Cu are common and the silver ratio is much higher than the ore body average of 30g/t Ag per 1% Cu. Massive chalcocite can also be found in discrete fault zones in the hanging wall ore zone.
- **Massive Bornite** is found in the western end of the footwall ore body, against the contact with the Kiaka Carbonates. The mineralisation is silver poor (<15g/t Ag per 1% Cu), but the more massive nature of the bornite results in higher copper grades (~30%Cu) - compared to chalcocite mineralisation. Discrete bornite veins have been found within the Kiaka Carbonates and are rare in the hangingwall ore zone.
- **Disseminated Chalcocite** is found throughout the deposit; it occurs as disseminated "blebby" chalcocite and as thin 1mm disseminated veins.

Gangue minerals associated with the deposit include barite, calcite, quartz and siderite.

The top 30m of the deposit has been subject to superficial weathering, dissolution and oxidation. Malachite, azurite and chrysocolla replace the chalcocite in the oxidised zone, although significant chalcocite does occur relatively close to the surface. Indeed, the discovery outcrop was comprised of massive chalcocite. Minor malachite, chrysocolla and azurite are also present at the current drilling depths of +350m.

Item 12. EXPLORATION

Since discovery in the early 20th century, and subsequent detailed assessment by the French Bureau de Recherches Géologique at Minières (BRGM), exploration at Dikulushi has essentially involved several drilling campaigns, which are described in the following section.

Item 13. DRILLING

Several phases of drilling have been carried out on the Dikulushi deposit beginning with the BRGM in the 1970's and 1980's. The BRGM completed 48 DDH holes (5,223m), of which 42 intersected the ore body. Anvil has carried out several campaigns since 1997, the details of which are given in Table 5.

Diamond drilling has principally been of HQ size core, but with some holes reduced to NQ size. Core orientation has been by way of spear point marking at the end of suitable core breaks. On recovering the core from the hole it is orientated, where possible, and then logged for geotechnical defects, core recovery and geology.

The 1998 prefeasibility model was constructed using the results of the diamond core drilling from the 1974-1981 BRGM and the results of the 1997 diamond and RC programs of Anvil. The data collection procedures (drilling, sampling, sample preparation, assaying and database compilation) are described in Anvil (1998) and Munro (1998).

Table 5: DRILLING CAMPAIGNS

Company	Period	Type	No. Holes	Metres	Sequence
BRGM	1974-1981	DDH	48	5,226	DIK1-47
Anvil	1997	DDH	18	2,115	DDH1-14, DR15, 19, 20, 38
		RC	26	2,305	DRC15-40
	2000	RC	22	786	DRC043-064
	2003	DDH	4	885	DDH16-19
		RC	21	1,768	DRC065-085
	2004	RC/DDH	14	414/3,811	DDH020-035 (no 032)
	2005-2006	DDH	14*	5,000*	DDD38-46 (to date)

(* planned)

13.1 Anvil Programme 1997

In 1997 Anvil carried out an exploration program at Dikulushi, which aimed at confirming the BRGM results and allow estimation of mineral resources to the standard of the Australian JORC Code. A total of 40 drill holes were completed using two drill rigs between September and October 1997. All holes were orientated at 60° towards an azimuth of 340° (grid north), and all holes were in the area previously drilled by the BRGM. These resources and reserves were subsequently reviewed in the light of the requirements of NI-43-101.

A total of 18 HQ and NQ DDH holes (DDH1-14 and DDH15, 19, 20, 38), including 4 with reverse circulation (RC) pre-collars were completed in the 1997 diamond drilling program. Mineralisation was intersected in 17 of the 18 holes. Down hole camera surveys were completed at least every 12 metres in the DDH holes and the results showed the DDH remained essentially straight with a maximum deflection of 2° in declination and 4° in azimuth. A core orientation spear was also run after every core run (usually 3 metres). On recovering the core, it was orientated, when possible, and then logged for geotechnical defects, core recovery and geology. Core recovery averaged about 90%, except for minor soil, sandy and cavernous zones. Recoveries in mineralized zones are reported to have been about 90%.

A total of 22 RC drill holes (DRC16-18, 21-37, 39, and 40) were completed during the 1997 program using a booster compressor, which was essential due to large water inflows and broken ground. Mineralization was intersected in 19 of the 22 RC holes. None of the wholly RC drilled holes was down hole surveyed. Four RC pre-collared holes were surveyed throughout their length but due to the presence of steel casing, only the cored section returned valid azimuth readings. The dip variations in these holes were minor, however the cored sections showed consistent anticlockwise azimuth rotation of between 9-18°. Consequently, an average azimuth correction factor of 3.2° anti-clockwise deviation per 20 metre downhole has been entered into the RC drill hole database to compensate for this interpreted drill hole rotation.

Of the holes drilled during the 1997 program, 11 DDH holes and 6 RC drill holes were specifically collared to twin earlier BRGM DDH holes.

Anvil also cleaned out and re-sampled six trenches and four test pits that were originally dug and sampled by the BRGM. A total of 90 channel samples and 18 rock-chip samples (pits) were taken from 191 metres of trenching as well as 18 rock chip samples from pits. Orientation soil and stream sampling and other regional reconnaissance sampling and exploration were also completed by Anvil in 1997.

13.2 Anvil Programmes 2002 & 2003

The drilling programmes carried out in 2002 and 2003 were partly undertaken in response to the observation in Munro (1998) that as the “upper 30 metres of the deposit is poorly defined, infill pattern

diamond drilling is required”, along with the need to clarify the extent of the mineralisation and to sterilise certain areas prior to the commencement of mining.

The diamond core drilling procedures used during the 2002 and 2003 programs were compatible with those of the 1997 Anvil drilling program. A Stanley Drilling Longyear 38 Rig was used in the 2002-03 programs. To avoid the need to reduce core size at depth to NQ, the first 60m was drilled using PQ diameter, followed by HQ. This practice ensures that a good volume of mineralised intercept core is available for both assay and archive.

Core orientation procedures were routinely conducted, although drilling conditions at times limited successful achievement of orientation results. Core recoveries across the mineralised horizons typically exceeded 95%.

Regrettably, all archived core from the 2002 and 1997 campaigns was rendered useless after core trays were overturned by army units during the latter stages of the civil war. Fortunately, photographs of this core, taken for geotechnical purposes, are still available.

13.3 Anvil Programme 2004

The objective of the 2004 programme was to extend the resource down to 300m below surface, and to provide data for a pre-feasibility study on an underground mine. Fourteen holes were pre-collared with RC (414m) and drilled to a maximum ore intercept depth of 280m below surface (3,811m).

The diamond core drilling procedures used during the 2004 program were largely compatible with those of the previous two programs, although core recoveries were not as good due to technical problems with the rig. Stanley Drilling was the contractor for both the RC and diamond drilling.

Down-hole surveys were carried out at 50m intervals using an Eastman camera. Core orientation was attempted using the spear method, but poor ground conditions rendered the data to be of little practical use.

13.4 Anvil Programme 2005/6

The objective of the current programme is to increase our confidence in the geological model and upgrade the resource classifications to a depth of 400m below surface, for a possible future underground mining operation. Diamond drill holes from this survey are identified with the prefix “DDD”.

The programme is being drilled with one of Anvil’s own Boart Longyear LF90 rigs, managed by Wallis Drilling. The holes are all being drilled to 45m with HQ (to which depth the holes are cased) and drilling continues with NQ. Drilling procedures have been upgraded following recommendations made by Arnold (2004b), and have included reducing the down-hole survey interval (to approximately 30m) and establishing the daily maintenance of an up-to-date digital database of geological and geotechnical logs, survey data, and QA/QC data.

Each hole is being surveyed every 30-40m, using a single shot Tropari tool. Drilling procedures are similar to those of the 2004 programme.

The programme is currently underway, with eight holes completed to date, but no sample assays have been reported as yet.

Item 14. SAMPLING METHOD & APPROACH

The sampling procedures for RC and diamond drilling at Dikulushi are described below. The establishment of these procedures began during the first field program in 1997, when the Dikulushi deposit was first drilled by Anvil. The procedures undergo minor modifications from time to time, as and when changes are deemed necessary.

14.1 Survey Control

The relationships between the Dikulushi Mine Grid and magnetic and true north orientations are as follows:

$$\text{Grid North} = \text{MN} - 20.2^\circ$$

$$\text{Grid North} = \text{TN} - 22.0^\circ$$

14.1.1 Collar pickups

The collar positions of the majority of RC and DDH holes in all of the Anvil campaigns were surveyed by site survey teams. A limited number of drill holes appear to have retained their planned coordinates in the database.

A visual comparison of the drill hole collars with the surveyed pre-mining topography indicates discrepancies of up to 0.5m. However, the more recent drill holes (excluding those clearly collared following excavation) tend to correspond closely to topography.

14.1.2 Topography and pit surveys

Two sets of triangulated surface elevation models are relevant to this resource estimation:

- i) the pre-mining topographic surface which is used to 'trim' the pre-mining cell model; and
- ii) the pit pickup surface as at 31st July 2004, which is used to differentiate between mined and remaining resources.

Both the topography and pit surveys were undertaken by the mine survey department, and are therefore achieve the required accuracy for resource modelling purposes.

14.1.3 Downhole surveys

In the 1997 drilling campaign, downhole surveys were conducted at 12m intervals (Anvil, 1998). Such detailed surveying was relaxed for the 2002, 2003 and 2004 diamond drilling campaigns to a maximum interval of 50m. The survey interval has subsequently been reduced to approximately 30m for the latest 2005/6 drilling campaign on the recommendation of DevMin (2004b).

14.2 Density determinations

The evaluation of density data available from both the BRGM and Anvil 1997 campaigns is detailed in both Anvil (1998) and Munro (1998). That work established a correlation between bulk density and copper content to produce the following regression formula:

$$\text{Density} = 2.6 + 0.027 * \text{Cu}\%$$

This formula was used to model density in the Prefeasibility Model.

No density data has been collected since then, but a simpler, uniform density of 2.8t/m³ for copper mineralised zones and 2.6t/m³ for waste has been adopted for the latest resource model.

Formal measurements of density from drill core will be undertaken during the current 2005/6 campaign. It is proposed to take measurements for each ore intercept and at approximately 7m intervals in waste (one sample per core tray).

14.3 Oxidation

An evaluation of the relationship between oxidation (CuOx/Cu ratios) and depth below surface is documented in detail in Anvil (1998). That evaluation was limited by the need to reject copper oxide assays from several campaigns, due to recognition of sample oxidation during storage and transport.

14.4 Diamond Core Sampling and Handling Procedures

The procedures for core handling were first set up during the 1997 drilling program, which was Anvil's first drilling program at Dikulushi. The following sections describe the field procedures adopted for the handling of drill core during that program since these procedures are still being followed.

14.4.1 Recovery of Drill Core

Drillers remove the core (HQ & NQ size) from the core barrel and place it in core trays provided by Anvil. Drillers are instructed to never break any solid pieces of core. At the end of each run (i.e. each time the barrel was pulled from the hole) the bottom hole depth is recorded, marked with depth tags and core sample pumped out from bottom up. During the previous programmes, core orientation was attempted by spear, but ground conditions resulted in poor data. No orientations are being conducted during the current campaign. The site geologist regularly checks depths provided by drillers. Full core trays, after being marked with hole number and "from and to" depths, are moved to the core reception area within the Dikulushi Exploration Camp.

14.4.2 Logging of Drill Core

Using an angle bar support, the site geologist then reconstructs the core as best as possible. Any breaks made during handling of the core are specially marked so they are not confused with natural breaks being logged for geotechnical purposes. After reconstruction, the core is oriented where possible and marked with downhole direction and metre points. Then geotechnical logging, core recovery logging and first-pass geological logging is completed. (Note, by convention, any core loss is presumed to come from the start of the run). Core is marked up for splitting into two, and, where intended for sampling, one half is marked to be cut into quarters. Core is then cut and all pieces replaced in the tray, with due care and attention paid to correct orientation.

In the 2005/6 drilling campaign, no core is being orientated. Half core samples are being sent for assay and the sampling intervals are geologically controlled (to a minimum of 30cm).

14.4.3 Sampling of Drill Core

The site geologist completes geological logging, decides where samples are to be taken, records sample numbers on log forms, selects the quarter core to be sampled and places the core into calico bags marked with the sample number. The site geologist also completes sample tag book butts with sample details and places the correctly numbered sample tag in the sample bag.

The core is sawn in half and then, where sampled, is halved again, with the resulting quarter core submitted for assay. Assay samples are generally taken from whole metre intervals. Minimum sample intervals of 30cm have been adopted for the 2005/6 program.

During the first drilling program in 1997, since the geological staff on site had no prior experience of this mineralization style or in relating grades to the appearance of the core, samples were generally taken from regular metre intervals. Samples were taken from every interval in which copper was observed (or suspected) and for at least one metre either side. As local skill levels and our understanding of the geology have improved, sampling has become more geologically controlled for the more recent drilling campaigns.

14.4.4 Dispatch of Samples to the Laboratory

Individual samples from each hole are collected into hessian sacks, submission letters for the laboratory are prepared, clearance documentation for DRC customs are prepared, and the samples with paperwork are sent on to the laboratory.

For the 1997 program, samples were padlocked into metal or wooden trunks for airfreight to Johannesburg via Lubumbashi. Time elapsed between drilling and samples arriving at the Johannesburg laboratory ranged from 3 to 6 weeks.

For the 2002 and 2003 campaigns, samples were prepared and assayed at the on-site mine laboratory, which had been set up by SGS.

For the 2004 campaign, half core samples were air-freighted to Genalysis in Perth.

For the 2005/6 drilling campaign, core samples are being shipped by road to A.H.Knight (AHK) in Kitwe, Zambia, for sample preparation, before being airfreighted to ALS Chemex in Johannesburg for analysis.

14.5 RC Sample Handling Procedure

The geologist logs the RC chips on site and collects a sieved, washed sample from each metre for storage in clean plastic chip trays. Any copper minerals observed during the sampling are recorded and each metre with observed or suspected copper content is sampled. Any section of a hole that is not sampled at one metre intervals is composite-sampled, usually at four metre intervals.

With RC drilling, samples are collected for each metre drilled into a large plastic bag, marked with the hole number and depth. Each metre sample comprises 30-40kg of drill chips (except for some top of hole samples where recovery was significantly less). This large sample is split on site with a Jones Riffle Splitter to a representative sample of about 4kg. This process usually involves three splits through the 50:50 splitter device provided by the drillers.

One to two kilograms is then collected from each sample by splitting the 4kg in half for the 1m samples, or collecting 500g from each metre sample for the composites. With 5mm maximum chip size, at least 500g is required to ensure representative samples. The geologist records sample numbers on the log and sample tag booklet butts are filled out with hole and depth details. Samples are collected into calico bags marked with sample numbers and sample tags are placed into the sample bags.

Samples from each hole are dispatched together in hessian sacks, along with relevant laboratory submission and customs documentation. Similar procedures were followed for the dispatch of RC samples as have been described for diamond core samples.

Item 15. SAMPLE PREPARATION, ANALYSIS & SECURITY

The procedures in place to provide secure storage for samples from all campaigns were and are considered appropriate.

15.1 1997 Campaign

Samples from Anvil's 1997 drilling campaign were shipped primarily to Gold Labs Africa laboratories in Johannesburg, South Africa, and to Australian Laboratory Services Pty Ltd (ALS), in Perth, Australia, for QA/QC checks. All samples were analysed for Cu, Co, As and Ag. Cu and Co determinations were done by digesting sample pulp in HClO₄, HF, and HNO₃ until dry, redissolving in HCl for dilution and mixing, then reading metal content with an ICP. Iodide titrations were done as checks on samples with >10% Cu.

Initially Ag and As was measured on the ICP after aqua regia (HCl and HNO₃) digestion. The first Ag assays received were thought to be low and some fire assay checks were done. This confirmed that when there was high metal content in the sample (circa >8%) the digestion procedures understated values for Ag content. Then Ag and As assays were tried using a separate HClO₄ and HF, and HNO₃ digestion and values were found to be consistent with fire assay values. All samples were then assayed for Ag and As using the HClO₄, HF, and HNO₃ digestion.

All samples with >1% Cu were analysed for Cu oxide content. The analysis involved taking 1g of sample, adding 30ml of dilute H₂SO₄ (125g/l solution), which had been saturated with SO₂, agitating for two hours, filtering, washing residue off paper, diluting the liquor, and then assaying for Cu by ICP.

Anvil (1998) and Snowden (1998) document programmes of internal and inter-lab duplicate checks undertaken by Anvil, and report a high degree of precision.

15.2 2002 & 2003 Campaigns

At the commencement of operations in October 2002, Anvil contracted SGS Analabs of Perth to set up an assay facility at the Dikulushi mine site, and all drilling samples from the 2002 and 2003 drilling campaigns were prepared and assayed on site. The Dikulushi laboratory routinely calibrates assay procedures using internal standards and procedures established for SGS Laboratories worldwide. Standards, duplicates and blanks were inserted into batches at every 50 samples. Standards used were 50g/t Cu and 200g/t Cu.

15.3 2004 Campaign

For the 2004 drilling campaign, samples were crushed to minus 2 mm, split using a Jones riffle splitter to produce 1kg of material, and pulverized to 75 microns at Genalysis in Perth. The 2mm sample residues were kept in the storage as reference samples (these were recently discarded in 2005). The 1kg pulp was then split further using a narrow aperture riffle splitter to produce a 20-30g sample of pulp.

A four acid digest was carried out on the sample, then analysed by ICP-OES for copper ±cobalt ±silver. Assay results were e-mailed from the Genalysis laboratory to the exploration site (via a Rawsat 64KB pipeline), where they are entered into an Access database.

15.4 2005/6 Campaign

For the 2005/6 drilling campaign, samples are being prepared at A.H.Knights (AHK) in Kitwe, using similar procedures to those of the 2004 campaign. AHK will also bag up Anvil-supplied standards and blanks for QA/QC so that they cannot be recognised as such by the assaying laboratory. The 20-30g sample pulp will be air-freighted to the ALS Chemex laboratory in Johannesburg, South Africa, where they will be subject to a four acid digest and analysed by ICP-ME for copper and silver, and selected other elements.

Item 16. DATA VERIFICATION

16.1 Twin Drilling

For drill result comparison purposes, in 1997, Anvil completed 11 DDH holes and 6 RC drill holes which were collared within 4 to 11 metres of corresponding BRGM DDH holes drilled approximately 20 years before. This twin hole drilling aimed to validate the results of the earlier drilling program and generate sufficient samples to produce meaningful geostatistical comparisons. In order to test the validity of the RC drill holes versus the DDH holes two pairs of twin holes were completed by Anvil. The RC drill hole was drilled first followed by the DDH hole at a distance of 2 metres from the RC drill hole.

Early in the compilation of the Dikulushi database it was recognized that the old BRGM and new Anvil assay data sets had different average values and somewhat different distributions. In recognition of the fact

that this is an extremely complex issue, it was decided to commission Snowden Mining Industry Consultants Pty Ltd ("Snowden") to prepare a detailed geostatistical study of the data. The full results of that study are available in Snowden's report (Voortman, 1998).

The Dikulushi mineralisation was found to be moderately variable in width and highly variable in grade over short distances. The complex interplay of mineralised structures and processes and innate complex distribution of chalcocite within the Dikulushi deposit has led to highly variable drill hole assay intersections. The deposit is also clearly zoned, in horizontal and vertical directions, and this adds to the difficulty in meaningfully comparing assay results. Drill holes only a few metres apart can return quite contrasting copper and silver intersections, making comparison of individual twin holes problematic. The average differences over a number of holes may be more comparable than the absolute difference in individual twin holes.

16.2 Twin Anvil and BRGM Diamond Drill Holes Comparison

The results of the 11 Anvil twin DDH holes were used to compare intersection results and test the validity of the earlier BRGM results. Although the twin holes were placed within 4 to 11m of their corresponding BRGM holes, the average distance was 4.5m. At a 2.0%Cu cut-off grade, the average of the copper intersections from these holes was as follows:

- BRGM (11 holes) 18.73m at 12.91 %Cu (for 241.8 m%Cu), and
- Anvil (11 holes) 16.90m at 9.58 %Cu (for 161.9 m%Cu).

Clearly there was a significant discrepancy as the BRGM holes were 11% wider and 35% higher grade, representing 49% more contained copper metal. The difference in width is hard to comprehend, particularly since the Anvil twin holes provided DDH core. However, it is probably partly due to chance, partly different sample widths (Anvil usually took full 1m samples), partly a product of hole deviation and partly the fact that if the BRGM assays are higher tenor, then they all exceed the cut-off grade over a greater width.

As the BRGM copper assays in this comparison are on average 35% higher grade than the Anvil assays, this suggests a systematic sampling or laboratory bias between the two data sets. Unfortunately there is no detailed data on the French laboratory, sample preparation, assay method, etc for the BRGM samples. The BRGM core has also been lost so that there is no possibility of re-assaying any of the original BRGM drill core. Goldlabs in Johannesburg, South Africa analysed the Anvil samples, and ALS assayed duplicate samples in Perth.

16.3 Twin Anvil RC and BRGM Diamond Drill Holes Comparison

The results of the 6 Anvil RC drill holes were used to compare the intersection results of Anvil RC drilling and earlier BRGM diamond drilling. The average of the 6 copper intersections, at a 2.0%Cu cut-off grade, was as follows:

- BRGM (6 DDH holes) 22.40m at 5.56 % Cu (for 124.5 m%), and
- Anvil (6 RC holes) 25.00m at 6.96 % Cu (for 174.0 m%).

The results show that the RC intersections are wider (+12%) than those of the BRGM DDH holes, which suggests the possibility of down hole contamination during RC drilling. This is clearly possible as the water table at Dikulushi is only about 8m deep and large water inflows were experienced during drilling of some of the RC holes. However, it is thought that the RC holes are probably deviating more than the DDH holes and therefore some of this difference may be due to the RC intersections being at a higher angle to the mineralised zone.

The Anvil RC assays are also 25% higher than the equivalent BRGM DDH assays. In summary, the Anvil RC drill holes are reporting 40% more contained metal than the BRGM DDH holes, which in turn are reporting 49% more metal than the Anvil DDH holes.

16.4 Twin Anvil RC and Anvil Diamond Drill Holes Comparison

Anvil also completed two twin RC and DDH holes (each 2m apart) in order to test for discrepancies between the two drilling methods. At a 2.0%Cu cut-off grade the average of the 2 copper intersections was as follows:

- Anvil (2 DDH holes) 21.00m at 12.62 % Cu (for 265.0 m%), and
- Anvil (2 RC holes) 23.50m at 15.37 % Cu (for 361.2 m%).

In this comparison the RC drill holes are again wider (+12%), higher grade (+22%) and report more copper metal (+36%) than the DDH holes. This is in good agreement with the Anvil RC versus BRGM DDH holes where the RC holes reported greater widths, grades and therefore more copper metal.

16.5 Global Comparisons of Anvil versus BRGM Assay Results

To further compare the validity of the various drill and assay types a comparison was made on average copper intersections of the three drill and assay types for all holes in the main Dikulushi mineralised body. This only included angled drill holes orientated at +/- 15° from grid north and is at a 2.0%Cu cut-off grade. The average intersection from all 62 intersections was as follows:

- BRGM (26 DDH holes) 20.00m at 9.77 % Cu (for 195.4 m%),
- Anvil (17 DDH holes) 17.60m at 10.19% Cu (for 179.3 m%), and
- Anvil (19 RC holes) 22.70m at 7.95% Cu (for 180.5 m%).

The total copper metal contents (m% basis) are reasonably similar. The BRGM DDH assays are 4% less than the Anvil diamond assays (versus +35% on the twin holes), however a number of the BRGM holes in this comparison are on the periphery of the deposit where the mineralisation grade is reduced. The BRGM DDH assays are 23% higher than the Anvil RC drill assays (versus -20% on the twin holes), and the Anvil DDH assays are 28% higher than the Anvil RC drill assays (versus -18% on the two twin holes). These assay results are in contrast to the twin hole results, although the width relationships are consistent with the twin results.

For a final comparison, all drill holes in the core of the deposit, represented by the central 200m strike length and above 100m depth (900mRL), were compared. Again this comparison included only angled drill holes orientated at +/-15° from grid north, although in this comparison time, a lower 0.5%Cu cut-off grade was used. The average of the 42 intersections was as follows:

- BRGM (15 DDH holes) 28.35m at 7.72 % Cu (for 218.7m%),
- Anvil (12 DDH holes) 23.36m at 6.66 % Cu (for 155.7m%), and
- Anvil (15 RC holes) 28.73m at 6.61 % Cu (for 189.8m%).

The BRGM DDH intersections are again wider on average (+21%) than the Anvil DDH intersections, while the RC drill intersections are again the greatest width, which is a consistent pattern through all of the comparisons. The BRGM copper assays are on average 16% higher than the Anvil assays.

16.6 Discussion of Anvil and BRGM Drill Hole Assay Comparisons

The various comparisons undertaken reveal that the BRGM DDH intersections are greater in width than the comparable Anvil DDH intersections. Without the core to examine, the reasons for the greater intersection

width in the BRGM Diamond drilling can only be surmised, but it is likely to be a result of various factors. These probably include chance, different sample widths, sampling methodology, drill hole deviation and partly the fact that if the BRGM assays are of higher tenor, then they will report a greater high-grade interval. Other possible compounding factors are the drilling method (e.g. triple tube versus conventional core barrel), core loss, driller competence, etc, most of which are not known for the BRGM drilling.

Examining all of the comparisons undertaken, the BRGM DDH assay intersections vary from 35% higher to 4% lower than the Anvil DDH intersection assays. Using all three comparisons gives an average (and median) difference of + 16%.

RC intersection widths are consistently greater than the comparable DDH widths. This could be partially due to larger (1m) sample sizes, more drill hole deviation, or the presence of down hole contamination of chalcocite during drilling. Although it is also possible, but less likely, that corroded, powdery or loose grains of chalcocite within a porous sand grain matrix could be selectively washed from the rock by the drilling mud during Diamond drilling, leading to narrower DDH intersections. However, this washing effect seems less likely than RC contamination. As far as the RC grade is concerned, some of the individual twin hole comparisons show higher grades for RC drilling while the global comparisons show lower or similar grades.

During the 1998 modelling, mineral resource estimates were completed both with and without BRGM data and the differences in contained metal was less than 1%.

16.7 Data Preparation

Drillhole sample data was received from Anvil in a set of tables within an MS Access database (Dikulushi.mdb). The tables were exported as comma separated value (.csv) files, and imported into Datamine. A listing of sample data files can be found in Table 6. The spatial extent of the data is summarised in Table 7.

Data type	System file	Datamine file	Records
Collar	Collar.csv	Collar	135
Downhole survey	Survey.csv	Survey	477/579
Drillhole assay	Assay.csv	Assay	5038
Drillhole geology	Geology.csv	Geology	1409

Table 6: Exploration Sample Data Files

Note: records were added to the downhole survey file at the time of loading, such that any holes that did not have survey readings at collar, were assigned collar readings corresponding to the first downhole reading.

Direction	Minimum	Maximum	Range
Easting	49919.74	50300.44	380.70
Northing	19826.13	20079.78	253.65
RL	776.01	1006.49	230.47

Table 7: Sample Data Limits

It is common practice to use negative values in assay databases as codes in numeric grades fields (to represent, for example an instance of 'below level of detection'). A code translation file in the Dikulushi database provided some information as to what the codes represent. All negative numbers were re-set, to background copper or silver values (0.01% Cu or 0.01g/t Ag).

With respect to effect on grade estimation, the option to assign a very low grade value to unassayed intervals is intermediate between assigning a zero value (very conservative) or an absent data value (optimistic, because the most probable value of 'below level of detection' would not be available to act as a constraint on high grade in the search neighbourhood). This action affected 248 copper values, and 1391 silver values. It was not ascertained where these samples locate spatially, but it is unlikely that more than a handful are associated with the modelled mineralisation.

Three desurveyed drillhole files were created, one with assays only (dikassde), one of geology only (dikgeode), and one with assays and geology merged (diksmpte).

16.8 Drilling Processes and Assessment of 1997 Drilling

16.8.1 Diamond Drilling Program

Diamond drilling at Dikulushi during the 1997 program was undertaken by RUC Zambia Ltd using a Smith 2000 multi-purpose rig mounted on a Magirus Deutz 6x6 truck. All drilling was done with 3m rods and a conventional core barrel. More recent programs have been undertaken by Stanley Mining Services from Zambia.

The diamond drilling during the first program in 1997 was completed at an average rate of 34.8m per day. After the drillers became familiar with the local drilling conditions it was usual to drill more than 40m per day. All holes were drilled at 60° with an azimuth of 340° (grid north).

Holes were drilled HQ from the top and converted to NQ when judged appropriate, usually after drilling through to weathered zone and the first broken or fractured zone. On average holes were drilled HQ to 20 to 35m, HQ rods were used as casing to that depth and NQ drilling commenced from that point.

Core orientation marking was attempted after each 3m core run. This was done using a spike or wax pencil on a metal weight at the end of the wireline which when dropped down marks were usually visible so it was possible to orient the start of each run, but broken sections, which could not be reconstructed, frequently disrupted the continuity of orientation.

Holes were surveyed with a multi-shot Sperry camera after completion. Surveying was generally done by pulling back 6m, placing the camera in rods, lowering down the hole through the core barrel and then pulling rods such that a survey shot was taken at least every 12m. Surveying results were adequate to good; the only major problem was that the film used appeared to be extremely sensitive to any light (even red) and to the age of the developer.

Surveying showed the holes were quite straight with dip not varying more than 2 degrees from initial recording and azimuth not varying by more than 4 degrees. It also showed initial rig placement was satisfactory with initial azimuth within 5 degrees and initial dip within 3 degrees of intended orientation.

Core recover was generally good with over 90% recovery- with the following exceptions:

- Clayey/sandy tophole (ie soil) sections which wash out,
- Broken zones where a proportion of the drilled material is not of a size to be held by the core-catcher and is ground away,
- Sandy zones which wash away, and are presumed to be sandstone, which has been highly broken by fracturing (not common),

- Cavities, generally are not large (usually centimetre scale), though one presumed cavity in a RC hole was nearly 3m, and

The broken zones, frequently preceding mineralised zones, delayed Diamond drilling by the regular need to pull rods to unblock the barrel and ore core-catcher. There were also water losses to the broken ground.

16.8.2 RC Drilling Program

RC Drilling at Dikulushi during the 1997 program was undertaken by RUC Zambia Ltd using a Hotline multipurpose rig mounted on a Magirus Deutz 6x6 truck with a 900psi/350cfm compressor on board. A second Magirus Deutz 6x6 provided an extra 900psi/350cfm booster compressor. All holes were drilled with a 4 3/4"/120mm face sampling bit. More recent programs have been undertaken by Stanley Mining Services from Zambia.

The RC drilling was completed at an average drill rate of 114m per day. A truck mounted booster compressor was used in addition to the main rig compressor to help with water inflows. The booster compressor was always required. All holes were drilled 60° towards an azimuth of 340° (grid north)

The RC drilling encountered numerous problems connected with large water flows and broken ground. Generally the water table in the area is at about 8m depth. From first contact with water to about 50m was generally little problem with the air available capable of pushing back ground water and keeping samples dry. Frequently after 50m (commonly after adding a rod at 54m) it became impossible to keep the water out and samples were wet. The difficulty in keeping out water was greatly exacerbated by the common fracturing in the ground and the number of drillholes on the prospect combining to give easy communication between holes and from depth to surface. The release of air pressure along fractures and/or up other drillholes often precluded building adequate down hole pressure to keep the water table at bay.

The inflow of water in fractured ground often resulted in rock cobbles caving in around the drill string, which frequently jammed rods in the hole. Although ultimately all rods were recovered, the prospect of losing a drill string down hole was a common occurrence and seven holes had to be abandoned before reaching their intended depth.

The RC rig did not allow the possibility for downhole surveying to be carried out. The four RC pre-collars were surveyed after the diamond tail was completed, but as casing was in the hole to the depth of RC drilling, only dip measurements were returned for the RC section of the hole. Dip variations within the RC section were within the same range as dip variations in the DDH, ie less than 2 degrees. Dips were always within 3 degrees of the intended 60 degree inclination.

The azimuth of the RC holes was more problematic. The azimuth readings immediately after the RC pre-collar were 18, 18, 9 and 10 degrees away from the intended 340 degrees, all varying in an anti-clockwise direction. Some or all of the azimuth rotation must have occurred during drilling as compared with incorrect alignment of the rig. This rotation needs to be taken into account for all RC holes.

To account for the amount of rotation in unsurveyed RC holes requires some assumptions:

- The RC rig was lined up correctly. This is assumed because the diamond rig was lined correctly in most instances and because there is no information to assume otherwise.
- That rotation is consistent down the hole. This is assumed because we have no information to suggest otherwise.
- The four RC holes with diamond tails are representative. Again we have no other data to suggest otherwise.

From these assumptions and using the information from the RC holes with diamond tails, one can average the variation in azimuth seen from the rig line up orientation of 340° to first survey in the diamond tail. Over a total of 350m of RC drilling 55° of rotation has apparently occurred, an average of 0.16° of rotation

each metre. Thus, in the absence of actual surveys, a correction factor of 3.2° anticlockwise rotation for each 20m of RC drilling should be applied to each RC hole, as a best estimate of the likely deviation.

Item 17. ADJACENT PROPERTIES

A regional exploration programme is ongoing on the accessible PRs of the Dikulushi Project. Results to date have been encouraging, but are not yet material to the valuation of the Dikulushi Mine.

Item 18. MINERAL PROCESSING & METALLURGICAL TESTING

A significant amount of metallurgical testwork was undertaken for Anvil for the prefeasibility phase of the Dikulushi Copper-Silver Project.

The work has carried out during February to April 1998 by the Minerals Engineering Group of Mintek at their laboratories in Randburg, South Africa (Mintek 1998). Resource Management Group (RMG) established and supervised the testwork on behalf of Anvil (Resource Management Group, 1998). Local co-ordination and support in South Africa were provided by Fluor Daniel, Southern Africa. The Mintek data were used as the process design basis for the prefeasibility study completed by Signet Engineering in Perth in April 1998 (Signet Engineering Pty Ltd, 1998).

The metallurgical testwork program carried out by Mintek was on various sulphide, oxide and host rock samples from Dikulushi. The locations of these samples, the average grades and the rock type classification are listed below in Table 7. Physical tests were undertaken for typical composites of massive sulphide and light gray sandstone. Flotation tests were carried out on primary, transition, oxidised and highly oxidised composites from the east zone, and primary and complex sulphide composites from the west. These composites represent an arbitrary sub-division of the orebody.

A previous testwork program was carried out by BRGM, the results of which were available in their report no. 80 SGN 260 MIN issued in April 1980 (BRGM, 1980). A limited amount of preliminary testwork was initiated by Anvil and undertaken by Gold Fields in Johannesburg and was detailed in their report no. FL04\ks dated 4 November, 1996 (Goldfields, 1996).

Each composite comprised material from one to three drill holes. The sources of the various samples along with their assay results are listed in the following Table 8.

Composite No.	Drill Holes	Classifications	% Copper		Silver g/t
			Total	Oxide	
1	DIK 15, 22	East-oxidised	9.5	1.5-2	360
2	DIK 28, 31	East-deeper	15.2	0.8	525
3	DIK 6, 11, 14	West-main	10.1	1.0	150
4	DIK 26	West-disseminated	2.8	0.3	60
5	DIK 5, 14	West-complex	9.0	1.3	50
6	DIK 12, 13, 23	East-transition	7.9	0.6	260

Table 8: Sources of Dikulushi Metallurgical samples with assays

Head analyses reveal a relatively high total copper grade of 16.45% for the East Primary composite, while the others are in the range of 8.16-11.4%, which is reasonably close to the target grade of 10% copper. Silver assays are variable, with a range of 138-562 g/t, the highest being for the East Primary. Iron and sulphur levels are relatively low. Potential penalty elements are lead and zinc in the West Complex, arsenic in the West Primary and West Complex, and fluorine in all composites.

Previous testwork by BRGM in the 1980's indicated good flotation characteristics, with recoveries ranging from 84-96% for copper, and 79-96% for silver. High grade concentrate grades of 63-72% copper and 950-

2,600 g/t silver were produced from head grades in a similar range to the recent program. BRGM found that sulphidisation with Na₂S was required for oxidised material, though they did not test highly oxidised near surface ore.

The mineralogical work revealed that the dominant copper sulphide mineral was chalcocite, in both massive and disseminated forms. Some of the massive chalcocite is crystalline, and may tend to slime during grinding. Complex sulphide in the west zone contains chalcopyrite, bornite and sphalerite. Sphalerite also is common in other areas associated with chalcopyrite. Near surface oxide contains malachite, azurite and chrysocolla. The latter does not float even when sulphidised. Silver is assumed to be present mostly in solid solution in chalcocite, and occasionally as selenide. Arsenic occurs as arsenopyrite and tennantite. Sandstone is the dominant host rock.

The physical tests reveal that the Dikulushi ore is of moderate hardness, with figures of 14.07-17.43 for Rod Mill Work Index (RMWI), 10.51-12.49 for Ball Mill Work Index (BMWI) and 0.2139-0.3887 for Abrasion Index (AI). The higher indices are for the massive ore.

Flotation results at 80% passing 75 microns are comparable to those in the BRGM data, with predicted recoveries of 71-97% for copper and 63-95% for silver. The lower figures are for near surface highly oxidised material. The predicted concentrate grades are 48-70% copper, and 661-2,300 g/t silver. Using a preliminary estimate of the proportion of each ore type in the deposit, the weighted average recoveries are 91.8% for copper and 91.4% for silver. The corresponding concentrate grades expected are therefore 59.7% copper and 2,130 g/t silver. Detailed concentrate analyses reveal that fluorine is the only impurity over the penalty threshold. Reagent usage appears modest, with the only issue being the Na₂S required for the oxidised material, which may require up to 3.2kg per tonne of ore.

Additional work done by Independent Metallurgical Laboratories (IML) in 2003 confirmed the Mintek work with an average RMWI of 16.5 kWh/t and AI of 0.28. Rougher flotation tests indicated that on high grade chalcocite ore, that grind size is not critical with recoveries of copper around 96% for P₈₀ 75 microns to 150 microns, and that with correct redox potential control, good float kinetics and high grade concentrates (better than 50% copper) are achieved. A design residence time of 50 minutes was proposed.

Testing on low grade and float from HMS plant tailings indicated that grind size will be more critical and as expected recovery and concentrate grades are lower. More work is required on these materials and is planned to be undertaken in the future. Note that existing low grade stockpiles and tailings from the current HMS plant have not been included in the Dikulushi ore reserves.

Item 19. MINERAL RESOURCE & MINERAL RESERVE ESTIMATES

19.1 Geological Interpretations

The mineralisation interpretation is based on previous work carried out by the Anvil site geologists and by Devmin Pty Ltd (DevMin) for the NI 43-101 Technical Report dated 16th February 2004. This current Mineral Resource estimate has been up-dated by Finore Pty Ltd (FinOre) incorporating intersections from later drilling, as well as knowledge gained from the current mining activity.

19.2 Surface and Solid Modelling

19.2.1 Topography

Anvil supplied a triangulated wireframe surface of topography in SURPAC format that represents the surveyed topographic surface prior to mining. Additionally Anvil supplied a Surpac DTM of the Open Pit as at the end of December 2005, below which the current Mineral Resource has been estimated.

19.2.2 Mineralisation

The mineralised envelopes were generated using wireframes by creating hangingwall and footwall surfaces from the true intercept coordinates of drillholes based on a 0.5%Cu cut-off and using geological interpretations provided by the Anvil site geologists. The strike boundary limits extend approximately 10m beyond the last interpreted sections, and the depth extent is extended just beyond the last intersection on each section.

A cellular model of the mineralisation was constructed by 'filling' the mineralisation wireframes with cells, based on the model prototype settings shown in Table 9.

The parent cell dimensions were formulated from observations of the typical data spatial distribution in each of the easting, northing and vertical directions. The greatest variation in sample spacing occurs vertically, and the chosen vertical cell dimension represents a compromise between the more densely drilled upper portions of the mineralisation and the more sparsely drilled lower extents.

The minimum sub-cell dimensions were selected to reflect the likely geometric resolution achievable using the current drillhole spacing. Sub-cells were used to fill the wireframes with greater resolution than was available with the parent cells, thereby generating a block model volume comparable to the wireframe volume. No grades were estimated directly into sub-cells (refer Section 17.6.2). These details are listed in Table 10.

Direction	Minimum	Maximum	Range
Easting	49850	50450	600
Northing	19750	20250	500
RL	640	1060	420

Table 9: Model Dimensions

Direction	Parent		Minimum sub-cell (m)
	Cell Size (m)	Number of cells	
Easting	5.0	120	5.0
Northing	2.5	200	2.5
RL	10.0	42	5.0

Table 10: Cell Parameters

19.2.3 Total Volume Model

A waste cell model was created to fill the full extent of the model prototype, constrained below the topographic surface. The total volume model is represented by the waste model overprinted with the interpreted mineralisation cell model, also trimmed by topography.

The mineralisation/waste zones are differentiated in the 'volume' model using codes in the field MINZONE. Other fields were stamped with default values. These are tabulated in Table 11. Some fields were created during the process of grade interpolation, and are included in Table 12 for completeness. Their derivation is explained in Section 17.6.

Field	Description
MINZONE	Mineralised zone
MZONE	Numeric coding for MINZONE
DENSITY	Bulk density defaults
CU	Interpolated Kriged copper value
CU_IDS	Interpolated copper value (Inverse Distance Squared)
AG	Interpolated Kriged silver value
AG_IDS	Interpolated silver value (Inverse Distance Squared)
SRCHVOL	Search ellipse pass (1,2,3)
NUMSAM	Number of samples used to estimate cell grade
RESCAT	Resource classification codes (1,2,3)
SRCHDOM	Search orientation domain
SLOPECU	Kriging Slope of Regression - Copper
SLOPEAG	Kriging Slope of Regression - Silver

Table 11: Model Field Descriptions

MINZONE	MZONE	Description
HGWL	1	Hangingwall Mineralisation
MAIN	2	Main or footwall mineralisation
WSTE	3	Waste (i.e. Not Main or Hangingwall)

Table 12: Mineralisation Field Codes

19.3 Sample Flagging

An advantage of constructing wireframes of the mineralisation using drillhole intercept data is that the same data can be used to directly flag the drillholes with the relevant 'MINZONE' mineralisation code (refer to Table 12). This ensures that the intersections are correctly honoured, and are compatible with the wireframe.

19.4 Statistics and Sample Compositing

A histogram of the drill sample lengths revealed the expected dominance (60%) of 1.0m as a sample interval. Other sample lengths are distributed relatively evenly below and above this value. Figure 5 demonstrates this. Consequently the flagged drill sample set was composited down the hole to 1.0m for statistical and variographic analysis. Minimum composite lengths were set to 0.5m; no composite samples with length less than 0.5m were retained.

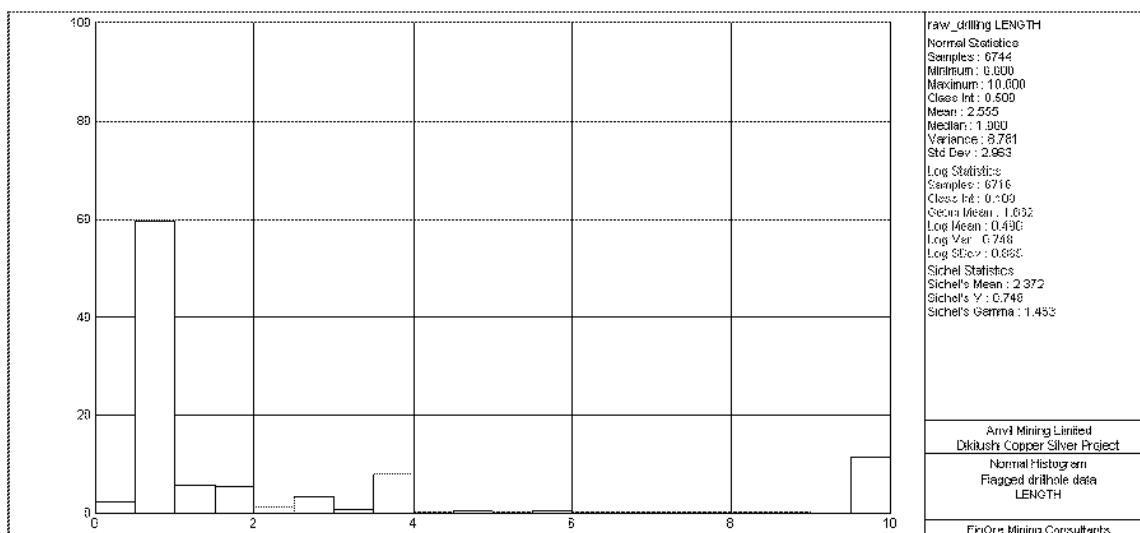


Figure 5. Raw sample lengths of Dikulushi drilling.(all data).

19.4.1 Univariate Statistics

A log probability plot of all copper composites from mineralised zones revealed a bimodal distribution, with sub-populations separated by a broad inflection at 0.6%Cu. This is very close to the lower cut-off for the mineralised envelopes (0.5% Cu) as used by Anvil, and reflects a small proportion of the sample data locked into the envelopes as being below cut-off.

For each of the Main and Footwall zones, univariate statistics were generated for both copper and silver (refer to Table 13). The same data subsets are also displayed graphically as log histograms and log probability plots (Refer to Figures x & y).

FIELD	ZONE	n	Min.	Max.	Mean	Var.	C of V
Cu%	MAIN	2024	0.01	65.1	7.46	101.6	1.35
	HGWL	939	0.01	36.73	2.70	11.8	1.27
g/tAg	MAIN	2024	0.01	2441	199	103918	1.62
	HGWL	939	0.01	1465	67	11792	1.61

Table 13: Summary Statistics (1m composites within mineralised zones)

19.4.2 Copper Distributions

The copper distributions in particular the Main zone, display clear inflections around 0.5 and 0.6% Cu, highlighting the lower threshold used to guide the interpretation.

Above 0.5% Cu, the copper distributions approximate lognormal character, up to a point where a discrete high grade population can be identified, in the case of the Main Zone above about 20%Cu, and for the Hangingwall zone (less clearly) above about 15%Cu. Then Main zone in particular exhibits a pronounced

high grade distribution above 10% whereas the Hangingwall zone's population drops off dramatically above 10%.

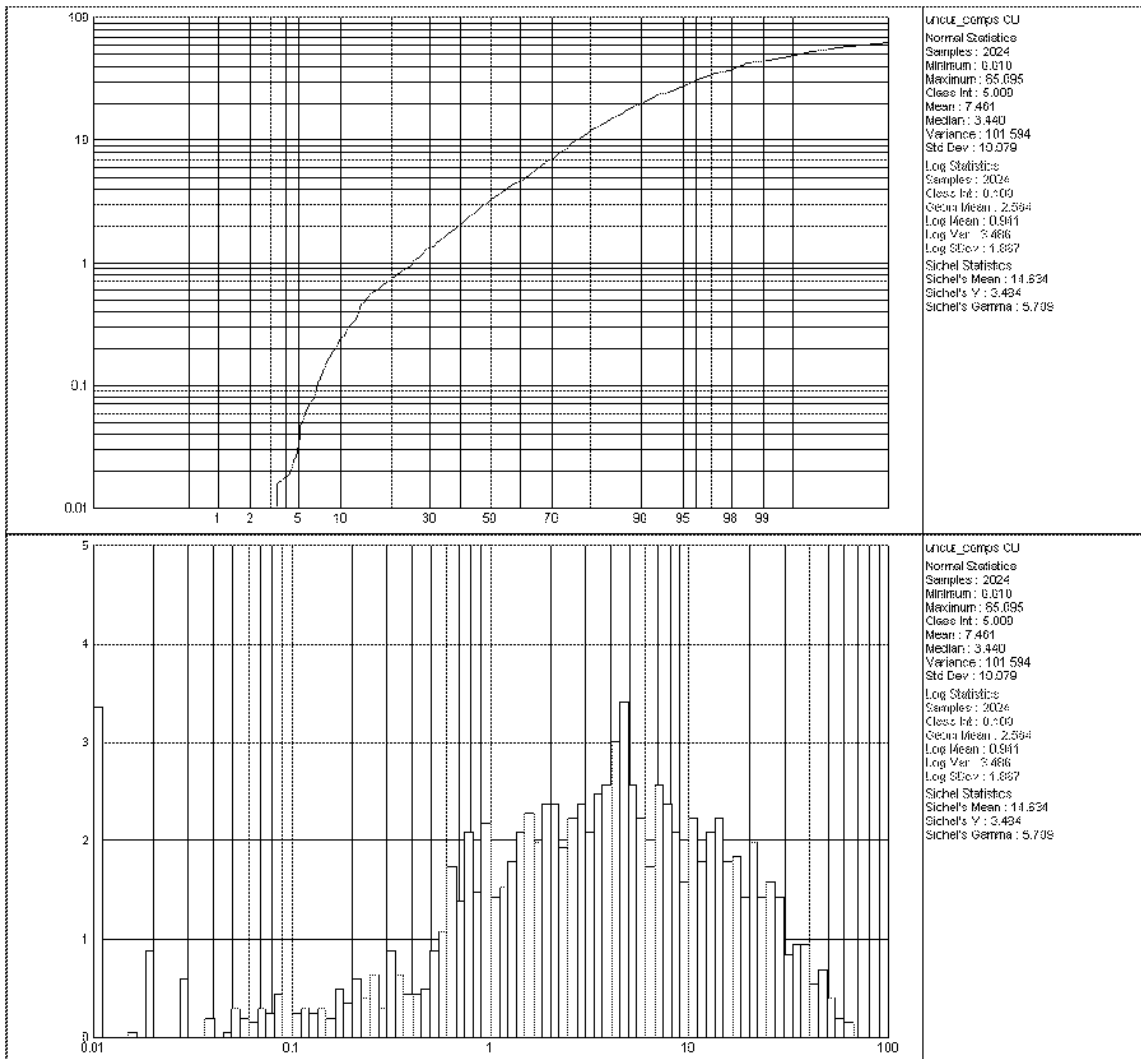


Figure 6. Copper distribution, MAIN zone

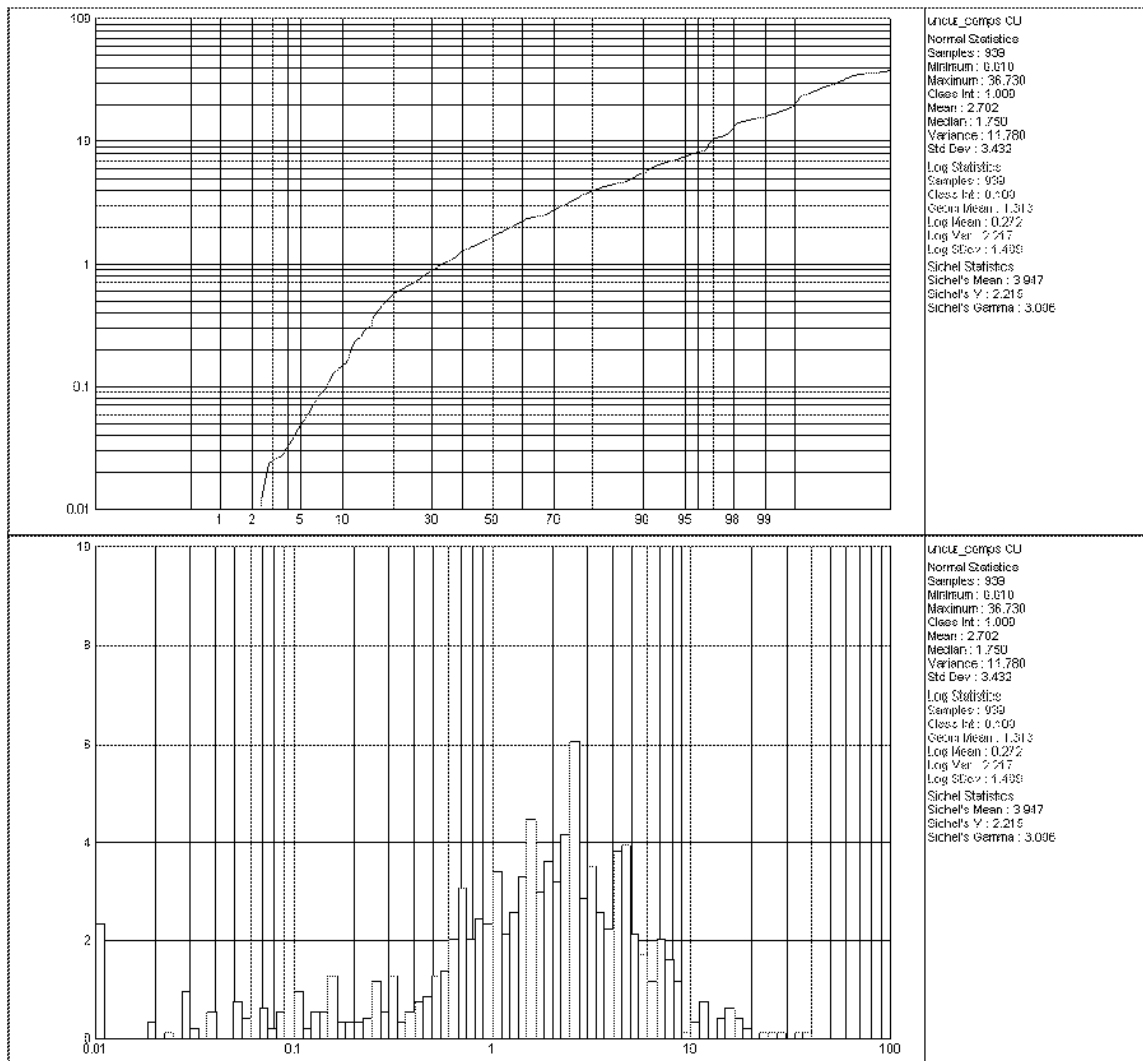


Figure 7. Copper distribution, Hangingwall zone

19.4.3 Silver Distributions

A feature of the distribution of the Main zone silver is the spread and low kurtosis (peakedness) of the log transform grade histogram. A high-grade population appears above 1000g/t.

The Hangingwall silver grade distribution is more peaked, but shows a slight bimodal character, with an inflection around 80g/t. A high-grade population appears above 800g/t.

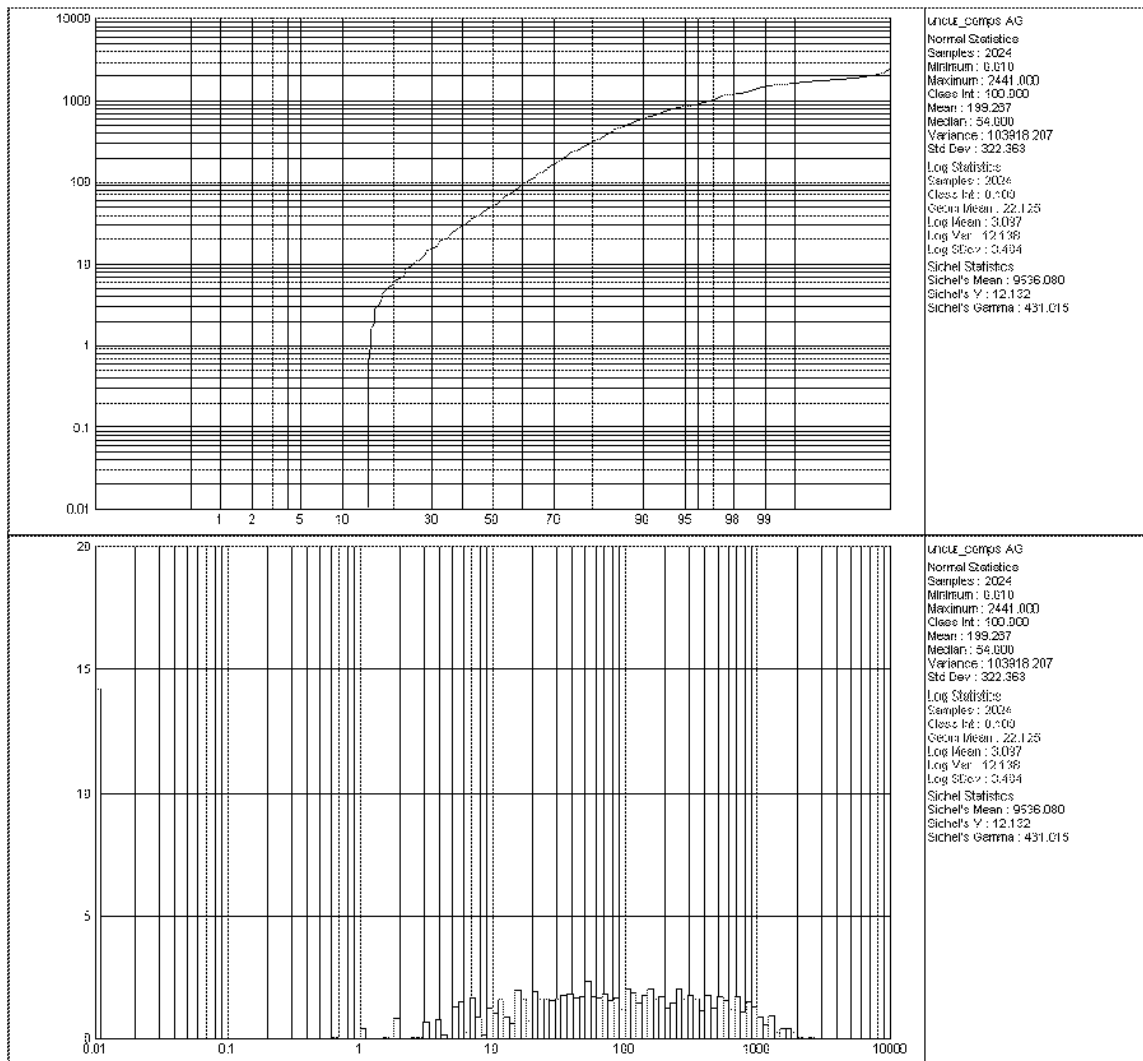
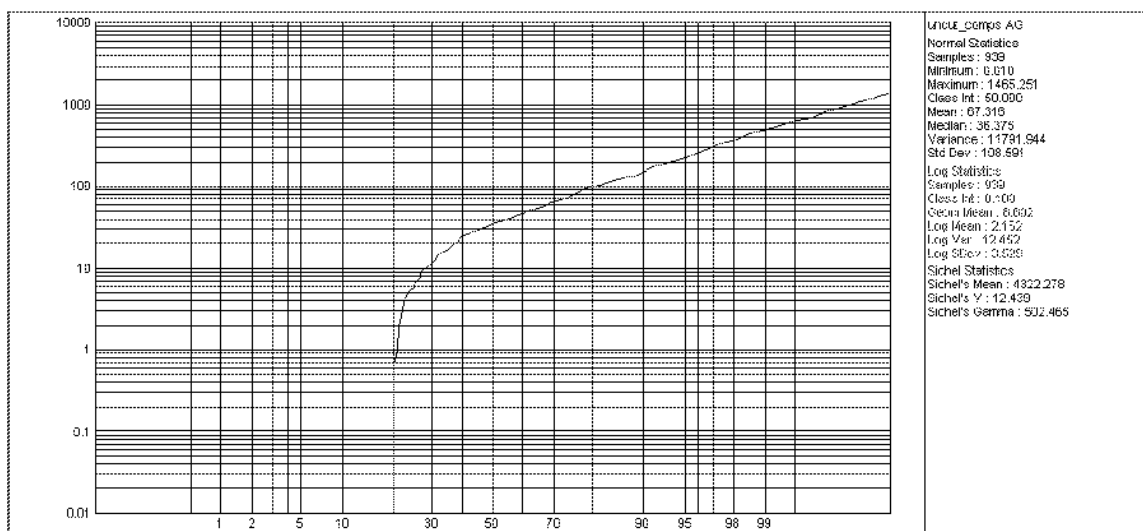


Figure 8. Silver distribution, Main zone



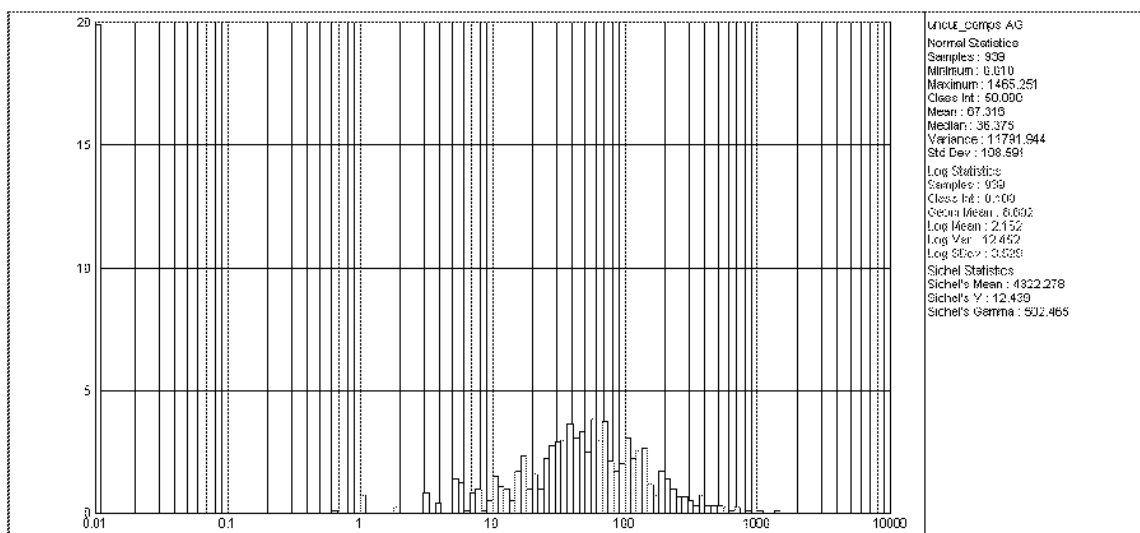


Figure 9. Silver distribution, Hangingwall zone

19.4.4 High Grade Cut Analysis

Consideration of high-grade cutting options was undertaken using several criteria.

Firstly, log probability distributions (Section 17.4.1) were reviewed for the presence or absence of high grade populations, to help focus on where anomalously high values might be expected.

Next, the drilling data for each zone and grade field was viewed in 2-D sections, as well as full 3-D space, with colour highlighting of samples above a range of potential high-grade cutting thresholds. This approach assists in the assessment of the spatial distribution of high-grade values, specifically whether they are clustered in coherent areas, or scattered as 'nuggets'.

Finally, information provided by mine geologists on the spatial distribution of high grades in mining was taken into account.

Table 14 details the high grade cuts used in the Mineral Resource estimate.

ZONE	High Cut	
	Cu (%)	Ag (g/t)
MAIN	45	1600
HGWL	30	800

Table 14: High Grade Cuts

The general conclusion was that the Main zone high grade populations identified in the log probability plots are largely, but not exclusively, related to real and coherent high grade zones (eg. massive mineralisation along the footwall boundary of the Main zone).

By progressively raising the colour threshold on the high grade values during graphical visualisation, the point at which the highlighted values appear to be unrelated (scattered) was noted. Combining this information with other considerations, high grade cut values were assigned, as shown in Table xx.

19.5 Variography

All variographic analyses and modelling were carried out using GeoAccess Professional vers. 2.8. Copper and Silver variograms were modelled for each of the Main and Hangingwall zones. The variography study was constrained to the major expected directions of continuity (principal planes of the structural controls) for copper and silver, in each of the mineralised zones (see Figures x to y). No transformations were made to account for the broad arcuate geometry of the zones.

Consistent with the statistical analysis, the 1.0m sample composite dataset was utilised for variography. Initial attempts to generate variograms using the absolute grade values returned poor structures. Median indicator variograms proved to be more convincing, and this option was used throughout the study.

The variogram structures in the dip and strike directions are of moderate to poor quality, mainly because the limited information at short range makes the structure in the region of the variance axis difficult to model. In general, the silver grade variograms are more robust.

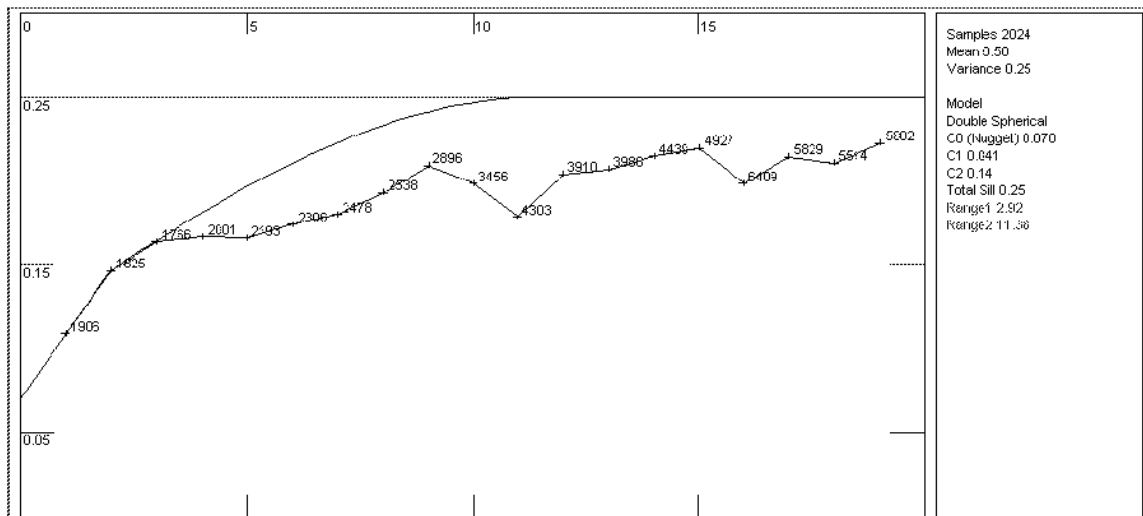
Downhole variograms were used to identify the respective nugget effects for modelling. The nugget effects were determined by modelling one structure spherical models, connecting the model through the first two lag gamma positions on the variogram. The position on the gamma axis where the spherical model cut the axis was determined to be the nugget value. This value was then recorded relative to the population variance, which in the case of median indicator variograms is always 0.25.

Each set of variograms (for example the three orthogonal copper variograms for the Main zone) used the same sill values, but the ranges were modelled to reflect the individual directions. Variograms were modelled using a two nested spherical model. Both the copper and silver variograms are generally isotropic at the short range interval, for two of the orthogonal directions, with the third direction anisotropic. The Main zone shows more pronounced anisotropy in the long range than the Hangingwall zone. The normal direction (orthogonal to dip and strike) accesses only a small number of samples; accordingly the ranges for the normal directions are derived from poorly structured variograms – see Figures 10-13.

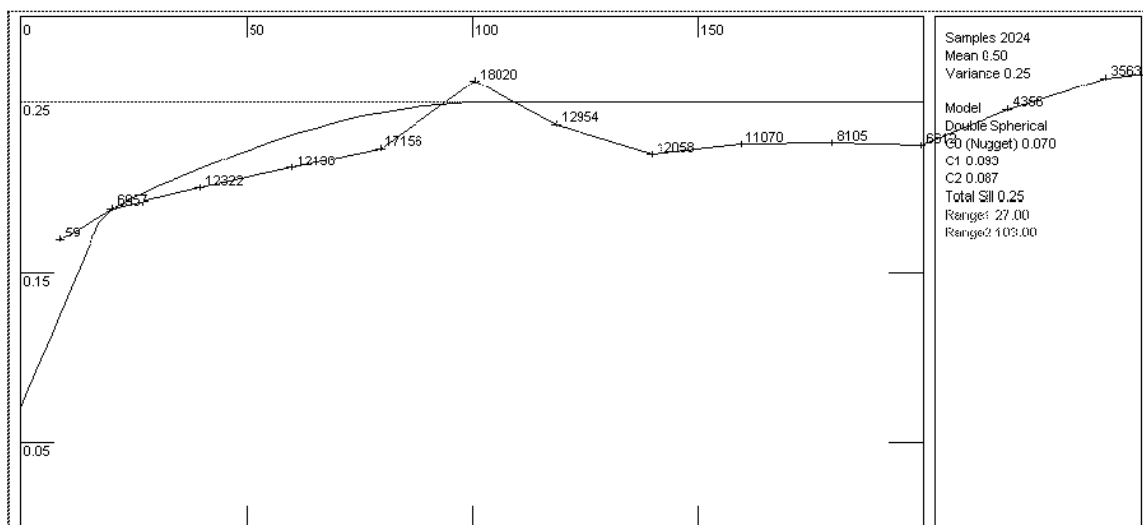
Median Indicator variogram parameters as used in grade interpolation are shown in Table 15. All nuggets and sill are expressed as relative to 1.0

MIN-ZONE	Grade	Nugget Var.	Structure	Spatial Var.	Range (m)		
					Dip	Strike	Norm.
MAIN	Cu	0.28	1	0.37	27	11	26
			2	0.35	103	32	47
	Ag	0.20	1	0.44	25	12	20
			2	0.36	125	45	32
HGWL	Cu	0.32	1	0.04	18	15	11
			2	0.64	45	22	46
	AG	0.24	1	0.16	14.5	12	50
			2	0.6	50	42	60

Table 15: Variogram Parameters
Relative Median Indicator parameters



Downhole Variogram. MAIN Zone -- Copper



Main Zone -- Copper
Down Dip variogram (-60° to 180°)

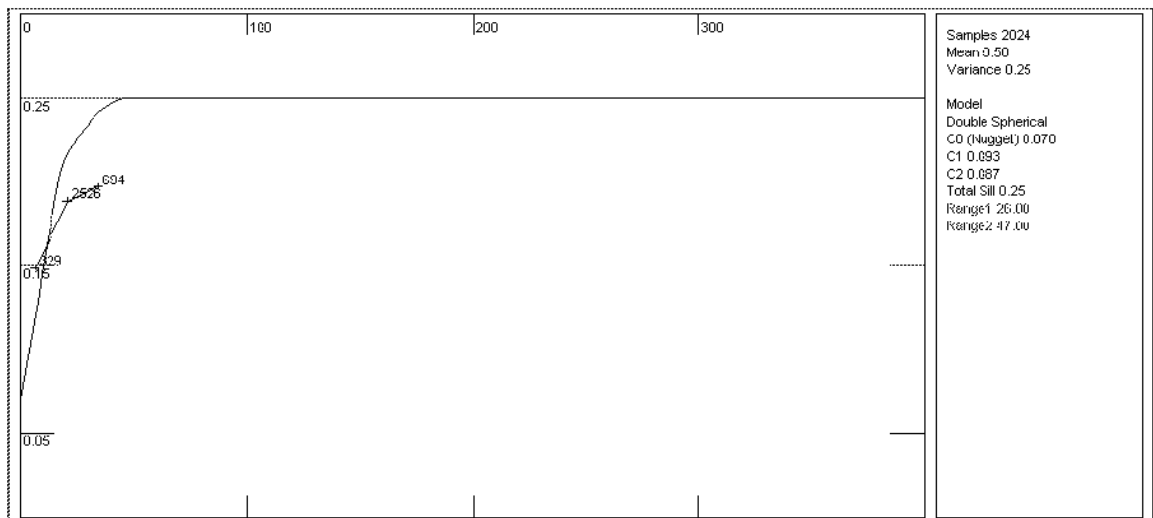
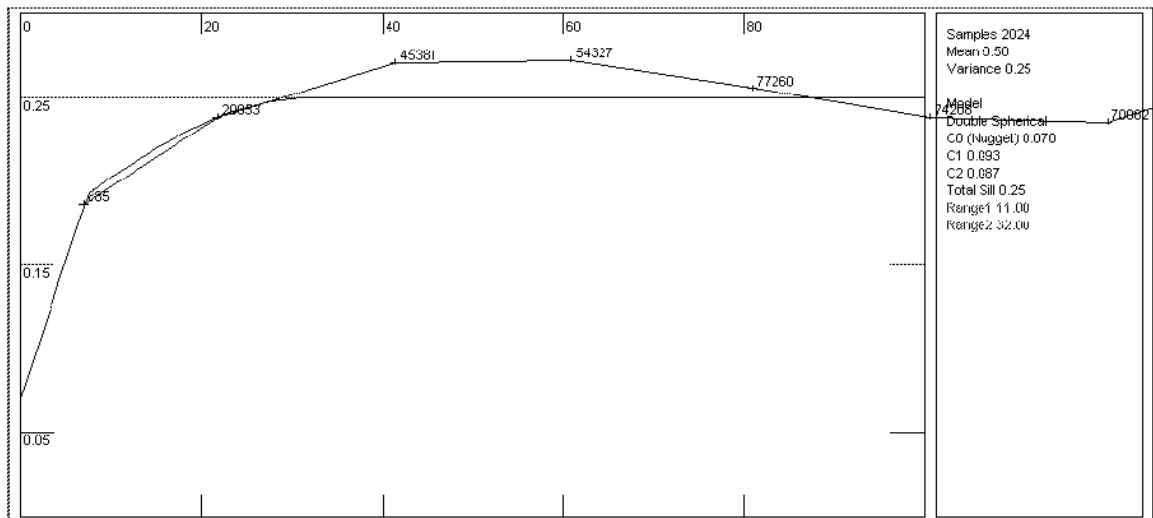
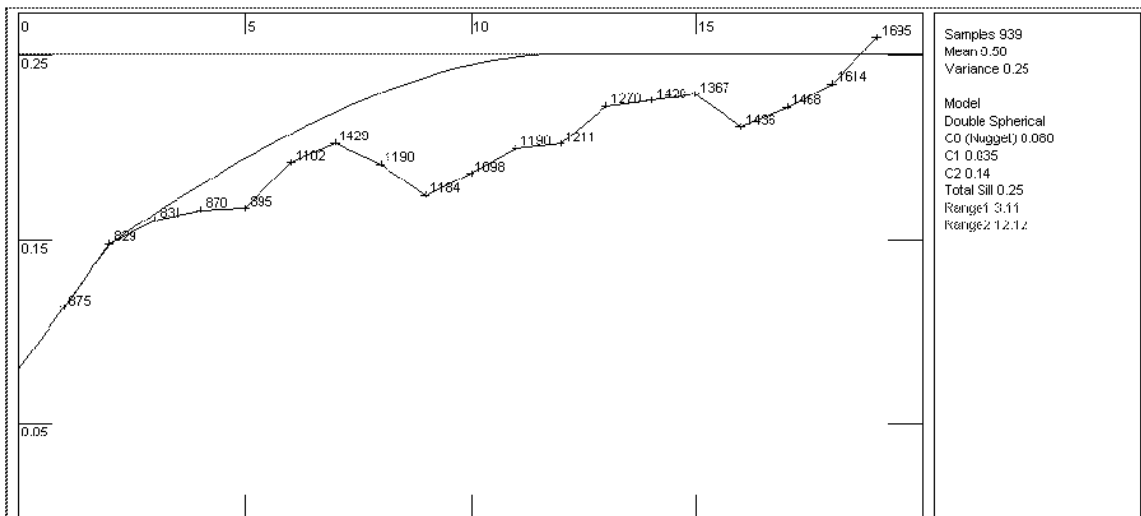
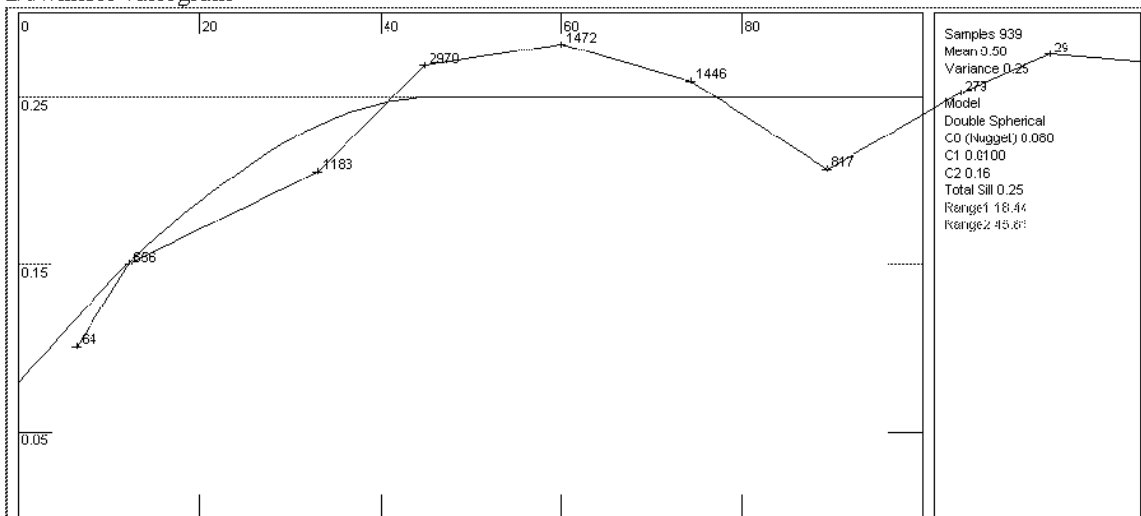


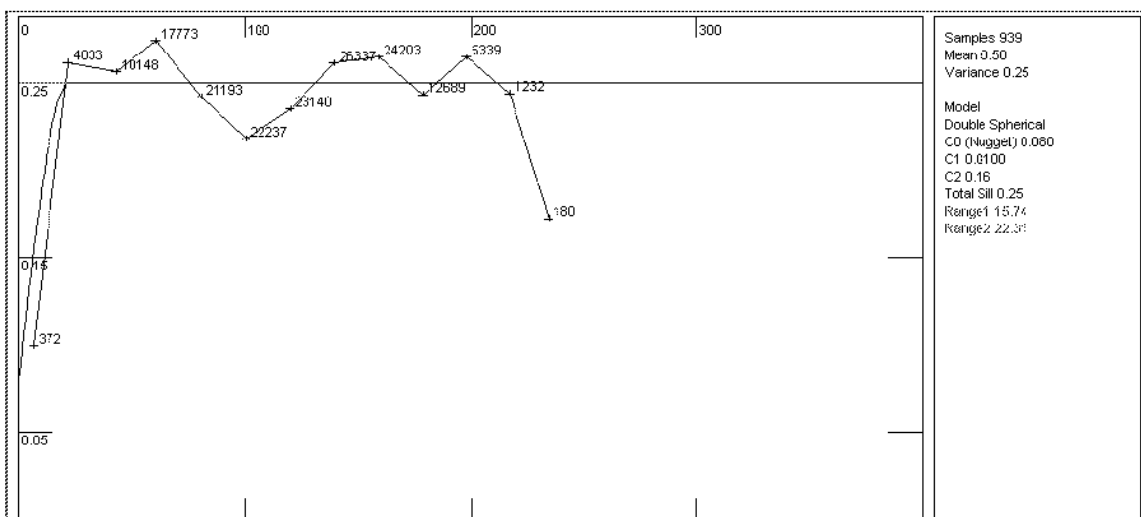
Figure 10. Median Indicator Variogram – Copper MAIN Zone



Downhole variogram



Down Dip (-70° to 150°)



Along Strike (0° to 060°)

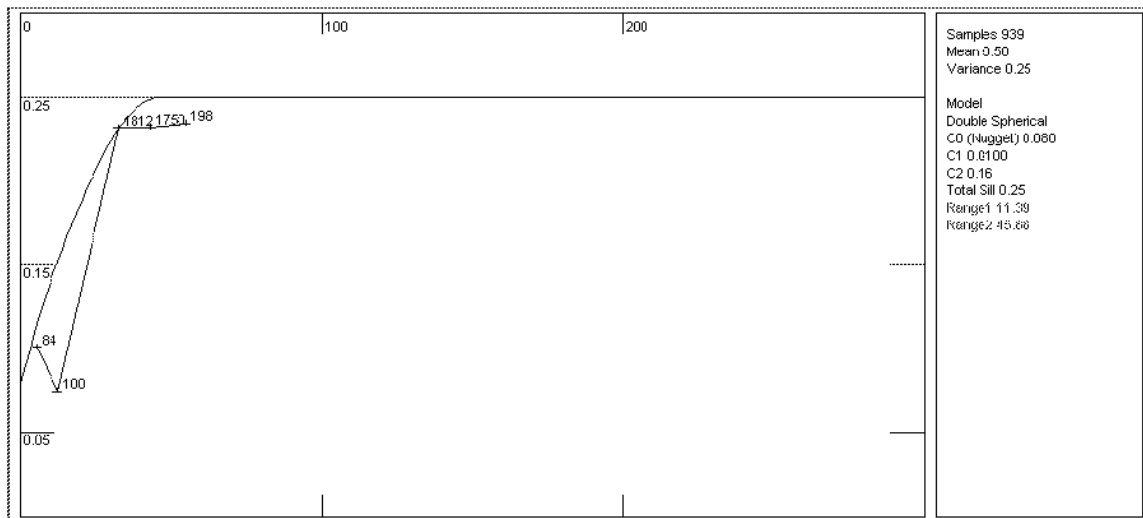
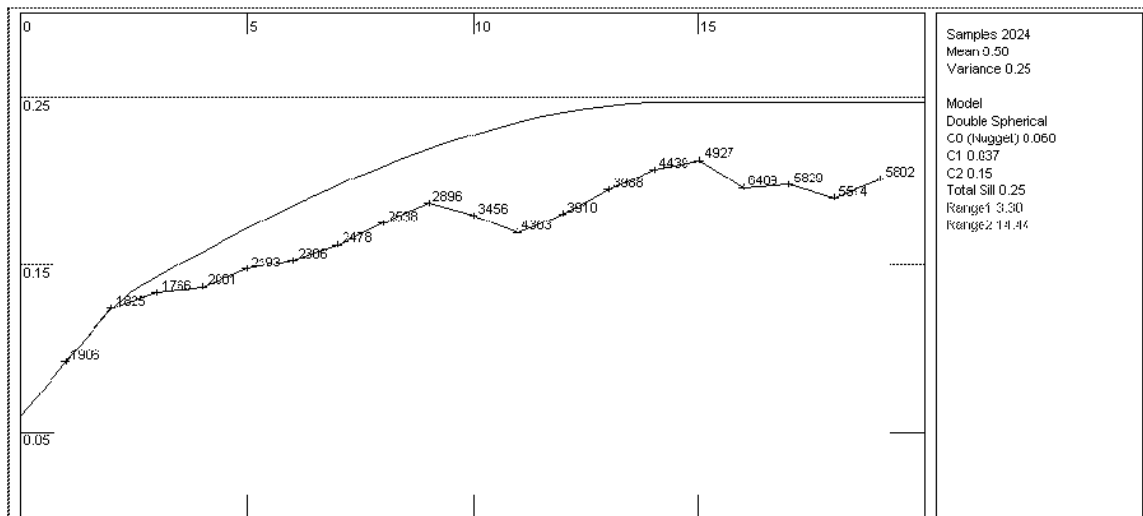
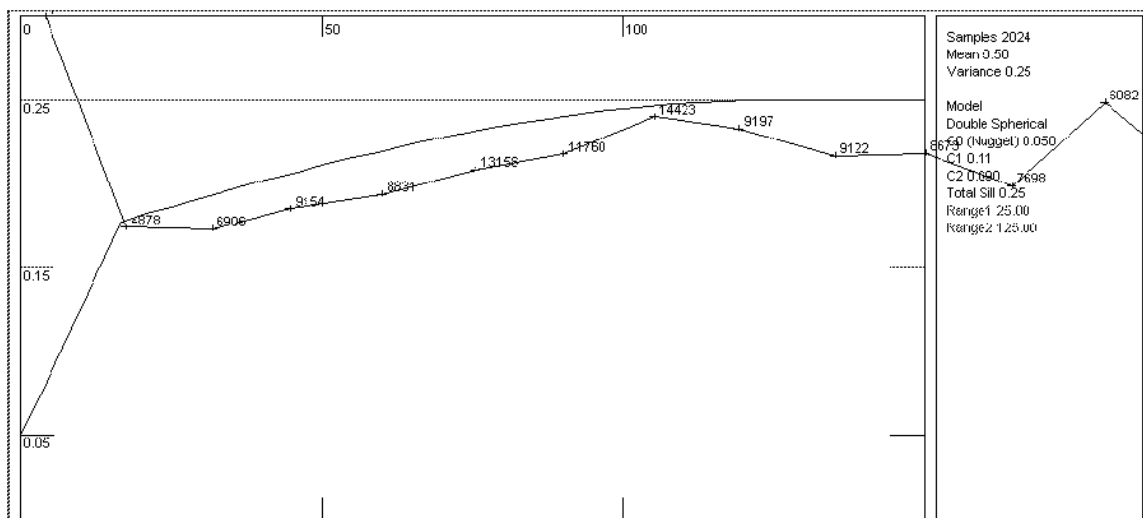


Figure 11. Median Indicator Variogram – Copper Hangingwall Zone



Downhole variogram



Down Dip (-60° to 180°)

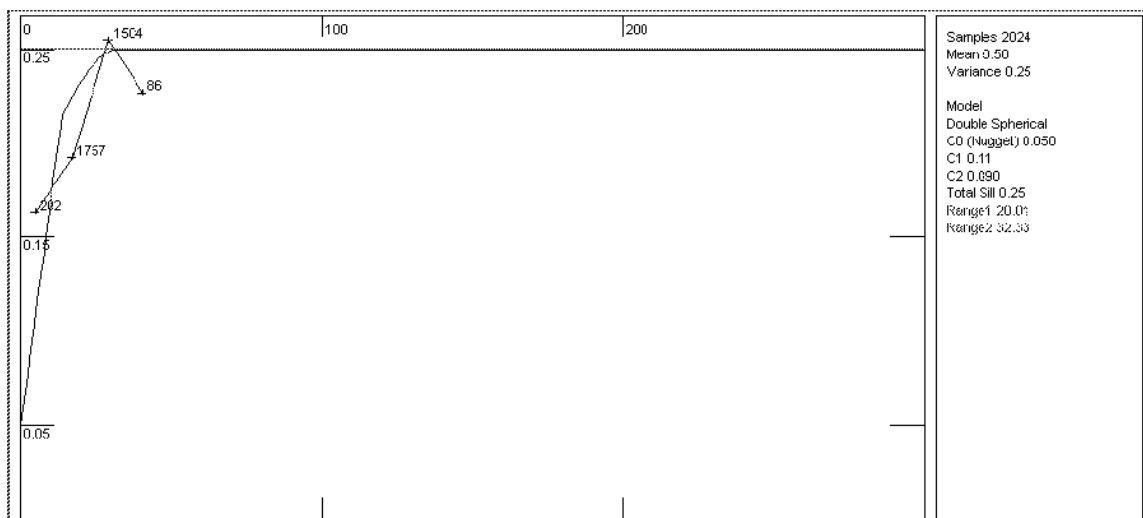
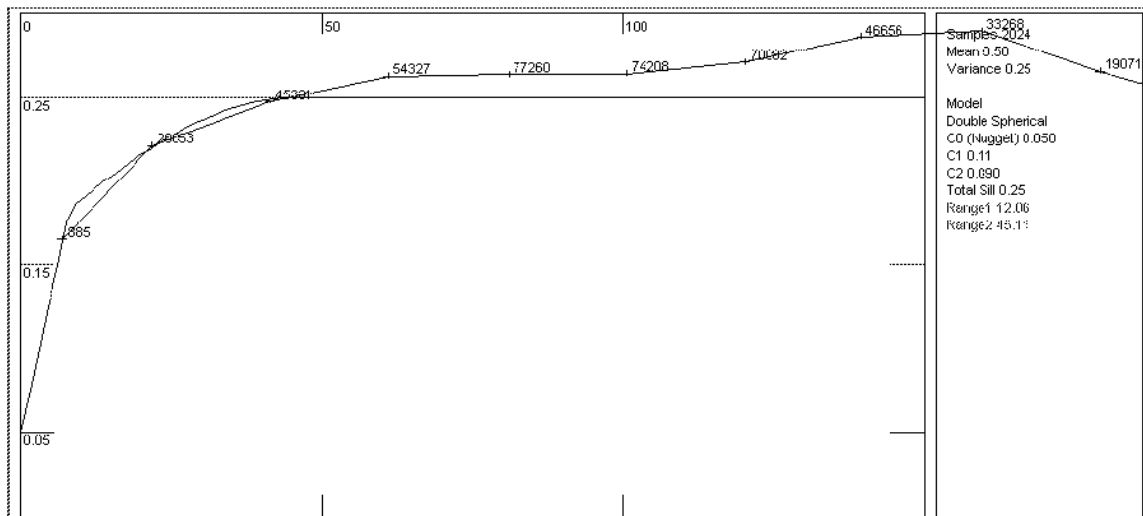
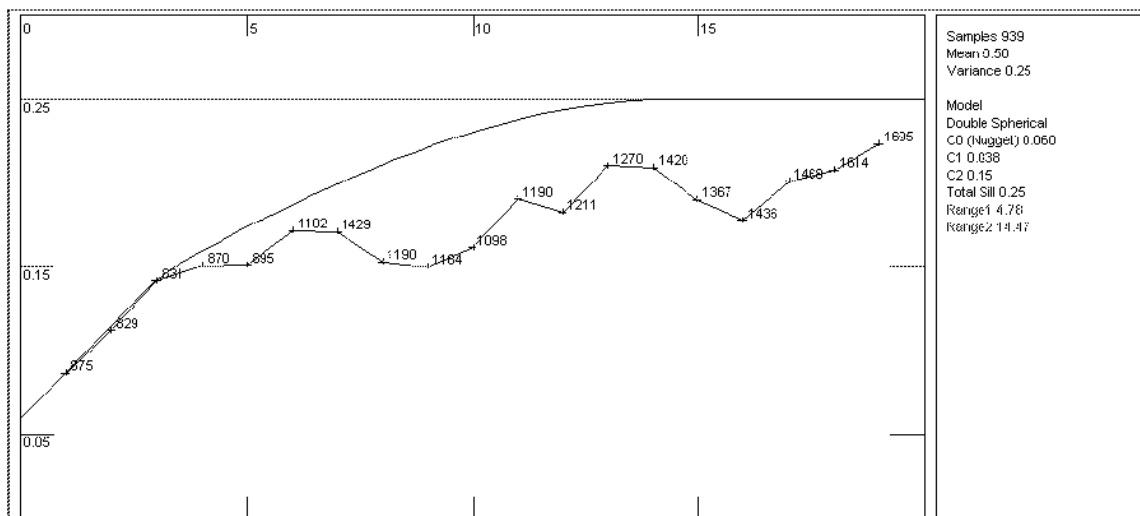
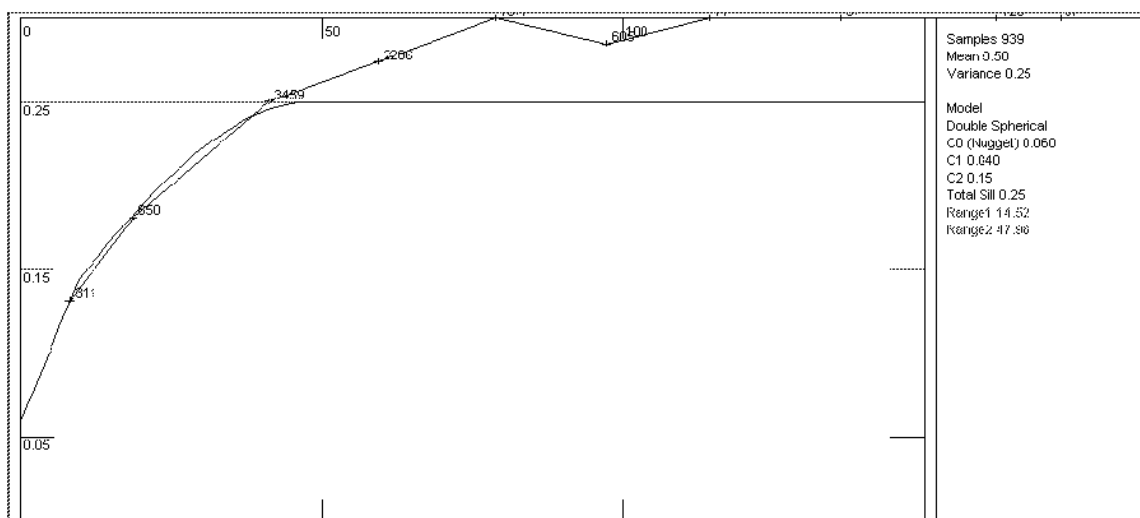


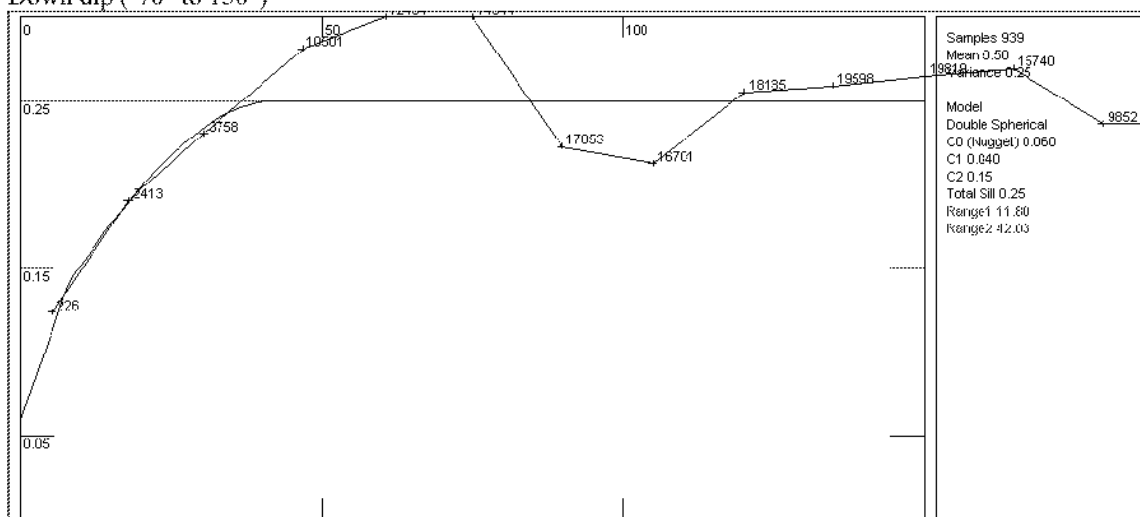
Figure 12. Median Indicator Variogram – Silver MAIN Zone



Downhole Variogram



Down dip (-70° to 150°)



Along Strike (0° to 060°)

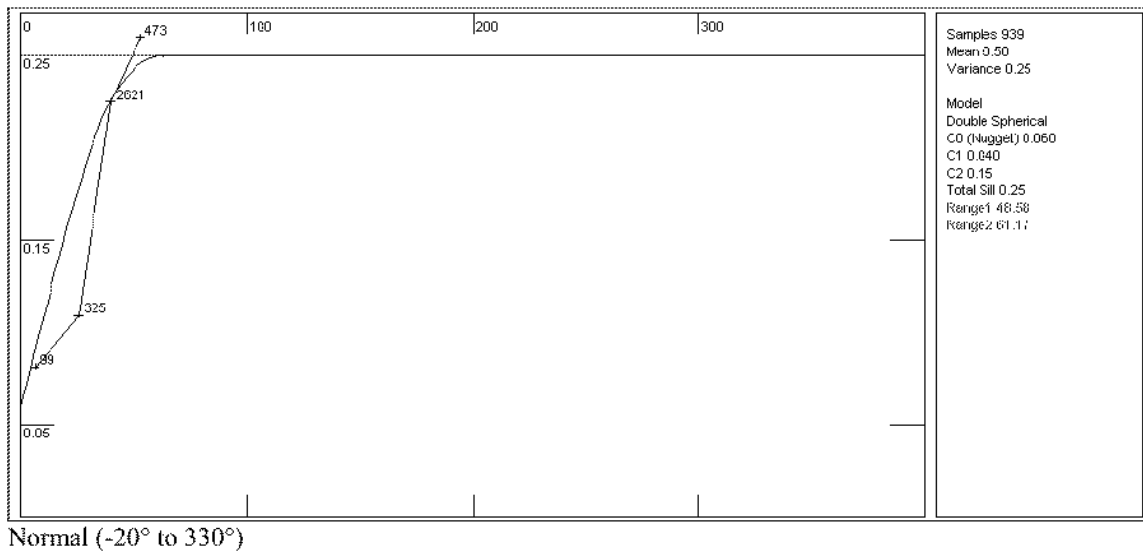


Figure 13. Median Indicator Variogram – Silver Hangingwall Zone

19.6 Grade Interpolation

19.6.1 Search Specifications

Partitioning of an orebody into search orientation domains is one means of allocating search ellipse orientation parameters consistent with local dip and dip direction characteristics. This technique was selected as suitable in assisting the controlled estimation of grades into the Dikulushi model.

The wireframes of mineralisation were assessed in both section and plan view slices to identify occurrences of dip and strike change, as a basis for defining potential search orientation domains.

Overall, the individual walls of the Main and Hangingwall mineralisation zones exhibit relative uniformity of strike and dip geometry, although they do appear as slight arcuate structures in plan view, splaying apart as mutual mirror-images. In detail, individual boundary surfaces deviate more in response to localised thickening. The most marked cases being the upper regions of the Main zone between sections 50120E and 5014E, and the upper portion of the Hangingwall zone to the west of 50120E.

The assessment of strike and dip variation concluded that a single search orientation is adequate for the Hangingwall zone, but that the Main zone requires partitioning into four domains. The domains are summarised in Table 16.

MIN-ZONE	SEARCH-DOM	Description	Orientation		
			Dip Direction	Dip	Plunge
HGWL	1	Entire Zone	150	75	-
MAIN	1	Western slice (~20%)	180	65	-
	2	Central-west slice (~25%)	180	78	-
	3	Upper east quarter (~35%)	160	68	-
	4	Lower east quarter (~20%)	160	75	-
WSTE	1	All waste	180	65	-

Table 16: Search Orientation Domains

Grade variations within the interpreted mineralisation envelope are observed to be quite sharp both in drillhole transects and in grade control data. Consequently search ellipse dimensions were designed to be relatively tight, to minimise the degree of smoothing introduced by the interpolation process.

A tight search ellipse, however, will fail to estimate some cells in the less densely drilled areas, particularly with the implementation of criteria specifying minimum number of samples. To ensure that the majority of cells are estimated, the search ellipse has been allowed to expand (x2) after the first pass, to attempt to estimate uninformed cells. A third, further expanded pass (x3), then seeks to estimate remaining unestimated cells. Table 17 details the parameters for the different passes.

As part of the validation process, each search ellipse was displayed in 3D within the respective Search Domain, to ensure the orientations and radii are developed as envisaged.

Pass	Direction	Radius	Number of samples	
			Min	Max
1	Dip	35	8	20
	Strike	20		
	Normal	5		
2	Dip	70	8	20
	Strike	40		
	Normal	10		
3	Dip	105	2	15
	Strike	60		
	Normal	15		
Waste	Dip	10	4	20
	Strike	10		
	Normal	2		

Note: 'Normal' refers to ninety degrees to the strike and dip directions. i.e. normal to the plane of the structure.

Table 17: Search Ellipsoid Dimensions

19.6.2 Grade Estimation

Copper and silver grades from 1.0m sample composites were estimated into both the Main and Hangingwall zones using Ordinary Kriging (OK) and Inverse Distance Squared (IDS) methods. The Waste domain blocks were estimated by the IDS method.

Grade interpolation was conducted under zonal control, such that only assays flagged with the same MINZONE code as the cell being estimated are used. Interpolations were made into parent cells, and the estimates mapped to all sub-cells within the respective parent cells. Cell discretisation was used as part of the estimation process.

19.6.3 Density Assignment

As carried out in previous estimates the estimated bulk density was based on the regression of density against total copper grade in samples. As mentioned in the DevMin report 2005 this formula is considered likely to overstate densities in the disseminated mineralisation, and potentially understate it in the presence of massive mineralisation.

As an alternative, a simple duality was established between the interpreted mineralised zones and waste material, and single densities assigned to each (see Table 18). These values are consistent with current practice in the open pit grade control.

Material	t/m ³
Mineralised zone	2.8
Waste	2.6

Table 18: Densities of Ore and Waste

19.7 Estimation Validation

19.7.1 Statistical and Visual Validation

Basic interpolated cell grade and ancillary field statistics were generated to confirm that values fall within acceptable bounds.

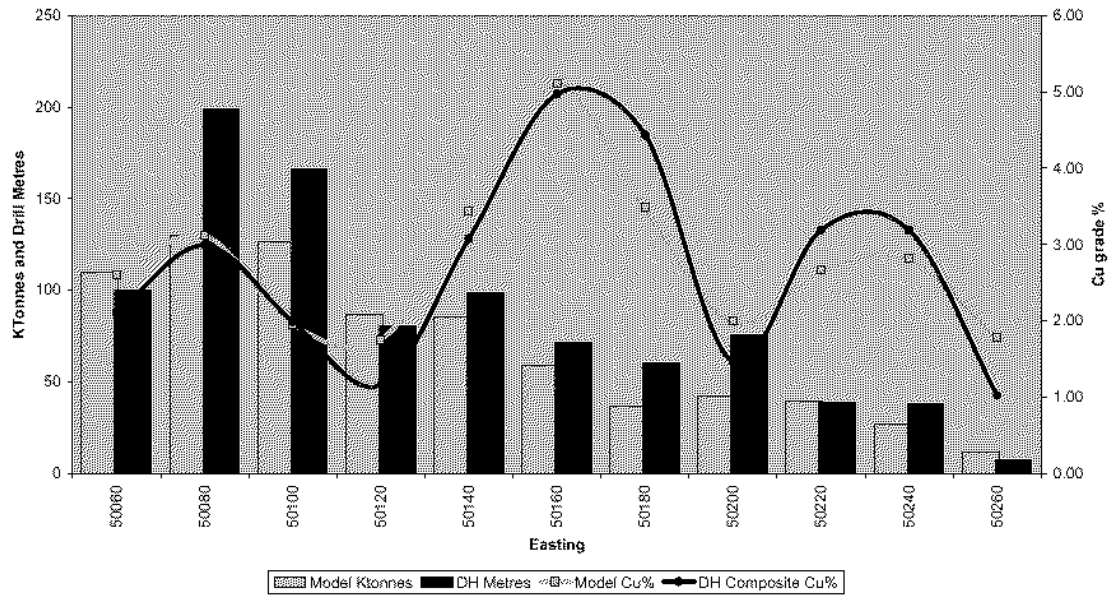
The estimated cellular model was thoroughly scrutinised using graphical visualisation utilities. Model and drillhole data were overlain and viewed in various 2-D section and plan view slices, with colour highlighting, as required, on grade or zonal attributes.

Model grade spatial distribution patterns were also reviewed using 3-D facilities, formatted variously as section planes, point clouds and cell faces.

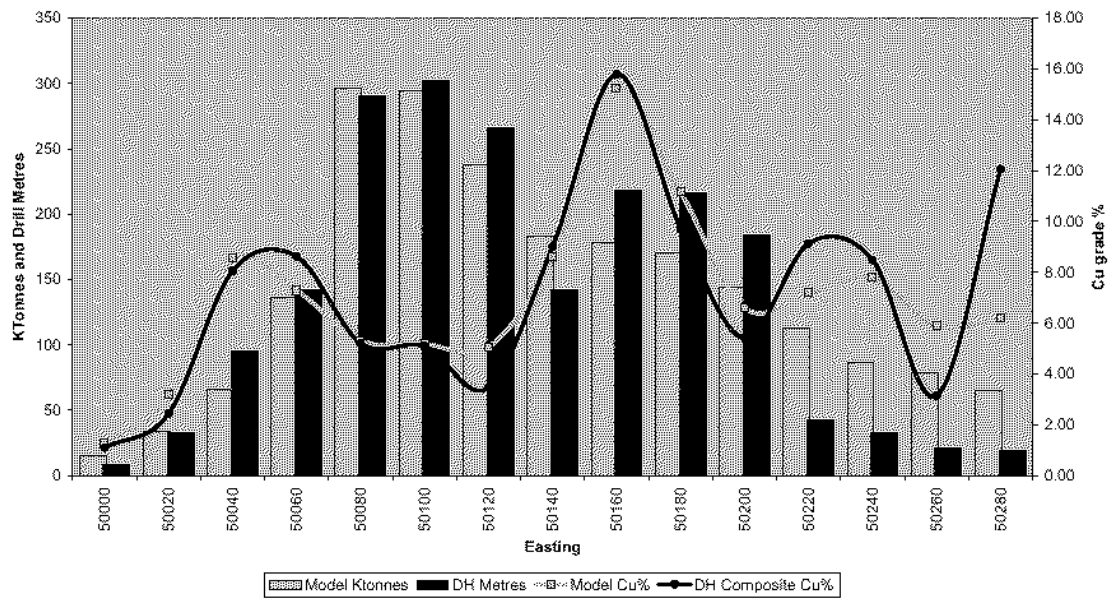
Estimation ellipses were displayed in 3D to ensure the search orientation and radii per search domain are as envisaged.

A series of Swath Plots were generated comparing block estimates with local composited samples, within a specified window, for both Copper and Silver. Figure 14 shows Swath Plots for Copper and Silver for both domains.

Model vs Drillhole Composites by Easting
Hangingwall Zone Copper



Model vs Drillhole Composites by Easting
Main Zone Copper



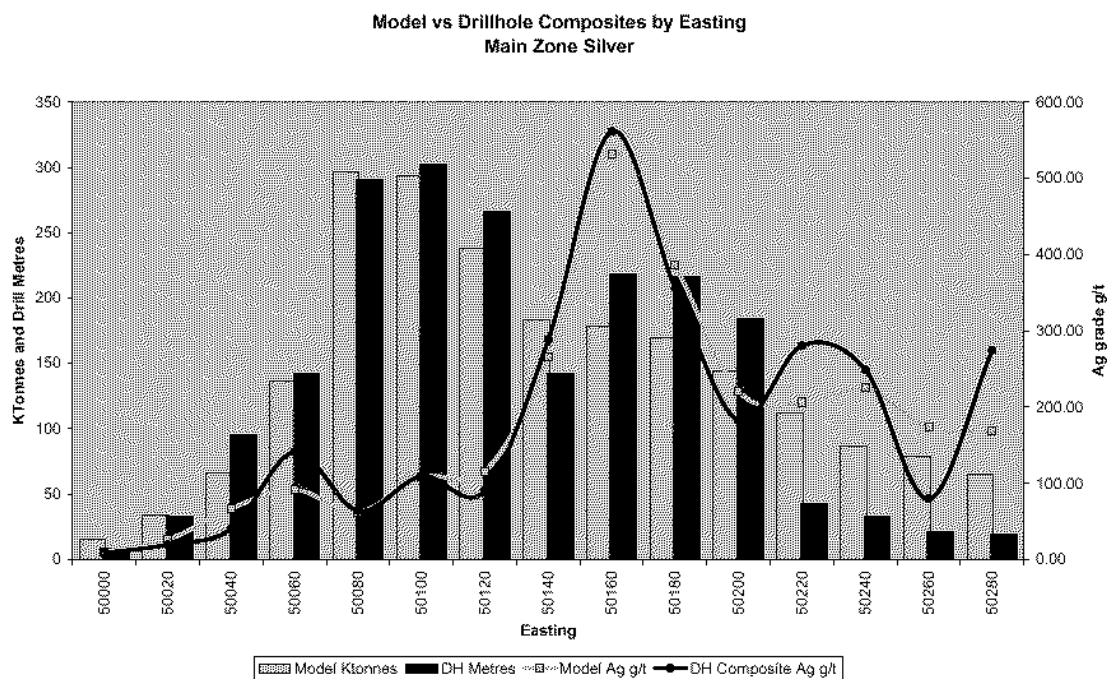
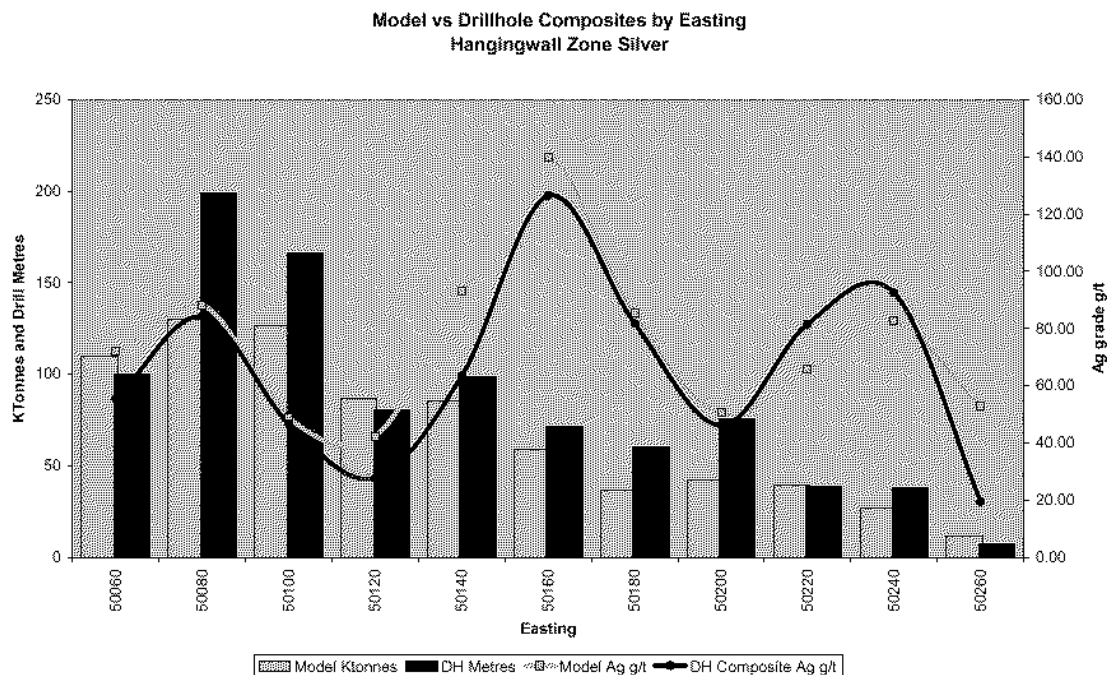


Figure 14. Swath Plots for Copper and Silver, both domains.

19.7.2 Validation by Scenarios and Sensitivity Assessment

A range of sensitivity estimation runs were conducted to ascertain the impact of adjusting selected parameters, as an indicator of stability and risk associated with the resource estimate. These included uncut

estimations, interpolator (eg. inverse distance alternative) and cell discretisation. No significant parameter sensitivity was detected.

Table 19 compares cut composited data per domain against the cut resource estimates for OK and IDS methodologies.

Zone	Grade Variable	Composite Mean	Model OK	Model IDS
Main	Cu	7.37	7.40	7.64
	Ag	198	192	201
Hangingwall	Cu	2.69	2.79	2.86
	Ag	67	74	76

Table 19: Comparisons of Cut composite data against model average estimates, by Zone.

19.8 Resource Classification and Reporting

19.8.1 Resource Classification

Procedures for classifying the Dikulushi report were undertaken within the context of NI-43-101.

The wireframes of the Main and Hangingwall zones were individually projected (hulled) in long section, and overlain with points marking the centre of intersection of all drillholes. This representation, on computer screen, provides a good display of the density and coverage of drilling data.

Because drill spacing is quite varied, a simple distance criterion for each category is not sufficient, as, for example, in lower density drilled areas, evidence of continuity may justify retention at a higher classification category than would be indicated by drill density alone. This removes a “patchwork” distribution of RESCAT values.

Closed strings representing outer limits for likely Measured and Indicated material for each zone were digitised, and used to flag (cookie-cut) the resource model. The model was then coloured according to the preliminary classification and viewed both in a 3-D visualisation environment, as well as against the drilling data in cross section slices. Minor modifications were made to the strings, which were then used for final classification flagging of the model, using the code conventions shown in Table 20.

Cells with estimated grades outside of the mineralised zones remain unclassified, and are retained for geological planning purposes only.

CATEGORY	RESCAT
Unclassified	4
Measured	1
Indicated	2
Inferred	3

Table 20: Resource classification Model Codes

19.8.2 Resource Reporting

The Dikulushi Mineral Resources estimate is reported as at December 31, 2005. To identify and exclude that portion of the Mineral Resource that has been mined, the surveyed pit surface DTM (file pitall101.dtm) supplied by Anvil was utilised.

The current reporting cut-off used on site is 1.5%Cu, and FinOre was instructed by Anvil to report resources using the same threshold.

The validity of any resource estimate is related to many factors, such as the quality of the primary data, the quantity of data available relative to the intrinsic character of the mineralisation, the integrity of geological interpretations, and the suitability of technical evaluation (modelling) procedures. In addition, however, there is a relationship between a resource estimate used for ore reserve evaluation and actual production, as a function of the nature and selectivity of proposed/actual mining.

Observations on site of the degree of selective mining, and the complexity of the ore in detail suggests that it would be difficult to represent the resource in a model to the levels of the current mining selectivity. However, in spite of the expected smoothing inherent in applying Ordinary Kriging (or other linear interpolator) to available data, the resource estimate is considered suitable for pit optimisation, and ore reserve assessment on the basis of current open pit mining practices.

It is likely that any deviations in mining from the model estimates would tend towards a reduction in tonnes, and increase in grade.

The remaining Dikulushi copper and silver resources, as at December 31, 2005 are estimated as follows:

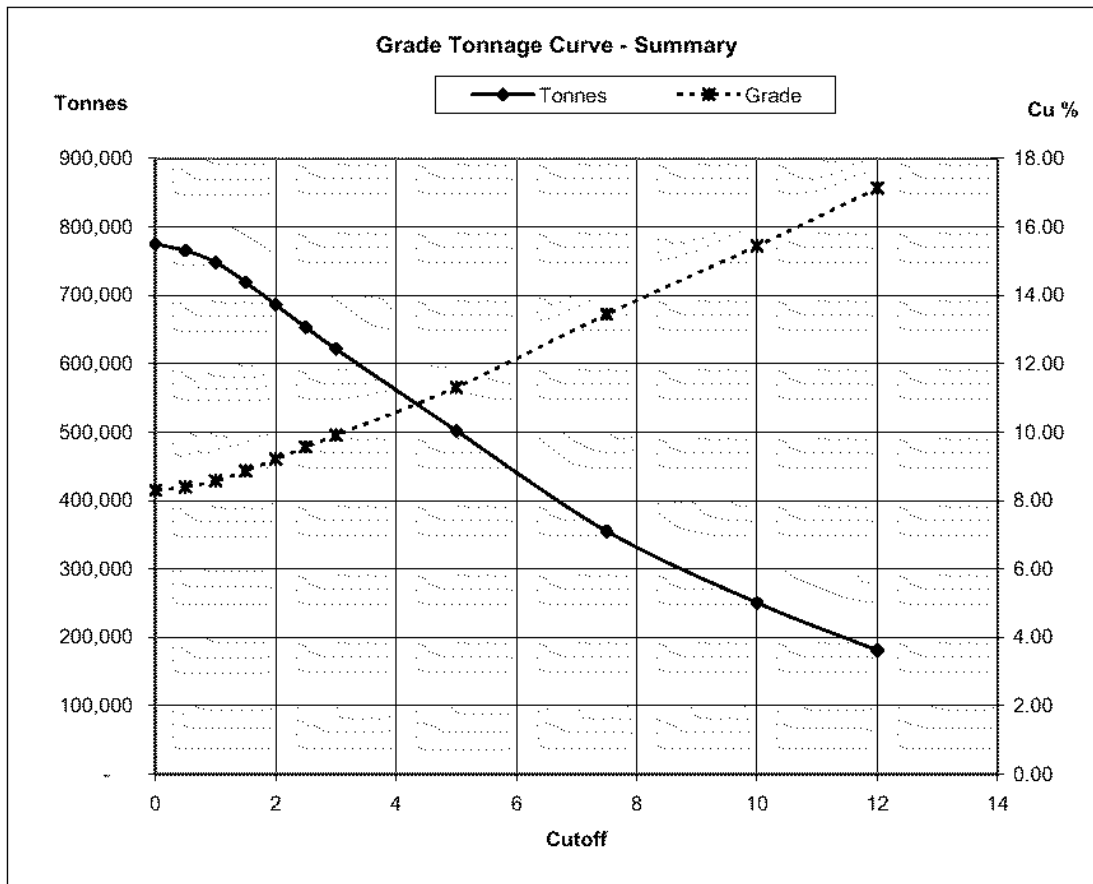
Resource Category	Tonnes	Cu (%)	Ag (g/t)	Cu metal (tonnes)	Ag metal (Moz)
Measured	60,000	7.03	198	4,400	0.39
Indicated	751,000	8.37	245	62,900	5.91
Meas. + Ind.	811,000	8.27	241	67,300	6.30
Inferred	516,000	7.31	155	37,700	2.57

**Table 21: Remaining Resource Estimates December 2005
(1.5%Cu cut-off: Classification Categories)**

19.8.3 Grade Tonnage Curves

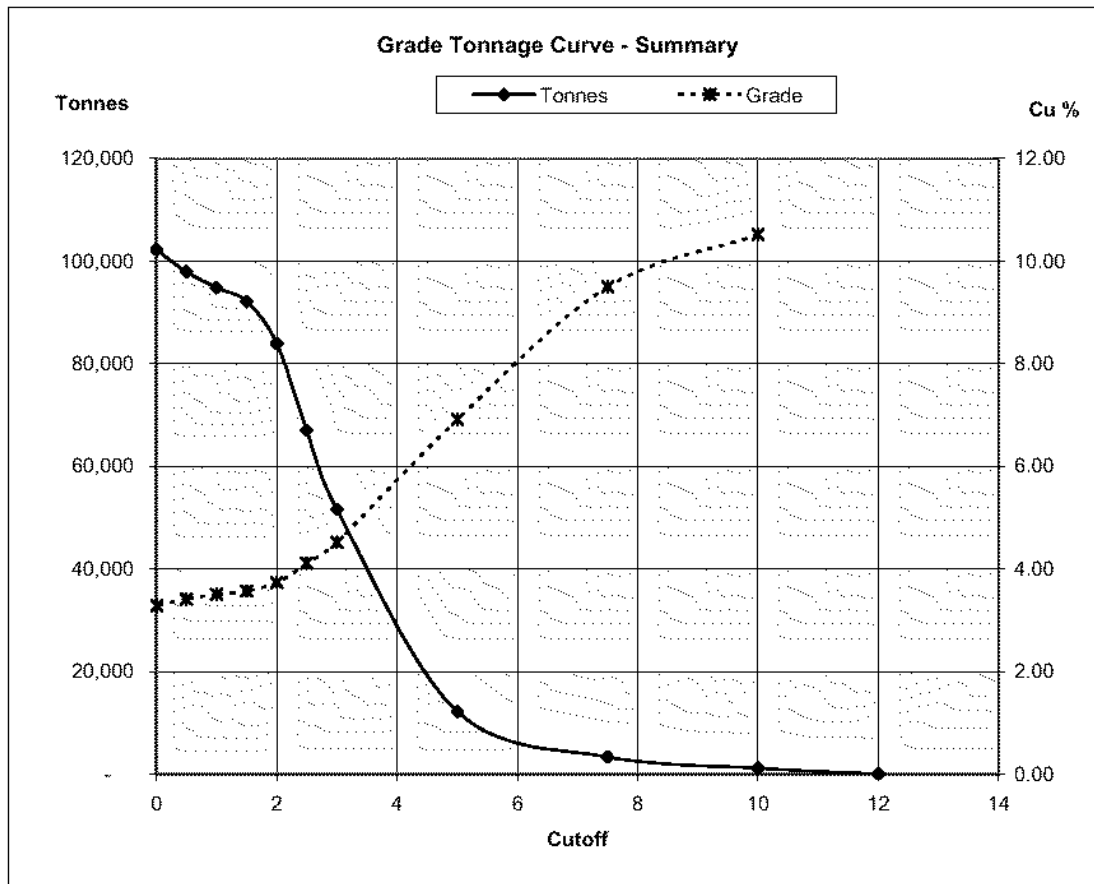
Grade tonnage curves were generated for various cut-offs, for both copper and silver in both domains. All grade tonnage curves are shown in Figure 15, with selected plots shown here.

Anvil Mining - Dikilushi Project - Main M + I						
Cut - off	Volume	Tonnes	Cu %	Density		
12	64,627	180,955	17.13	2.80		
10	89,513	250,636	15.45	2.80		
7.5	126,820	355,096	13.45	2.80		
5	179,235	501,859	11.31	2.80		
3	221,933	621,413	9.91	2.80		
2.5	233,198	652,955	9.57	2.80		
2	245,067	686,186	9.21	2.80		
1.5	256,776	718,972	8.87	2.80		
1	267,209	748,185	8.58	2.80		
0.5	273,407	765,539	8.40	2.80		
0	276,782	774,989	8.30	2.80		



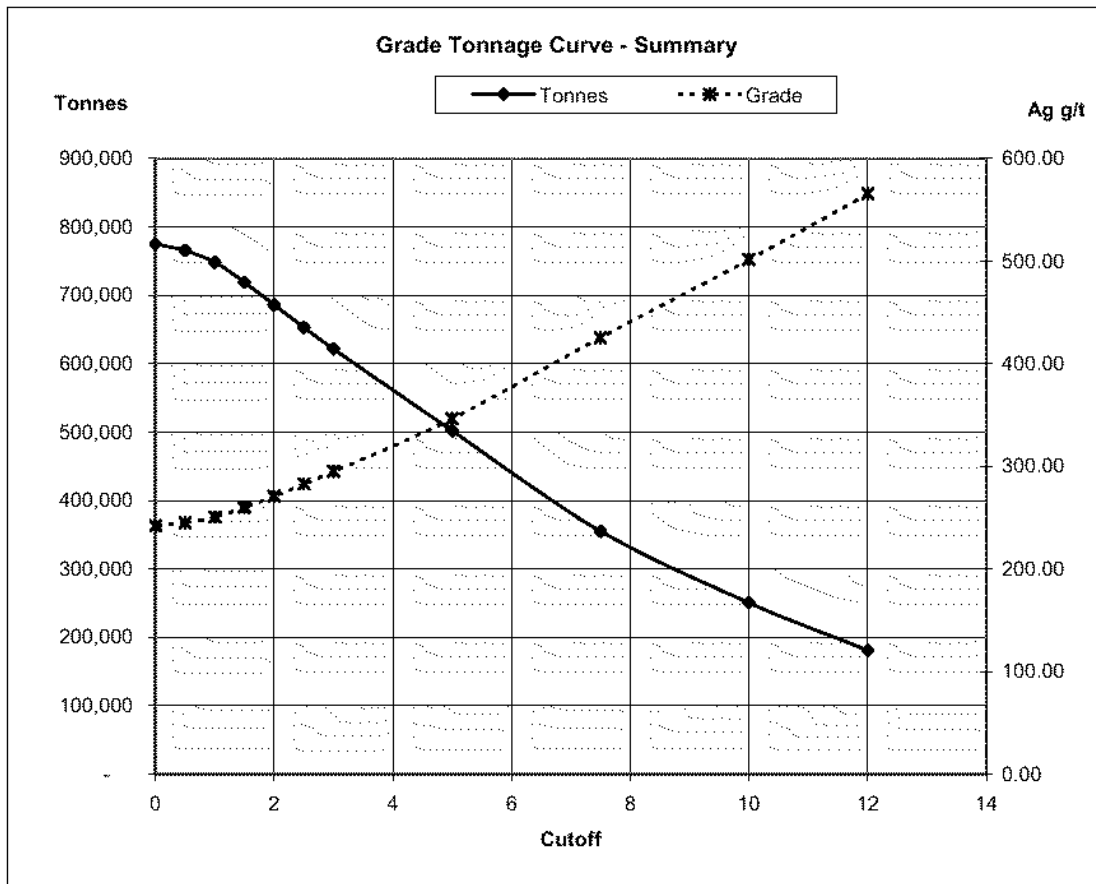
Grade Tonnage Curve
Main Zone Copper
Measured + Indicated

Anvil Mining - Dikilushí Project - Hangingwall Indicated							
Cut - off	Volume	Tonnes	Cu %	Density			
12	-	-	-	-			
10	414	1,160	10.52	2.80			
7.5	1,198	3,354	9.50	2.80			
5	4,354	12,192	6.91	2.80			
3	18,422	51,581	4.52	2.80			
2.5	23,934	67,014	4.11	2.80			
2	29,982	83,948	3.74	2.80			
1.5	32,886	92,081	3.57	2.80			
1	33,860	94,807	3.50	2.80			
0.5	34,967	97,907	3.41	2.80			
0	36,495	102,187	3.28	2.80			



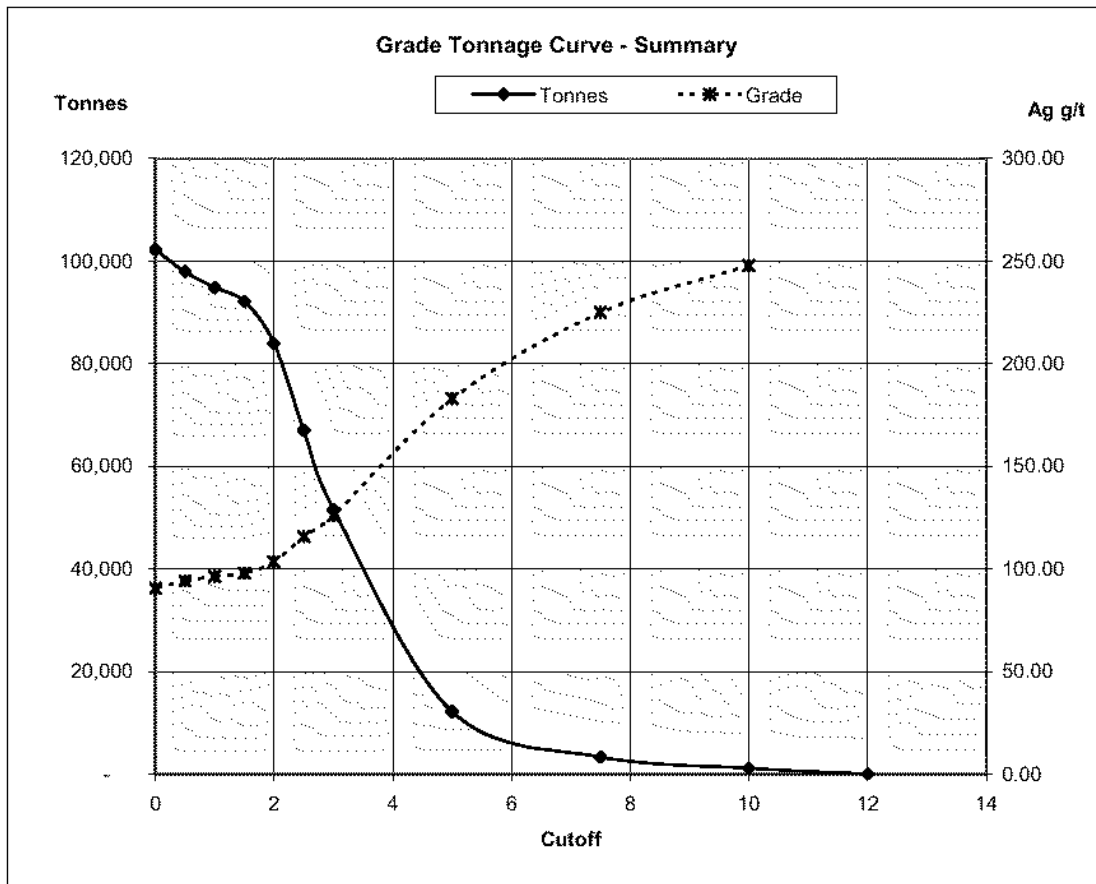
Grade Tonnage Curve
Hangingwall Zone Copper
Measured + Indicated

Anvil Mining - Dikilushi Project - Main M + I						
Cut - off	Volume	Tonnes	Ag g/t	Density		
12	64,627	180,955	565.42	2.80		
10	89,513	250,636	501.37	2.80		
7.5	126,820	355,096	425.53	2.80		
5	179,235	501,859	346.31	2.80		
3	221,933	621,413	294.84	2.80		
2.5	233,198	652,955	282.78	2.80		
2	245,067	686,186	270.82	2.80		
1.5	256,776	718,972	259.80	2.80		
1	267,209	748,185	250.43	2.80		
0.5	273,407	765,539	245.12	2.80		
0	276,782	774,989	242.27	2.80		



Grade Tonnage Curve
Main Zone Silver
Measured + Indicated

Anvil Mining - Dikilushí Project - Hangingwall Indicated							
Cut - off	Volume	Tonnes	Ag g/t	Density			
12	-	-	-	-			
10	414	1,160	247.81	2.80			
7.5	1,198	3,354	224.97	2.80			
5	4,354	12,192	183.03	2.80			
3	18,422	51,581	126.06	2.80			
2.5	23,934	67,014	115.83	2.80			
2	29,982	83,948	103.45	2.80			
1.5	32,886	92,081	97.92	2.80			
1	33,860	94,807	96.38	2.80			
0.5	34,967	97,907	94.20	2.80			
0	36,495	102,187	90.57	2.80			



Grade Tonnage Curve
Hangingwall Zone Silver
Measured + Indicated

Figure 15

19.8.4 MINERAL RESERVES ESTIMATES

The resource block model was prepared by FinOre using Datamine mining software. The block model was depleted against the most recent digital topography model. The design and geotechnical parameters for the final open pit are those as defined in the NI43-101 Technical Report 2004.

The reconciliation between the previous Mineral Reserve against and actual production for the full 2005 year and the six months to December 2005 is tabled below.

Reconciliation for period Jan-Dec 2005					
	ROM tonnes	ROM	ROM	ROM	ROM
		Grade	Grade	Contained	Contained
		Cu%	Ag g/t	CuT	Ag Kg
Mineral Reserve Model for 2005	389,025	5.59	155	21,746	60,202
Production for 2005	382,344	5.35	160	20,470	61,222
Reconciliation	98%	96%	103%	94%	102%
Reconciliation for period July- Dec 2005					
	ROM tonnes	ROM	ROM	ROM	ROM
		Grade	Grade	Contained	Contained
		Cu%	Ag g/t	CuT	Ag Kg
Mineral Reserve Model July-Dec 2005	196,700	6.65	183	13,079	35,984
Production July-Dec 2005	218,268	6.08	185	13,273	40,426
Reconciliation	111%	91%	101%	101%	112%

Table 22: Reconciliation between the 2005 Mineral Reserve and production

19.9 Open Pit Ore Reserves

The open pit Mineral Reserve is published in Table 22 below and is based on the FinOre block model reported as at 31st December 2005. The current open pit design is that used in the NI43-101 Technical Report pit 2005 having a total depth of 150 metres below surface (850mRL).

Anvil have chosen to dilute the resource block model grades by 15% based on the reconciliation performance between the Mineral Reserve model and actual production as per Table 23. Even though the dilution factor has increased it is believed that this can be offset by the current higher copper price. This in effect it is believed will not adversely affect the final 150m pit design.

Mineral Reserve Category	Tonnes	Cu (%)	Ag (g/t)	Cu metal (tonnes)	Ag metal (Moz)
Proved	60,000	6.12	169	3,700	0.33
Probable	453,000	7.98	252	36,200	3.67
Total	513,000	7.76	243	39,900	4.00

Table 23: Dikulushi Open Pit Reserves at December 31, 2005

The Dikulushi open pit is shown to be technically and economically viable based on analysis of the Measured and Indicated Mineral Resource only. Inferred mineralisation is considered as waste rock. However, inferred mineralisation within the pit envelope comprises 61,000 tonnes at 4.43% Cu and 133 g/t Ag.

Item 20. OTHER RELEVANT DATA & INFORMATION

There is no known additional data and information of relevance to this technical report.

Item 21. INTERPRETATION & CONCLUSIONS

Our geological understanding of the deposit has improved over the last year, primarily due to the input from researchers from Leuven University, Belgium. Combined with the efforts of the current Dikulushi Mine geology staff and members of Anvil's Exploration Department, this has led to an improvement in the latest resource model.

Item 22. RECOMMENDATIONS

22.1

A drilling programme needs to be designed to test the Dikulushi resource at depth and upgrade the deep inferred portion of the mineral resource to indicated where possible. On completion of the drilling an underground mining study should be carried out

21.2

Further support should be provided to researchers from Leuven University, Belgium, to further enhance our understanding of the geology at Dikulushi and to establish the precise controls on mineralization. This is critical for the planning of future exploration programmes in the Lufilian (Kundelungu) Foreland.

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Voortman, L (1998): Independent Assessment of Diamond and RC Drilling at the Dikulushi Copper Project. Unpublished Snowden Associates, Report for Anvil Mining NL.

Item 24. CONSENT FORMS AND CERTIFICATES

CERTIFICATE of AUTHOR

I, **Malcolm Hillbeck**, of **Anvil Mining Limited, Level 2, 38 Richardson Street, West Perth, WA, 6005** do hereby certify that:

1. I am the Vice President- Operations of Anvil Mining Limited.
2. This certificate relates to the Dikulushi Copper-Silver Mine- Technical Report 24 February 2006 (the "Technical Report - Dikulushi").
3. I am:
 - a) *A member of the Aus IMM;*
 - b) *I graduated from the University of Birmingham in 1963 with a Batchelor of Science with Honors in Mining;*
 - b) *I have worked as a mining engineer for a total of 43 years since my graduation from university.*
4. I have read the definition of "qualified person" set out in National Instrument 43-101 Standards of Disclosure for Mineral Projects ("NI 43-101") and certify that by reason of my education, affiliation with a professional association (as defined in NI 43-101) and past relevant work experience, I fulfil the requirements to be a "qualified person" for the purposes of NI 43-101.
5. The date and duration of my most recent personal inspection of the property was in January 2006- from 27 January to 1 February inclusive
6. I am responsible for the sections of the Technical Report – Dikulushi, pertaining to mining, production, ore processing and resources, being parts 1 to 8, 18, 20 to 23 and 25.
7. I am not independent of Anvil Mining Limited. However, because Anvil Mining Limited is a "producing issuer" for the purposes of NI 43-101, the Technical Report - Dikulushi is not required to be prepared by or under the supervision of an independent qualified person.
8. The following is a summary of my prior involvement with the Dikulushi mine: Responsible for the operation and development of the mine since August 2005
9. I have read the provisions of NI 43-101 and hereby confirm that the technical report - Dikulushi has been prepared in compliance with NI 43-101.
10. To the best of my knowledge, information and belief, the Technical Report - Dikulushi contains all scientific and technical information that is required to be disclosed to make the Technical Report - Dikulushi not misleading.
11. I consent to the filing of the Technical Report - Dikulushi with any stock exchange and other regulatory authority and any publication by them for regulatory purposes, including electronic publication in the public company files on their websites accessible by the public, of the Technical Report - Dikulushi.

Dated this 24 day of February, 2006

(x) 
Malcolm J Hillbeck

***Malcolm James Hillbeck – BSC (Hons) Mining M Aus IMM, MIMMM, C Eng
Anvil Mining Ltd, Level 2, 38 Richardson Street, West Perth, WA, 6005***

24 February 2006

British Columbia Securities Commission
Alberta Securities Commission
Saskatchewan Financial Services Commission - Securities Division
The Manitoba Securities Commission
Ontario Securities Commission

Autorité des marchés financiers

Ladies and Gentlemen:

Anvil Mining Limited

I refer to the annual information form dated 24 February 2006 (the “AIF”) of Anvil Mining Limited (the Company”).

I also refer to the technical report dated **24 February 2006** regarding the ***Dikulushi Copper-Silver Mine Technical Report*** (the “Technical Report”).

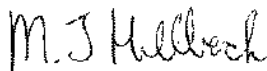
I consent to:

- a) the public filing of the Technical Report; and
- b) reference in the AIF to extracts from, and a summary of, the Technical Report.

I also confirm that I have read the AIF and that the AIF fairly and accurately represents the information in the Technical Report that supports the disclosure set out in the AIF.

This letter is solely for the information of the addressees and is not to be referred to in whole or in part in the AIF or any similar document and is not to be relied upon for any other purpose.

Yours truly,



Malcolm Hillbeck

CERTIFICATE of AUTHOR

I, *Nicolas Franey*, of *Anvil Mining Limited, Level 2, 38 Richardson Street, West Perth, WA, 6005* do hereby certify that:

1. I am the Vice President- Exploration of Anvil Mining Limited.
2. This certificate relates to the Dikulushi Copper-Silver Mine- Technical Report 24 February 2006 (the "Technical Report - Dikulushi").
3. I am:
 - a) *A member of the Aus Inst Geoscientists;*
 - b) *I graduated from the University of Leicester in 1980 with a Bachelor of Science with Honors in Mining Geology, and from Rhodes University in 1986 with A Master of Science in Mineral Exploration;*
 - b) *I have worked as a geologist for a total of 25 years since my graduation from Leicester University.*
4. I have read the definition of "qualified person" set out in National Instrument 43-101 Standards of Disclosure for Mineral Projects ("NI 43-101") and certify that by reason of my education, affiliation with a professional association (as defined in NI 43-101) and past relevant work experience, I fulfil the requirements to be a "qualified person" for the purposes of NI 43-101.
5. The date and duration of my most recent personal inspection of the property was in February 2006- from 19 to 21 February inclusive
6. I am responsible for the geology, exploration, drilling and sampling sections of the Technical Report- Dikulushi- items 9 – 17 inclusive.
7. I am not independent of Anvil Mining Limited. However, because Anvil Mining Limited is a "producing issuer" for the purposes of NI 43-101, the Technical Report - Dikulushi is not required to be prepared by or under the supervision of an independent qualified person.
8. The following is a summary of my prior involvement with the Dikulushi mine: technical supervision of geological services to the operation and regional exploration in the mine environs since January 2006.
9. I have read the provisions of NI 43-101 and hereby confirm that the technical report - Dikulushi has been prepared in compliance with NI 43-101.
10. To the best of my knowledge, information and belief, the Technical Report - Dikulushi contains all scientific and technical information that is required to be disclosed to make the Technical Report - Dikulushi not misleading.
11. I consent to the filing of the Technical Report - Dikulushi with any stock exchange and other regulatory authority and any publication by them for regulatory purposes, including electronic publication in the public company files on their websites accessible by the public, of the Technical Report - Dikulushi.

Dated this 24 day of February, 2006

(x)



Nicholas John Franey

*Nicholas John Franey – BSC (Hons) Min Geol, MSc Min Expl, M Aust Inst Geoscientists
Anvil Mining Ltd, Level 2, 38 Richardson Street, West Perth, WA, 6005*

24 February 2006

British Columbia Securities Commission
Alberta Securities Commission
Saskatchewan Financial Services Commission - Securities Division
The Manitoba Securities Commission
Ontario Securities Commission

Autorité des marchés financiers

Ladies and Gentlemen:

Anvil Mining Limited

I refer to the annual information form dated 24 February 2006 (the “AIF”) of Anvil Mining Limited (the Company”).

I also refer to the technical report dated *24 February 2006* regarding the *Dikulushi Copper-Silver Mine Technical Report* (the “Technical Report”).

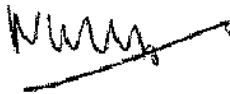
I consent to:

- c) the public filing of the Technical Report; and
- d) reference in the AIF to extracts from, and a summary of, the Technical Report.

I also confirm that I have read the AIF and that the AIF fairly and accurately represents the information in the Technical Report that supports the disclosure set out in the AIF.

This letter is solely for the information of the addressees and is not to be referred to in whole or in part in the AIF or any similar document and is not to be relied upon for any other purpose.

Yours truly,

A handwritten signature in black ink, appearing to read 'N. Franey', with a long horizontal line extending to the right.

Nicholas John Franey



ABN 50 068 239 487
Affiliated with CSA Australia Ltd Geological Consultants
Level 1, 47 Burswood Rd, Burswood, WA 6100. tel 08 93551677, fax 08 93661977

Gerry Fahey
Principal FinOre Mining Consultants
Level 1, 47 Burswood Road
PO Box 139
Burswood WA 6100
Telephone: +618 9355 1677
Fax: +618 9355 1977

CERTIFICATE of AUTHOR

I, Gerry Fahey, MAIG, MAusIMM (CP) do hereby certify that:

1. I am Principal of:

FinOre Mining Consultants
Level 1, 47 Burswood Road
PO Box 139
Burswood WA 6100
2. I graduated with a Bachelor of Science with Honours in Geology from the National University of Ireland in 1975. In addition I have an Underground Hard Rock Mining certificate from the Ontario Ministry of Education, College Standard 1987
3. I am a member of the Australian Institute of Mining and Metallurgy, the Australian Institute of Geoscientists, and the Joint Ore Reserve Committee (JORC).
4. I have worked as a geologist for a total of 30 years since my graduation from university.
5. I have read the definition of "qualified person" set out in National Instrument 43-101 ("NI 43-101") and certify that by reason of my education, affiliation with a professional association (as defined in NI 43-101) and past relevant work experience, I fulfil the requirements to be a "qualified person" for the purposes of NI 43-101.

6. I am responsible for the preparation of the Resource Model and Resource Statement section, being Item 19, of the technical report titled "Dikulushi Copper-Silver Mine- Technical Report 24 February 2006" (the "Technical Report") relating to the property. I visited the Dikulushi Project property in February 2005.
7. I have not had prior involvement with the property that is the subject of the Technical Report.
8. I am not aware of any material fact or material change with respect to the subject matter of the Technical Report that is not reflected in the Technical Report, the omission to disclose which makes the Technical Report misleading.
9. I am independent of the issuer applying all of the tests in section 1.5 of National Instrument 43-101.
10. I have read National Instrument 43-101 and form 43-101F1, and the Technical Report has been prepared in compliance with that instrument and form.
11. I consent to the filing of the Technical Report with any stock exchange and other regulatory authority and any publication by them for regulatory purposes, including electronic publication in the public company files on their websites accessible by the public, of the Technical Report.

Dated this 24th Day of February 2006.



Signature of Qualified Person

Gerry Fahey

Print Name of Qualified Person

Gerry Fahey
Principal
FinOre Mining Consultants
Level 1, 47 Burswood Road
PO Box 139
Burswood WA 6100
Telephone: +618 9355 1677
Fax: +618 9355 1977

CONSENT of AUTHOR

TO:

I, Gerry Fahey, do hereby consent to the filing of the written disclosure of the technical report titled "Dikulushi Copper-Silver Mine- Technical Report 24 February 2006" (the "Technical Report") and any extracts from or a summary of the Technical Report in the Annual Information Form of Anvil Mining Limited, in respect of the year ended December 31, 2005, and to the filing of the Technical Report with the securities regulatory authorities referred to above.

I also certify that I have read the written disclosure being filed and I do not have any reason to believe that there are any misrepresentations in the information derived from the Technical Report or that the written disclosure in the Annual Information Form of Anvil Mining Limited, in respect of the year ended December 31, 2005 contains any misrepresentation of the information contained in the Technical Report.

Dated this 24th Day of February of 2006.



Signature of Qualified Person

Gerry Fahey

Print name of Qualified Person

Item 25. ADDITIONAL REQUIREMENTS – PRODUCTION PROPERTY

Item 25. (A).1 Mining Method

Mining operations at the Dikulushi Mine are carried out by both Anvil Mining and a contractor under the supervision of Anvil staff. The Mining Company Katanga (MCK) primary earthmoving fleet comprises a fleet of 35 tonne to 50 tonne articulated dump trucks. Production drilling is carried out by Anvil's two drill rigs, and blasting services are performed by Anvil personnel with explosives supplied by African Explosives Zambia Limited from Zambia.

Mining activity is carried out on two 12 hour shifts and equipment operators work a 2 day/2 night and 2 days off roster. Ore loading, assisted by spotters, is highly selective and restricted to day shift only.

Drill and blast is carried out on a 5 metre high bench while drilling ore, and blasting a 10mt bench in waste. Typical drill and blast patterns comprise 4.75m x 4.0m x 127mm x 10mt with sub drill of 0.5 patterns in waste, and 4.0m x 3.5m x 127mm x 5mt patterns in ore with 0.5m sub drill, providing overall powder factors between 0.55kg/m³ and 0.65kg/m³. Presplit drilling has been implemented on the final pit walls to improve wall conditions and minimise the risk of wall failures.

A list of Anvil's and the contractor's mining equipment is given in Table 24 below:

ANVIL DIKULUSHI MINING FLEET	
Items of Equipment	Numbers
Pantera 1100 production drill	2
Hitachi 650 hydraulic excavator	2
Hitachi 500 hydraulic excavator	1
Komatsu PC 300 hydraulic excavator	1
Komatsu 275 Dozer	1
Cat D8 Dozer	1
Cat 140 G Grader	1
Water Carte	2
Bell Front end Loader	3

DIKULUSHI CONTRACTOR FLEET	
Items of Equipment	Numbers
Bell 35t articulated dump truck	1
Bell 40t articulated dump truck	12
Bell 50t articulated dump truck	2

Table 24: Dikulushi Mining Equipment

The Hitachi 650 and the Hitachi 500 excavators were purchased new for the project. The trucks have been operating since November 2004, and over 9 trucks have been replaced with new trucks. Overall Anvil's mechanical availability of mobile plant is good at approximately 88%. The hired trucks contract availability will reach approximately 85% now with the new trucks. Anvil's spare parts inventory on site is adequate with the regular concentrate truck service between the mine and South Africa, available to backload critical spares if required. Ore is trucked directly to the ROM pad stockpiles, and low grade material and waste are hauled to respective dumps.

The mining fleet, as described gives production capability of 250,000 bcm/month. The ore produced from this capability together with the stockpile can supply mill feed at a rate of 520,000 tonnes/year until the end of 2007.

The layout of the mine is shown in Figure 16.

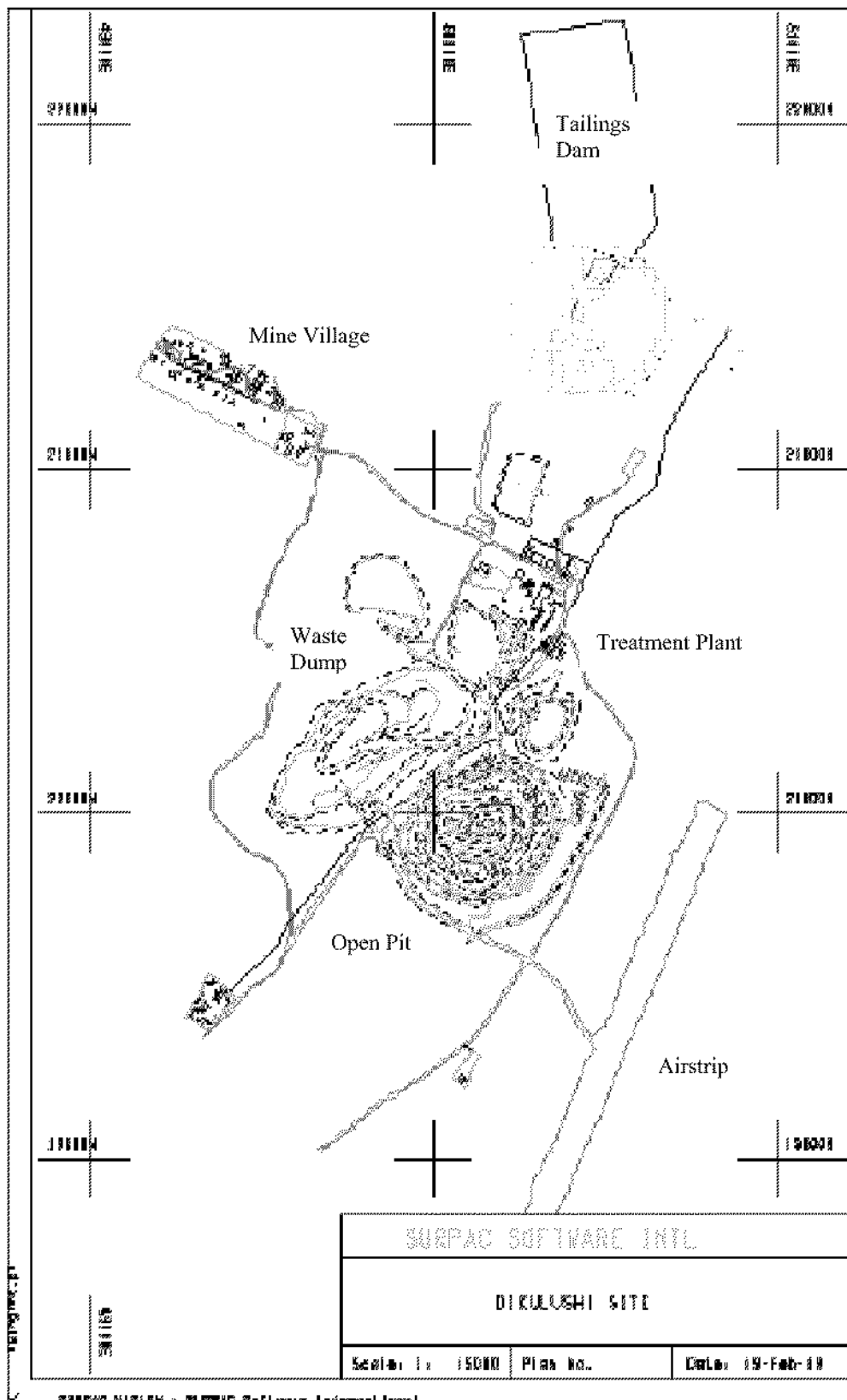


Figure 16

Item 25. (A).2 Geotechnical Parameters

Geotechnical parameters used for pit optimization and mine design follow recommendations supplied in a sketch and table from Australian Mining Consultants Pty Ltd (AMC) which listed domains in unweathered material and specified their maximum overall slope angle and permitted bench design angle. Bench design angles are based on 5 metre wide berms spaced at 20 metre vertical intervals and take account of the poor blasting conditions observed in the pit at the time. AMC did comment that with the exception of the strata in the south-west of the pit, the unweathered rocks have a very high UCS. In order to improve the wall conditions of the ultimate (stage 3) pit, it is strongly recommended that pre-splitting be practiced from here onwards.

Geotechnical parameters are summarised in Table 25 and a perspective view of the geotechnical domains illustrated in Figure 17. The maximum permitted overall angles specified by AMC were practically too steep in most cases and were flattened to take account of access haul ramps.

AMC Domain	Location	AMC Overall Slope	AMC & Design Bench Angle	SURPAC/ Four-X Profile ID	Four-X Profile Overall Slope
Weathered	Top 30m	40°	50°	7	40°
A East	NE	52°	60°	2	42°
A West	NW	47°	50°	1	44.5°
B	W	45°	50°	5	40°
C	SW	40°	50°	6	40°
D	SSW	42°	50°	5	40°
E	SSE (near fault)	58°	60°	3	41.5°
F	SE	58°	60°	4	42°

Table 25: Dikulushi Open Pit Geotechnical Parameters

The Four-X overall slope profiles used for pit optimisation are close to the overall angles provided by the practical pit designs.

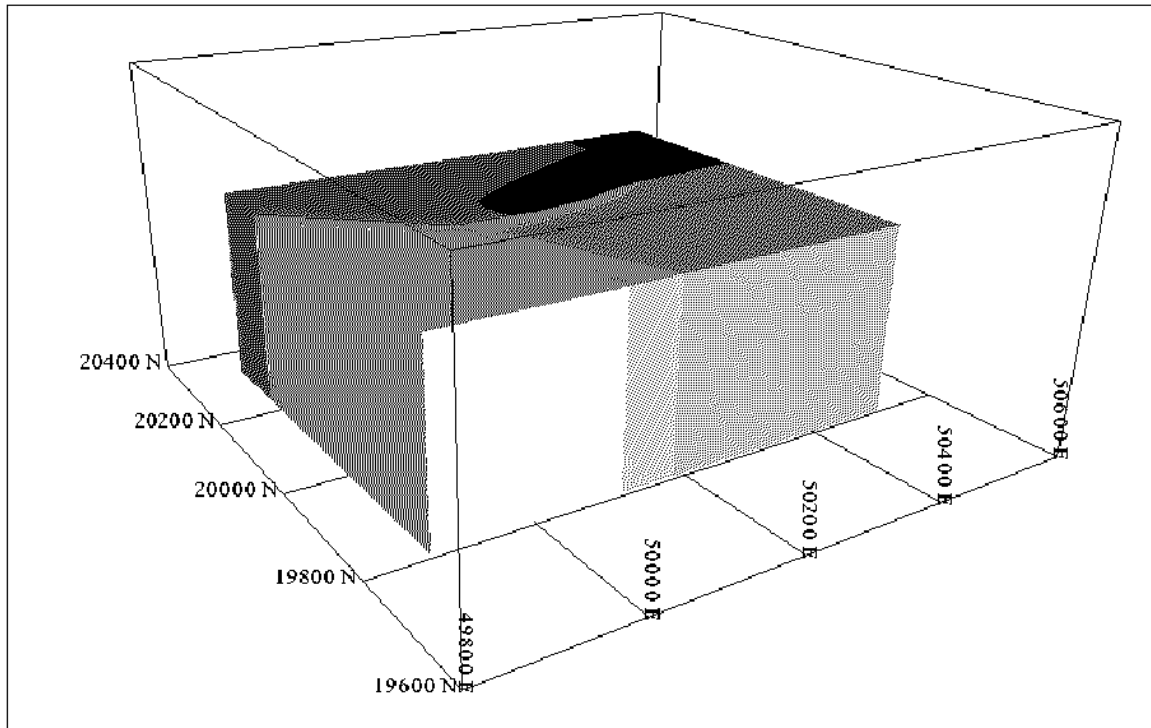


Figure 17: Dikulushi Un-weathered Geotechnical Domains

Item 25. (A).3 Mineral Processing

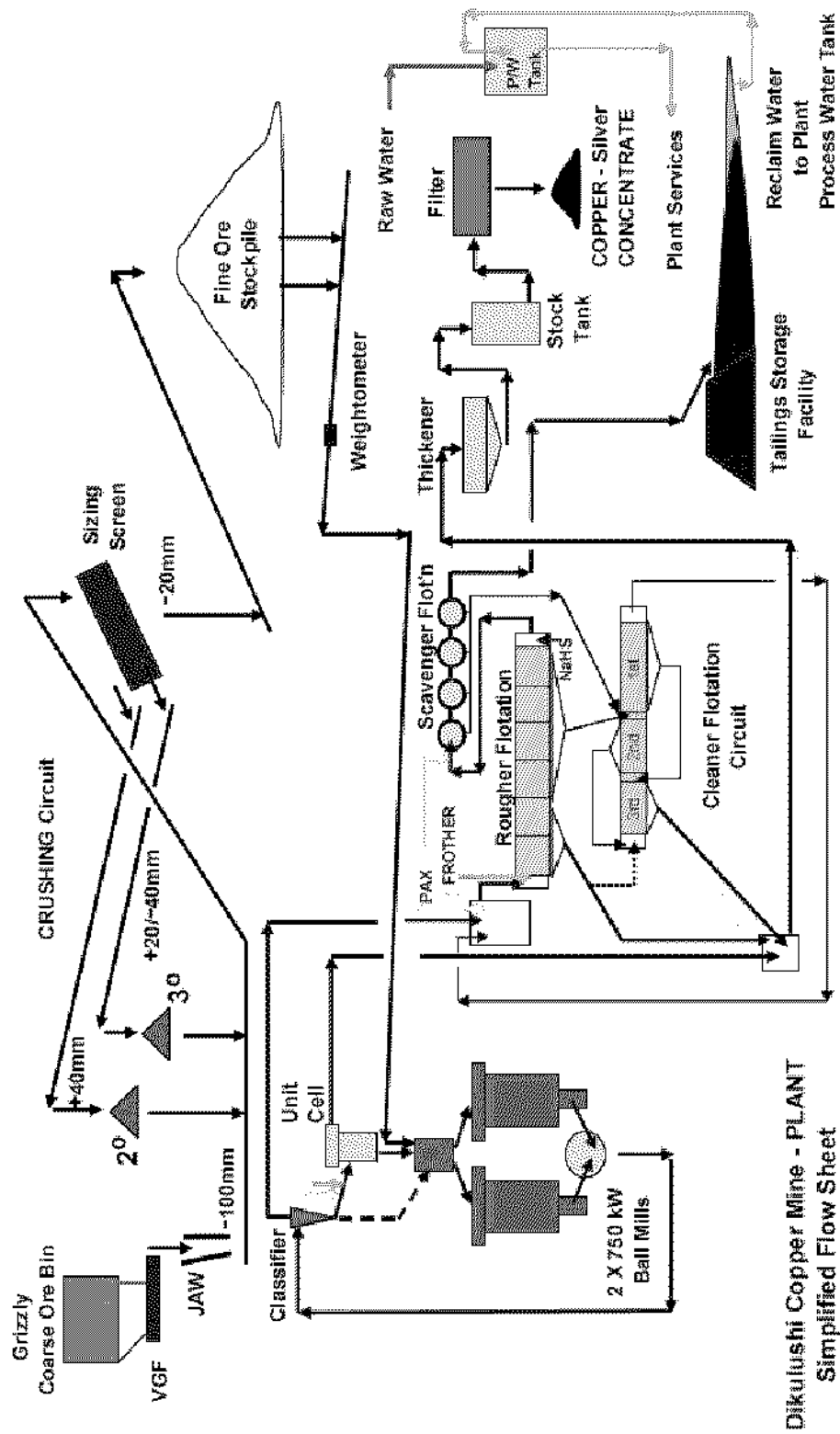
The three stage crushing circuit utilized for the Stage I HMS Circuit remains as the primary comminution circuit for the Stage II plant. The crushing plant produces a minus 20mm product for the grinding circuit feed. The HMS plant was de-commissioned, refurbished and reinstalled at the Kulu Project.

The grinding circuit consists of two overflow ball mills in parallel configuration in closed circuit with a 250mm hydrocyclone. Each ball mill is powered by a 750 kW motor. The grind sizing parameter is 70% passing 106 microns. The mill is capable of treating 520,000 tonnes of ore per annum.

Both ball mills discharge to a common sump, slurry is pumped to a single 250mm diameter cyclone. Cyclone underflow gravitates to an Outokumpu SK240 Unit Flotation Cell to recover coarse liberated copper sulphides, which report direct to final concentrate. Cyclone overflow reports to conditioning and conventional flotation at 35 % solids. Given the good flotation response from most of the ore types tested, a relatively simple flotation circuit is in place. The circuit is in two sections; a primary sulphide flotation and a secondary sulphide/oxide flotation. Collector and frother addition is conventional. (Fig 18)

The splitting of the circuit is due to the presence of oxide minerals in some of the ore blends and require activation using sodium hydrosulphide to enable them to be recovered. As sodium hydrosulphide can depress some sulphide minerals, the majority of the sulphide minerals are recovered in the primary sulphide flotation circuit.

The tailing from the primary sulphide flotation circuit is (if required) sulphidised and the liberated oxides and additional sulphides are recovered. In the event of the ore blend containing little or no oxides and thus not requiring sulphidising, the secondary sulphide circuit acts as a sulphide scavenger.



Dikulushi Copper Mine - PLANT
Simplified Flow Sheet

Figure 18

The primary rougher circuit has provision for bypassing initial rougher concentrates directly to final concentrate. Lower grade rougher concentrates reports to the cleaning flotation cells for upgrading.

Final tailing from the secondary rougher circuit is pumped to the tailings storage facility. Supernatant water is recovered from the tailings dam and recycled to the processing plant.

The circuit is based on a nominal flotation time of 20 minutes in each of the rougher flotation stages and a minimum 15 minutes in each of the cleaner stages.

Final concentrate is pumped to a thickener, the underflow is pumped to a concentrate storage tank. The storage tank has sufficient capacity for 8 hour of concentrate production. A filter press with a capacity of 194 tonnes per day and is operated in batch mode. Filter cake discharges directly onto a concrete floor below the filter where it is recovered/transported to a simple hopper/bagging arrangement with a skid steer loader. Concentrate is loaded into two tonne capacity bulk bags. Moisture content is near 8%.

The product will be stacked on a concrete floor prior to reclaim by a skid steer loader and bagging. Each bag will be weighed ready for despatch by truck to the smelter. The concentrate stockpile will have capacity for approximately 24 hours production.

Item 25. (A).4 Tailings Storage Facilities (TSF)

The first TSF for HMS tailings, designed by Knight Piesold Consulting, South Africa, covers 1.8 hectares and has been dormant since September, 2004. A predominantly coarse portion of the HMS tailings have been recovered and processed through the flotation plant. Further processing of this material is dependent on metallurgical test work conducted at site.

A second TSF, designed by D.E. Cooper and Associates, Australia, was built during 3Q, 2004 to receive flotation tailings. This facility is located ~100m North of the HMS TSF, covers about 12 hectares and is 12m high on the eastern embankment. With current flotation plant throughput rates, this facility has been assessed as inadequate for any further extension and is to be abandoned 3Q, 2005 in favour of a new facility.

A third TSF has been designed by Knight Piesold Consulting, South Africa. This facility is located adjacent to and north of the second TSF and will cover a 21 hectare area. This dam is a typical hillside impoundment and will provide the needed area to limit the rise rate of tailings at acceptable norms. Once the rate of rise has fallen to about 3.5m/year, natural evaporative drying will result in the tailings deposits losing water from the voids between the tailings particles, thereby achieving good consolidation and strength gain. At this stage it will be possible to raise the outer confining wall using the tailings itself for wall building.

Supernatant tailings water is reclaimed via penstock arrangements for use in the processing plant. The three tailings areas are illustrated in FigureA, the Dikulushi Mine Site Plan.

Item 25. (A).5 Pit Optimization and Mine Design

Mining has been carried out since 2003 according to the pit optimization and mine design described in the Technical Report of February 16, 2004 which takes the open pit to a depth of 150 metres in three stages.

The stage 1, 2 and 3 designs are set out in Figures 19, 20 and 21. The open pit has been mined to a depth of 95 metres as at December 2005. The operation is therefore committed to this mine design.

The increased mining fleet has increased the mining rate, allowing a higher treatment plant throughput. The key physical parameters from January 2006 to December 2007 are shown in Table 26 and the production forecast is shown in Table 27.

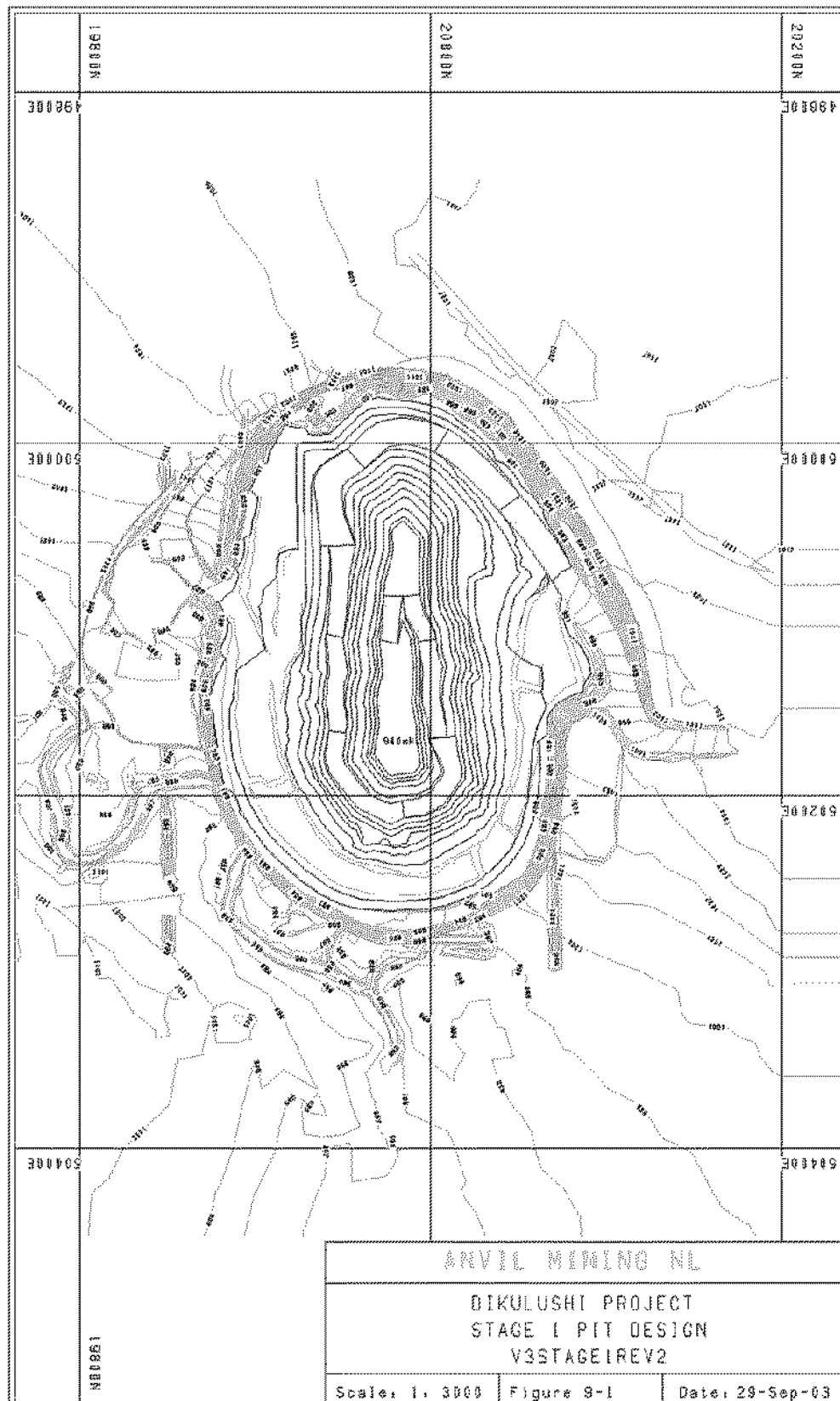


Figure 19

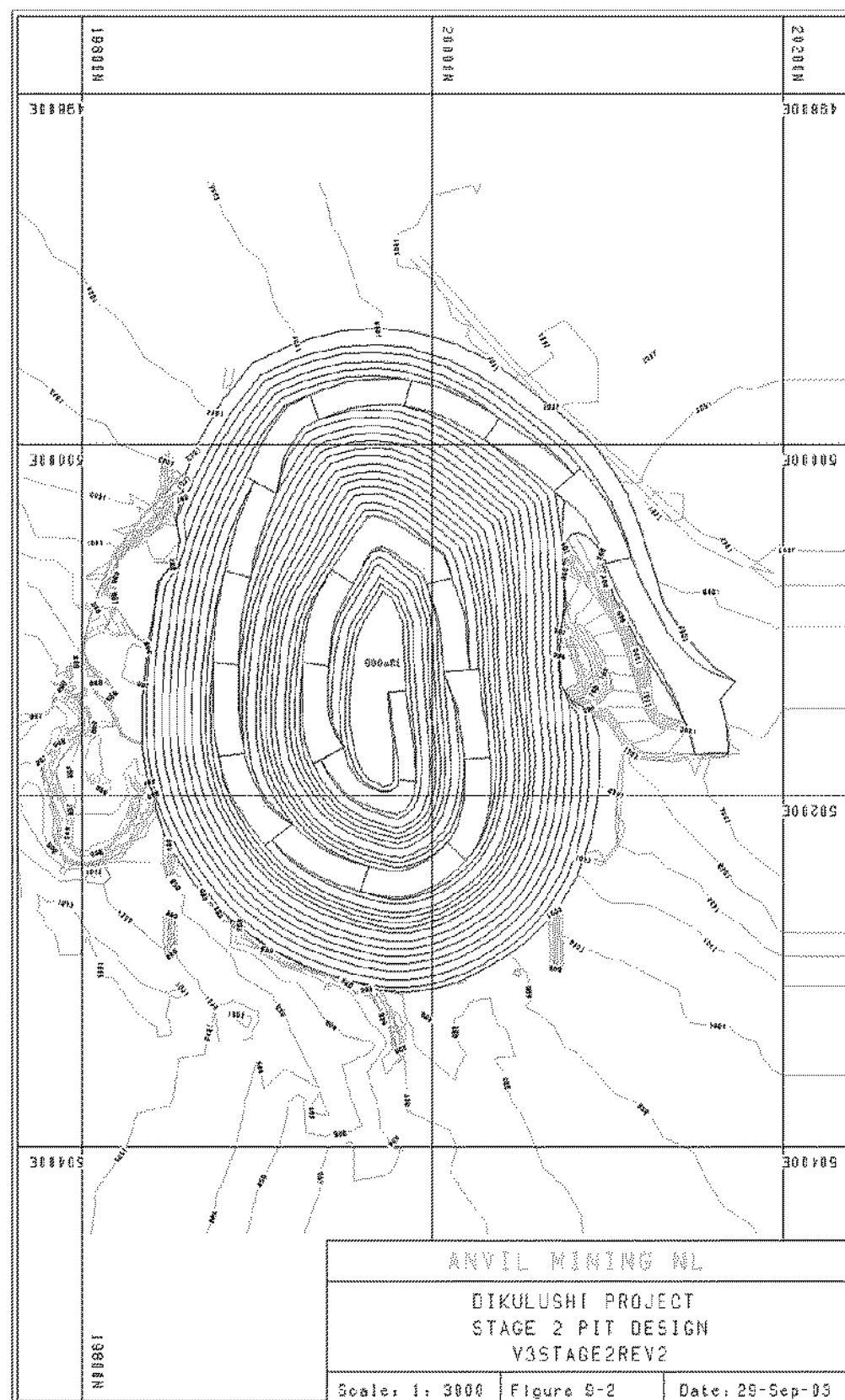


Figure 20

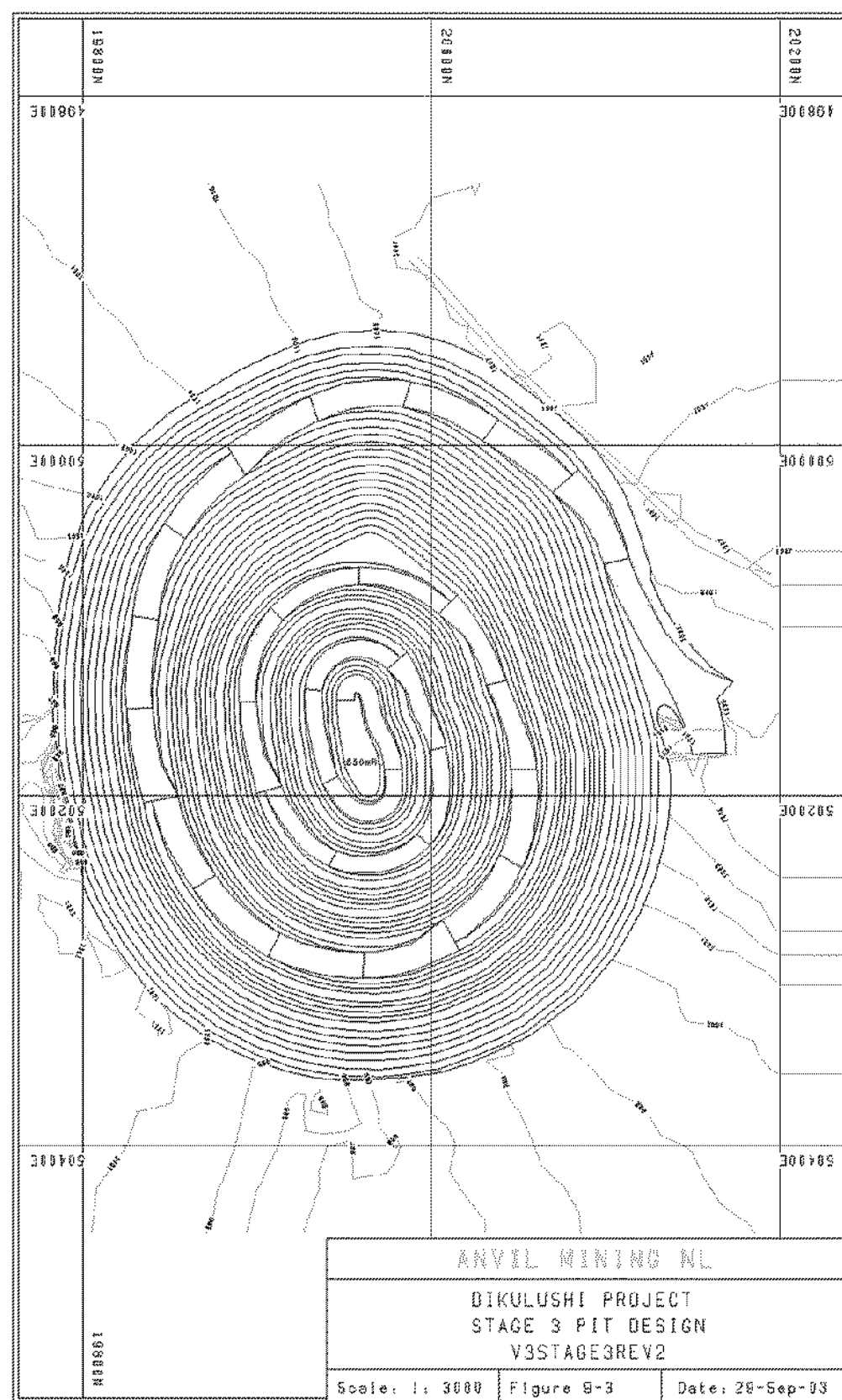


Figure 21

Key Parameters- January 2006 - December 2007

MINING	Units	Quantity
Waste	t	3,484,943
Low Grade	t	33,775
Ore	t	513,000
Cu	t	39,811
Ag	oz	4,005,541
Grade Cu	%	7.76%
Grade Ag	g/t	243
Total BCM	bcm	1,536,567
Mine Call Factor	%	85%
PROCESS		
Ore Treated	t	1,059,950
Grade Cu	%	5.12%
Grade Ag	g/t	151
Recovery Fresh Ore	%	91%
Recovery Oxide Ore	%	70%
Cu Recovered	t	46,507
Ag Recovered	Oz	4,450,050
Concentrate Produced	wmt	94,770

Table 26

DIKULUSHI PROJECT - MINE PLAN FINANCIAL ANALYSIS 150M PIT - REMAINING LIFE

INTERNAL RESOURCE MODEL
ANVIL CAPITAL/OPERATING COSTS
ORIGINAL PIT DESIGN; REVISED FOR ACCELERATED MINING SCHEDULE

Year		2006	2006	2006	2006	2007	2007	2007	2007
Quarter		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Period		P1	P2	P3	P4	P5	P6	P7	P8
PHYSICALS	UNITS TOTALS	P1	P2	P3	P4	P5	P6	P7	P8
Tonnes Mined	KTonnes	513	105	105	105	105	92	-	-
Strip Ratio		6.9	10.2	10.5	4.1	5.0	0.6	-	-
Waste Mined	KTonnes	3,519	1,702	1,124	427	215	64	-	-
ROM Ore	KTonnes	513	105	105	105	105	92	-	-
Copper Grade (ROM)	% Cu	7.76%	4.77	4.88	6.44	11.14	9.84	-	-
Silver Grade (ROM)	ppm Ag	243	144	128	246	365	342	-	-
Cu Contained (ROM)	Tonnes	39,911	5,018	5,135	6,874	11,893	9,081	-	-
Ag Contained (ROM)	Ounces	4,005,541	496,025	432,979	839,830	1,231,354	1,016,352	-	-
ROM Feed	KTonnes	323	100	95	93	95	-	-	-
Stockpile (ROM) Feed	KTonnes	255	9	11	18	23	21	55	50
Tailings Feed	KTonnes	72	6	9	0	6	9	10	11
Floats Feed	KTonnes	210	16	9	42	54	15	21	23
Low Grade Feed	KTonnes	199	-	9	23	21	22	27	47
Total Plant Feed	KTonnes	1,080	131	132	133	133	132	133	133
Copper Grade (Feed)	% Cu	5.12	4.46	4.45	5.07	5.35	5.06	5.25	4.82
Silver Grade (Feed)	ppm Ag	151	130	113	143	160	160	145	137
Cu Contained (Feed)	Tonnes	54,291	5,519	5,921	6,757	7,138	7,921	8,294	6,425
Ag Contained (Feed)	Ounces	5,155,003	544,713	481,839	613,813	684,604	804,863	820,393	620,189
Copper Output	Tonnes	46,507	5,087	5,079	5,717	5,962	6,807	7,215	5,455
Silver Output	Ounces	4,460,060	477,583	416,018	522,226	581,525	695,463	719,061	531,765
Overall Recovery Copper	%	85.7	87.4	87.3	84.5	85.0	85.9	87.1	84.9
Overall Recovery Silver	%	88.3	87.7	87.2	85.1	84.0	86.6	87.6	85.7
REVENUE	UNITS TOTALS	P1	P2	P3	P4	P5	P6	P7	P8
Copper Price	\$/Tonne	3,142	3,142	3,142	3,142	3,142	3,142	3,142	3,142
Copper Price	\$/lb	1.43	1.43	1.43	1.43	1.43	1.43	1.43	1.43
Silver Price	\$/oz	5.50	5.50	5.50	5.50	5.50	5.50	5.50	5.50
Copper Revenue	\$'000	1,460,362	15,295	15,359	17,295	18,124	20,692	21,931	16,573
Silver Revenue	\$'000	22,370	2,378	2,605	2,605	2,603	3,634	3,836	2,681
Subtotal	\$'000	1,482,732	17,674	17,964	19,900	20,727	24,326	25,767	19,254
CAPITAL	\$'000	3,104	1,318	467	803	608	-	-	-
OPERATING EXPENSES	UNITS TOTALS	P1	P2	P3	P4	P5	P6	P7	P8
Mining Cost	\$/tonne mined	3.31	2.89	2.82	4.32	5.36	10.86	N/A	N/A
	\$'000	13,353	3,753	3,221	2,303	1,711	1,581	262	282
Process Cost	\$/tonne process	5.80	5.79	5.77	5.78	5.80	5.87	5.89	5.77
	\$'000	6,151	756	761	772	774	774	770	767
Selling Costs Cu	\$/tonne Cu	1,230	1,136	1,183	1,183	1,188	1,282	1,291	1,296
	\$'000	67,183	5,777	5,863	6,851	7,003	6,798	6,321	7,070
Selling Costs Ag	\$/ounce Ag	0.37	0.36	0.36	0.36	0.36	0.37	0.37	0.37
	\$'000	1,827	173	152	189	211	257	285	190
Fixed Costs	\$/tonne process	19.82	19.88	19.88	19.75	19.75	19.86	19.85	19.75
	\$'000	21,005	2,805	2,820	2,835	2,835	2,620	2,620	2,635
Subtotal	\$'000	99,330	13,074	12,838	12,550	12,332	14,028	13,244	10,931
CASH FLOW ANALYSIS	UNITS TOTALS	P1	P2	P3	P4	P5	P6	P7	P8
Cash Flow	\$'000	57,137	2,893	3,003	6,078	7,810	9,892	11,907	7,020
Cum. Cash Flow	\$'000	2,893	6,786	12,873	20,492	30,154	41,961	49,881	57,137
DCF (10% p.a.)	\$'000	49,193	2,754	3,825	6,505	7,734	9,332	9,833	6,501
Cum. DCF	\$'000	2,754	6,378	11,883	18,817	26,549	36,882	43,382	49,193
PRODUCTION COSTS excl CAPITAL	UNITS TOTALS	P1	P2	P3	P4	P5	P6	P7	P8
Cash Cost per lb Cu	\$/lb Cu	0.97	1.17	1.00	0.83	0.69	0.63	0.61	0.60
Cash Cost per lb Cu after Ag credit	\$/lb Cu	0.75	0.95	0.84	0.70	0.71	0.70	0.60	0.69
PRODUCTION COSTS incl CAPITAL	UNITS TOTALS	P1	P2	P3	P4	P5	P6	P7	P8
Cash Cost per lb Cu	\$/lb Cu	1.05	1.28	1.17	1.06	0.96	0.93	0.91	0.93
Cash Cost per lb Cu after Ag credit	\$/lb Cu	0.75	1.07	0.96	0.85	0.76	0.76	0.66	0.70

Table 27

The mined grade drops significantly between March and May 2006 because Stage 2 pit is incomplete and Stage 3 does not reach a depth of 100 metres until the end of May 2006.

Mining volumes are based on an average of 230,000 bcm per month until April 2006 after which they drop off to an average of 48,000 bcm per month to the end of the pit due to the completion of Stage 3 outback.

The feed grade to the plant has been balanced out in the schedule by balancing the run of mine ore with the various stockpiles.

All the casting and production estimates have been based on the historical figures largely achieved in 2005 during which the current plant has been operating. Actual costs achieved for 2005 were:

	YEAR 2005
Mine gate costs after Ag credits	\$0.42
Cash costs after Ag credits	\$0.88

Table 28: Cash Cost of Production 2005- \$/lb

Item 25. (B) Recoverability

Metallurgical test work is described in Section 15.1 of this report. Below is a table, Table 29, showing the performance of the plant from when the current grinding and flotation circuit was installed (July 2005) to December 2005. This shows a copper recovery of 86.51% which compares to an estimated recovery of 85.7% for the remaining mine life

Dikulushi Mine Processing MONTHLY ACTUALS	Jul-05	Aug-05	Sep-05	Oct-05	Nov-05	Dec-05	Total Jul - Dec 05
Feed Tonnes DMT	37,025	39,784	44,033	46,285	35,811	45,148	248,044
Feed Grade (Cu %)	5.85	5.38	5.62	5.42	5.55	5.68	5.53
Feed Grade (Ag g/t)	184.5	166.3	171.2	177.4	149.9	162.3	165.4
Flotation Conc Tonnes	3,323	3,607	3,849	4,155	3,361	4,294	22,589
Flotation Conc Grade Cu %	55.9	52.8	52.4	51.8	50.7	51.9	52.5
Flotation Conc Grade Ag g/t	1,828	1,552	1,712	1,749	1,420	1,454	1,618
% Recovery	88.71	88.98	82.98	85.82	85.71	87.29	86.51

Table 29

Item 25. (C) Markets

The Dikulushi mine has been producing a flotation copper-silver concentrate since October 2004 when the flotation plant in Dilukushi was commissioned. This flotation concentrate product replaced the earlier HMS copper-silver concentrate which is now being sold through off-take contracts to customers in Namibia, South Africa and for export to Canada and India. The flotation copper-silver concentrate is similar to the standard type of copper concentrate being marketed throughout the world.

The flotation copper-silver concentrate has been well received by smelters within the established concentrate market for concentrates which match the metallurgical characteristics of the Dikulushi mine copper-silver concentrate.

Item 25. (D) Contracts

The Dikulushi mine is now an established copper-silver concentrate producer, shipper and exporter. World copper concentrate sales and transportation agreements are governed by contracts with varying terms based on benchmarks and delivery points. The Dikulushi mine sales and transportation contracts are within the typical industry range and provide a sound cash basis for forecasting future costs and cash flows.

Item 25. (E).1 Environmental Status

In accordance with Anvil's Corporate Environmental Policy and the requirement under the DRC 2002 mining legislation 'Loi 007/2002 de Juillet 2002, Portant Code Minier' Anvil completed an Environmental were prepared by African Mining Consultants. In the absence of DRC guidelines Anvil has adopted the World Bank Standards and Guidelines as specified in the World Bank Pollution Prevention and Abatement Handbook, 1998 as the relevant standard. In order to fulfil its corporate guidelines Anvil decided that rather than adopt a Category "B" project status it would adopt a higher Category "A" status. These standards are considered to be the international benchmark for environmental assessment. Anvil had conducted in 2001 (prior to the EIA an EMP) Environmental Scoping Studies of both the mining operation and Lake Moero port facilities. The EMP includes the commitments to mine decommissioning. Annual reporting of environmental issues and measurements to relevant government bodies is a condition of the operating license and EMP.

Regular environmental Audits are carried out by AMC Consultants of Zambia to determine the mine's compliance with it's Environmental Plan. The last audit was conducted in October 2005.

An annual Environmental Report was submitted in January 2006.

An environmental monitoring database is maintained at the mine comprising the following:-

- Wet/Dry, Max/Min Temperatures
- Rainfall
- Dust Exposure
- Noise Levels
- Ground and Surface Water Quality
- Ground Water Levels
- Tailings Dam Piezometer Water Levels
- Light Levels

In addition, critical installations such as tailings dams, tailings pipelines, storm and mine water settlers, oil separators and general cleanliness of facilities are audited on a monthly basis.

Rehabilitation of the east wall of the Number 2 Waste Dump commences during 2005 and vegetation is strating to propagate.

Process Plant reagents are stored under cover in 12m shipping containers to avoid soil contamination.

A study into the Acid Rock Drainage potential of the process plant tailings was conducted in 2005 and they were classified as low risk.

Item 25. (E).2 Waste Landform

The waste rock landform is located to the west of the open pit. The landform is being constructed in 8m high lifts with inter-berm slope angles of 12 degrees to facilitate rehabilitation, revegetation and a stable slope. A minimum distance of 100 metres is being maintained between the toe of the landform and the edge of the open pit. Rehabilitation of the landform will be ongoing as areas become available. Characterisation of waste for potential acid mine drainage has indicated low potential for most materials. A small amount of

higher acid forming potential material will be encapsulated within the waste landform to ensure no adverse environmental impact occurs.

Storm water drains are constructed around the landform and run off is contained or diverted to a sedimentation pond before discharge to the Dikulushi River. The Dikulushi river is a small creek which flows only during the wet season.

Item 25. (F) Taxes

The Dikulushi Mining Convention provides for concessionary rates of taxation for each mine. For the first 15 years of production, taxation on adjusted income is applied at a percentage of the Professional Tax Rate, which is presently 40%, as follows:

	<u>% of Professional Tax Rate</u>	<u>Effective Tax Rate</u>
First five years of production	0%	0%
Sixth through tenth years of production	40%	16%
Eleventh through fifteenth years of production	45%	18%
Thereafter	100%	30% ^(a)

In addition to the usual deductions of expenses and accruals, the Dikulushi Mining Convention provides that taxable income is adjusted by allowances for (i) depreciation of moveable and immoveable fixed assets, (ii) a “depletion allowance” equal to 15% of gross sales up to a maximum of 50% of net profit, and (iii) all exploration and evaluation expenses.

- (a) The Dikulushi Mining Convention holder is entitled to adopt the more favourable effective fiscal regime, than that granted by the Convention, as and when enacted by subsequent changes in law.

Item 25. (G) Capital Cost and Operating Cost Estimates

The Dikulushi mine operations have been producing copper-silver concentrates since September 2002 following the commissioning of the HMS process plant. The HMS copper-silver concentrates have been sold to customers in Namibia and South Africa since the commencement of commercial production.

Reserve estimations contained in this report are based on capital and operating costs typical of the mining and flotation plant operations of the Dikulushi mine since the flotation plant was commissioned in October 2004. The expenditure forecasts for the remaining life of the open pit operations at the Dikulushi mine are shown in the Table 27.

The required capital is limited to that necessary to sustain operations at an efficient level and includes replacement of equipment.

Expenditure levels are typical of the copper mining industry with the exception of high selling costs (includes transportation and realization) due to the location of the Dikulushi mine in remote DRC. The expected cash operating costs after silver credits is approximately US\$0.75 per pound of copper sold excluding capital costs and US\$0.78 per pound of copper sold including capital costs. These cash operating costs exclude any amortization of sunk costs.

Capital for mine expansion would be justified on its own merit taking into account future mine life of the underground resource.

Item 25. (H) Economic Analysis

The quarterly cash flow projections of the remaining open pit life plan are positive and reflect a conservative copper price of US\$3,142 per tonne and silver price of US\$5.50 per ounce. The cash flow projection is shown in Table 27.

The average mining cost is US\$3.31 per tonne mined and breakeven mining cost per tonne is US\$16.39. The sensitivity analysis is shown in Table 30. This shows that the remaining life of the open pit operations is most sensitive to changes in copper price and mine dilution and least sensitive to changes in processing, mining and fixed costs (Figure 22).

Parameter	Percentage Change			Breakeven
	-20%	0%	20%	%
Mining Costs	51,687	49,193	46,698	394%
Processing Costs	50,294	49,193	48,091	893%
Selling Costs	59,545	49,193	38,840	95%
Fixed Costs	51,740	49,193	46,645	386%
Cu Price	27,389	49,193	70,996	-45%
Ag Price	45,346	49,193	53,039	-256%
Parameter	-20.0%	0%	17.6%	%
Mine Dilution	35,433	49,193	61,333	-71%

Table 30: Sensitivity Analysis

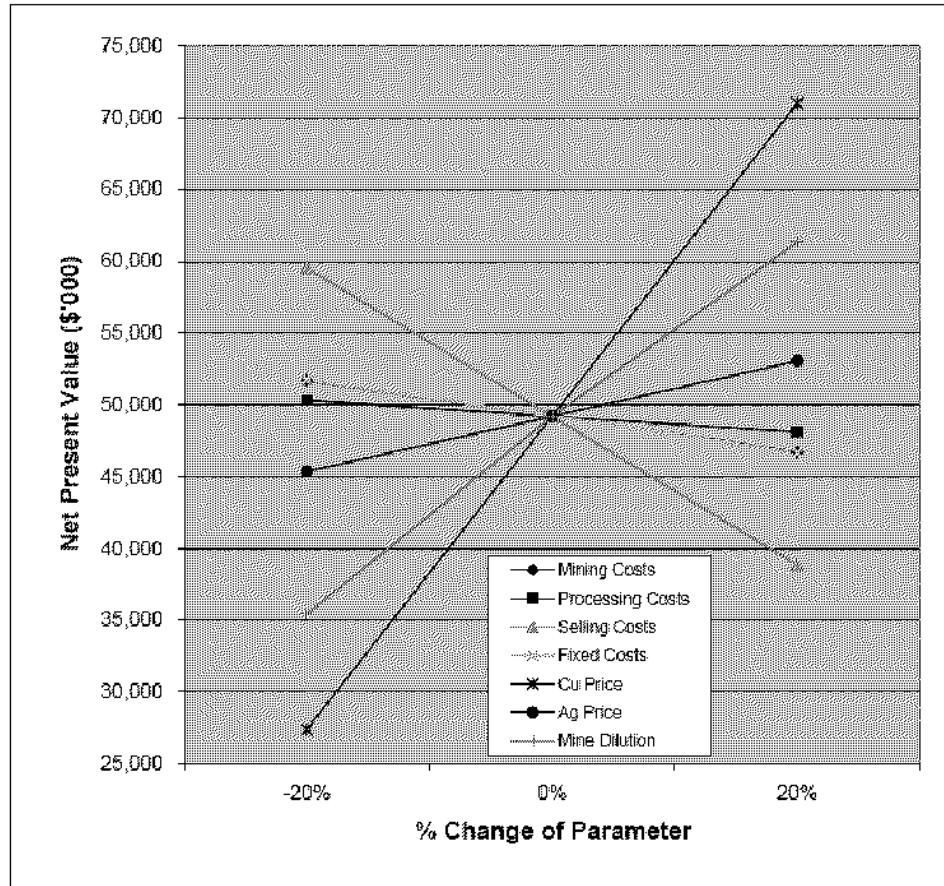


Figure 22- Sensitivity Analysis- Spider Chart

Item 25. (I) Payback

At December 2005, the net book value of the assets associated with the Dikulushi mine was US\$17.5 million. At an assumed 10% interest rate (used for discounting to arrive at the Net Present Value) the remaining open pit life cash flow projection in Table 27 shows that a payback is achieved by the fourth quarter of operations and in less than 12 months.

Item 25. (J) Mine Life

The current mine life of the 150 metre deep open cut and remaining stockpiles is to the end of 2007. The ore body is open ended below the pit with drill holes showing the ore body extends to at least a depth of 300 metres. The current drilling programme is designed to infill areas down to 300 metres and test the orebody to a depth of 400 metres. If this is successful an underground mine life of 4-5 years could be possible. If the underground mine is established further drilling from underground sites could test the potential below 400 metres. The drilling programme and underground mine design will be completed during the first half of 2006 allowing underground development and the establishment of underground ore production before the completion of the open cut.

Item 26. ILLUSTRATIONS

TABLE	No.	FIGURE
Drilling Campaigns	1	Location of Dikulushi Mine
Remaining Resource Estimates December 05	2	Mineral Licences of the Dikulushi project
Dikulushi Open Pit Reserves as at Dec 31, 05	3	Regional Geology of SE Katanga Province
Stratigraphy of the Dikulushi Region	4	Geology of Dikulushi Open Pit
Drilling Campaigns	5	Raw Sample Lengths of Dikulushi Drilling
Exploration Sample Data Files	6	Copper Distribution, Main zone
Sample Data Limits	7	Copper Distribution, Hangingwall zone
Sources of Dikulushi Metallurgical Samples with Assays	8	Silver Distribution, Main zone
Model Dimensions	9	Silver Distribution, Hangingwall zone
Cell Parameters	10	Mediam Indicator Variogram – Copper Main Zone
Model Field Descriptions	11	Mediam Indicator Variogram – Copper Hangingwall Zone
Mineralisation Field Codes	12	Mediam Indicator Variogram – Silver Main Zone
Summary Statistics	13	Mediam Indicator Variogram – Silver Hangingwall Zone
High Grade Cuts	14	Swath Plots for Copper and Silver, both domains
Variogram Parameters	15	Grade Tonnage Curve- Measured and Indicated
Search Orientation Domains	16	Layout of the Mine
Search Ellipsoid Dimensions	17	Dikulushi Un-Weathered Geotechnical Domains
Densities of Ore and Waste	18	Dikulushi Copper Mine- Plant- Simplified Flow Sheet
Comparisons of Cut Composite Data	19	Stage 1 Design
Resource Classification Model Code	20	Stage 2 Design
Remaining Resource Estimates December 2005	21	Stage 3 Design
Reconciliation- 2005 Mineral Reserve & Production	22	Sensitivity Analysis- Spider Chart
Dikulushi Open Pit Reserves at Dec 31, 05	23	
Dikulushi Mining Equipment	24	
Dikulushi Open Pit Geotechnical Parameters	25	
Key Parameters- Jan 06 – Dec 07	26	
Mine Plan Financial Analysis	27	
Cash Cost of Production 2005-\$/lb	28	
Dikulushi Mine Processing- Performance of the Plant	29	
Sensitivity Analysis	30	